

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**APPENDIX TO COMPLAINANTS' RESPONSE TO EXCEPTIONS OF
RESPONDENTS' COUNSEL TO THE PRESIDING OFFICER'S SEPTEMBER 16
DECISION NOT TO CONSIDER DISCIPLINARY ACTION AGAINST
COMPLAINANTS' COUNSEL**

APPENDIX 1	Presiding Officer's Order of September 16, 2016
APPENDIX 2	Certification of Maria Temkin
APPENDIX 3	Transcript of Proof Hearing, dated August 31, 2015 in the Matter of Akishev et al v. Kapustin et al. (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD)
APPENDIX 4	Email from Jon Werner to Sergey Kapustin of May 27, 2016
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APPENDIX 8	Affidavit of Michael Hitrinov
APPENDIX 9	Forensics Report of Jennifer Naso
APPENDIX 10	Signature Sheet of Michael Hitrinov

APPENDIX “1”

S	E	R	V	E	D
September 16, 2016					
FEDERAL MARITIME COMMISSION					

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ORDER DENYING WITHOUT PREJUDICE MOTIONS TO DISQUALIFY COUNSEL

Shortly after these cases began, I issued an order striking a request for relief made by email rather than by written motion.

On December 29, 2015, counsel for Complainants sent an email to the email address for this office with an attached "Status Report and Request for Notice of Default." Counsel copied the Commission's Secretary on the email.

On November 24, 2015, the undersigned issued an Initial Order controlling certain aspects of this proceeding. *Inter alia*, the Initial Order states: "Any request for action by the Commission or presiding officer must be made by motion, not by

letter or email request.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Order ¶ 14 (Nov. 24, 2015) (Initial Order). I note that there is no certificate of service in the email or the attachment indicating that the Status Report and Request for Notice of Default was served on Respondents. *See* 46 C.F.R. § 502.114. In consideration of the foregoing, it is hereby

ORDERED that the Status Report and Request for Notice of Default be **STRICKEN** for failure to comply with the Commission’s Rules of Practice and Procedure and the Initial Order.

Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11, Order ¶ 14 (ALJ Dec. 30, 2015) (Order Striking Letter Motion).

Despite the Initial Order and the December 30, 2015, Order, the parties have liberally used email to argue their positions on substantive and procedural matters. *See, e.g., Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Apr. 22, 2016) (Order Enlarging Time to Respond to Motion for Stay) (describing arguments made in emails). *See also* Email thread of April 28, 2016, among Respondents’ counsel Eric C. Jeffrey (Jeffrey), the Secretary, and Complainants’ counsel Marcus Nussbaum (Nussbaum) regarding Jeffrey’s inquiry of the Secretary regarding back-up plans for time-sensitive matters when the presiding officer is not available; Email thread of June 15, 2016, among Jeffrey, the Secretary, and Nussbaum regarding Respondents’ misnamed response to Complainants’ motion to compel; Email thread of June 24-27, 2016, among Jeffrey, the Secretary, and Nussbaum regarding Jeffrey’s associate. The email comments included *ad hominem* attacks on counsel and assistants to counsel, reflecting the apparent deterioration in the relationship between counsel.

On June 29, 2016, I entered a second order referencing this paragraph of the Initial Order.

Paragraph 14 of the Initial Order states: “Any request for action by the Commission or presiding officer must be made by motion, not by letter or email request.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Order ¶ 14 (Nov. 24, 2015) (Initial Order). Counsel for both parties have included inappropriate requests for relief in emails to which are attached documents submitted to the Secretary for filing. The documents submitted have been filed. The parties are advised that the comments in the emails are not considered part of the record and will not be considered when ruling on the merits of these proceedings. The Secretary will maintain the emails as correspondence.

I note that this is the *second* order in this proceeding referencing Paragraph 14 of the Initial Order and inappropriate comments in emails. *See Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov,*

Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11 (Dec. 30, 2015) (Order Striking Letter Motion). The parties are admonished not to include inappropriate comments in their emails to the Secretary.

Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11 (ALJ June 29, 2016) (Notice to Parties Regarding Email Submissions).

The relationship between counsel continued to deteriorate until each filed a motion to disqualify the other. On September 7, 2016, counsel for Respondents filed a Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The motion cites Commission Rule 26, which states: "An attorney practicing before the Commission is expected to conform to the standards of conduct set forth in the American Bar Association's Model Rules of Professional Conduct in addition to the specific requirements of this chapter." 46 C.F.R. § 502.26. The motion then sets forth several provisions of the Model Rules allegedly violated by Complainant's counsel. On September 8, 2016, counsel for Complainants filed Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The Cross-motion denies the claims in Respondents' counsel's motion and alleges that counsel for Respondents is unfit to practice law and should be disqualified from practicing before the Commission.

I take official notice, 46 C.F.R. § 502.226, that Complainants' counsel Nussbaum and Respondents' counsel Jeffrey are each involved in other proceedings pending before the Office of Administrative Law Judges or the Commission itself. *See, e.g., MAVL Capital Inc., IAMAL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16 (Nussbaum – pending before this administrative law judge); *Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc. (Crocus v. MTL)*, FMC No. 15-04 (Nussbaum – pending before the Commission); *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Nussbaum – pending before the Commission); *Landers Brothers Auto Group, Inc. d/b/a Landers Honda (Jonesboro), et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-11 (Jeffrey – pending before another administrative law judge); *Rush Truck Centers of Arizona, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-10 (Jeffrey – pending before another administrative law judge); *Jill M. Alban, et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-07 (Jeffrey – pending before another administrative law judge); *Cargo Agents, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-01 (Jeffrey – pending before another administrative law judge). Each may have other matters pending before other offices in the Commission.

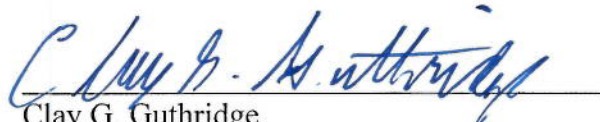
Both motions seek disqualification of counsel from appearing before the Commission. By necessity, this would include disqualifying counsel from appearing in matters that are not only before another administrative law judge, but before the Commission itself. These claims should be directed to the Commission, not to an administrative law judge in an individual case. Therefore, I will deny the motions without prejudice to the parties presenting the arguments to the Commission in a more appropriate manner.

I note that the knowledge claimed by counsel may impose on that counsel an obligation to report the information to a state bar licensing authority for appropriate action.

ORDER

Upon consideration of Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission and Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission, and for the reasons stated above, it is hereby

ORDERED that the motions be dismissed without prejudice to presenting them to the Commission in a more appropriate manner.


Clay G. Guthridge
Administrative Law Judge

APPENDIX “2”

**UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF NEW JERSEY**

Ardak Akishev, et al. Plaintiffs, v. Sergey Kapustin, et al, Defendants.	Civil Action No. 13-cv-07152(NLH)(AMD) CERTIFICATION OF MARIA TEMKIN IN FURTHER SUPPORT OF PLAINTIFFS’ RESPONSE TO DEFENDANT SERGEY KAPUSTIN MOTION TO DISQUALIFY COUNSEL AND OTHER RELIEF (DOCKET NO. 362)
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I, Maria Temkin, do state as follows:

1. I am a citizen and resident of the State of Pennsylvania and am a member in good standing of the Bars of the States of New Jersey and Pennsylvania.

2. I am a partner in Brown Legal Consulting, LLC, attorneys for Plaintiffs in the above action. I am fully familiar with the facts and circumstances surrounding this matter. I execute this Certificate in support of Plaintiffs’ Further Opposition to Defendant Sergey Kapustin’s Motion to Disqualify Counsel and Other Relief (Docket No. 362).

3. While Mr. Kapustin in his Recent filing (Docket No. 362) claims that he has “decided to move [his] battles against Shipping Companies and plaintiffs’ attorneys to Russia,” it appears from recent emails and filings by Mr. Kapustin in an *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov, Empire United Lines Co., Inc. and Car Cont Oy, Ltd.*, Proceeding No. 15-11 filed in November 2015 before the Federal Maritime Commission (“FMC”) (alleging violation of the Shipping Act, 46 U.S.C. 40301 *et. al.* alleging that vehicles were shipped to Finland but never released or delivered because of the dispute between Global companies and Hitrinov) (the “FMC Matter”), that he has returned to United States and

continues playing games with the Court and the parties.

4. I submit this Certification to disclose email communications received from Mr. Kapustin, as well as filings made in the FMC Matter, to provide full record of the events to support Plaintiffs' argument that the Court should enter a bench warrant on Mr. Kapustin.

Kapustin's Refusal to Provide Assets Accounting in Violation of the July 1, 2015 Order

5. On July 1, 2015, the Court entered an order compelling the parties to provide "a sworn accounting of their assets and liabilities... to the Plaintiffs and at the Court's request to the Court, on a monthly basis..." Docket No. 229, ¶ 4.

6. Despite Plaintiffs' repeated demands to Kapustin to provide an accounting report, on May 19, 2016, Anna Brown received an email from Kapustin, in Russian. A translation of the email, which I did myself, along with a copy of the original email is attached as **Exhibit 1** hereto and provides as follows:

Dear Anna, what report can I provide, if I am not in the USA, and because of you I have been left unemployed. I am in Russia and getting treated for a serious illness, if you need confirmation, I can forward to you. In the near future, I will be transferred to the Hospital No. 31 in Moscow. Waiting for you to bring me treats – juice and oranges.

7. At the same time, in her most recent report disclosing her assets, Irina Kapustina stated that her Lexus lease is being paid for by Sergey Kapustin. See redacted excerpt from Irina Kapustin's Verified Statement of Assets and Liabilities, attached as **Exhibit 2**.

8. Needless to say, assuming Kapustin is in Russia, there is nothing preventing him from providing a report of his assets to Plaintiffs; moreover, he continues hiding the assets and paying for Mrs. Kapustina's Lexus lease in violation of the Court's order.

Kapustin Has Returned to the United States

9. Plaintiffs also have a reason to believe that Kapustin has returned to the United

States, as he is now actively litigating the FMC Matter and sending mailings from his U.S. address.

10. Attached collectively as **Exhibit 3** are Mr. Kapustin's recent motions to intervene and seal filed in the FMC Matter, dated July 13, 2016 and August 19, 2016 respectively. In essence, Kapustin is trying to prevent victims of his and the Empire Defendants' fraud, whose cars were seized and sold by the Empire Defendants, to recover from the Empire Defendants under the claims for violation of the Shipping Act. The Affirmations, filed by Kapustin in the FMC Matter before the Federal Maritime Commission in Washington, D.C., in detail describe the "new version" of Kapustin's purported dealings with the Empire Defendants. He continues to litigate in the United States, contrary to his pronounced to this Court "decision" to take his "battles" to Russia.

11. Notably, the mailings related to the FMC Matter show that Mr. Kapustin sent service copies of his filings on counsel and the Commission from his U.S. address at 303 Ridgeway St., Philadelphia, PA.¹ Attached as **Exhibit 4**, collectively, are copies of the envelopes which contained service copies of Kapustin's filings in the FMC Matter and tracking information related to these envelopes. I obtained these copies from counsel for Plaintiffs in the FMC Matter.

12. This leads the undersigned counsel to believe that Mr. Kapustin has now returned to the United States and has lied to the Court yet again.

Kapustin's Continued Threats and Fraud Upon Third-Party Victims

13. Kapustin is continuing to make threats directed at Plaintiffs' counsel in the internet group which serves as a forum for victims of Global Defendants' fraud. In order to

¹ The mailing actually was deposited in the Post Office close to Mr. Kapustin and Mrs. Kapustina's residence in Warminster.

avoid further litigations from defrauded customers, he continues to mislead them by claiming that the judgment obtained by Plaintiffs in this action and any collection efforts on behalf of Plaintiffs instantly somehow belong to all victims he had defrauded. As a result, the Court was copied on a letter from Mr. Ildar Xafizov, demanding that Plaintiffs' counsel provide assistance to all Kapustin's customers and claiming that they have rights to titles to the cars that were held by TRT that Kapustin himself deposited in this Court for the benefit of Plaintiffs in this action. A copy of the letter is attached as **Exhibit 5** hereto.

14. Similarly, on March 24, 2016, I received an email from Mr. Alexandr Bogdanov, who is still making threats and inappropriate sexual comments directed at Plaintiffs' counsel in the internet group which serves as a forum for victims of Global Defendants' fraud. A translation of an original of the email is attached as **Exhibit 6** hereto. Apparently coached by Kapustin, Bogdanov purports to act on behalf of victims defrauded by Kapustin and states that Plaintiffs instantly have no right to negotiate settlement with the Empire Defendants and TRT because "No one gave [them] the right to reduce the amount of losses of customers!"

15. Numerous postings on the internet are also made to that effect to prevent victim customers filing claims against Kapustin.

16. Contrary to his "sincere apologies" to this Court, Kapustin is trying to continue to blame everyone else for his frauds and avoid liability.

Collusion With the Empire Defendants

17. Plaintiffs' counsel is mindful of the Court's warning not to believe any statements made by Kapustin. However, in order to make a complete disclosure and provide full record for the Court and other parties, counsel attaches recent emails received from Kapustin and addressed to the undersigned counsel (with some emails copied to counsel for the Empire Defendants),

evidencing that Kapustin continues to play games, shift blame, and, as evidenced by recent filings in the FMC Matter, may have colluded with the Empire Defendants to continue to defraud their victims.²

18. On March 28, 2016, I, Anna Brown, and Kapustin's former counsel Marcus Nussbaum received an email from Kapustin with subject "a document from Hitrinov" and attaching a document entitled an Affidavit for Judgment by Confession (CPLR § 3218). A translation of the email, which I did myself, along with a copy of the original email is attached as **Exhibit 7** hereto. A copy of the document attached to the email is attached as **Exhibit 8** hereto. The email provides as follows:

Maria, Anna, Marcus, I am sending you a document, which was prepared for my signature by Hitrinov and his lawyer so they could use as leverage the amount of what is owed to them with the amount of claim that you filed against Hitrinov in Camden court, by this writing mr. Hirinov confirms that the client should get nothing and I will not be able to enter the U.S. territory, as Hitrinov is always threatening me with physical means and criminal prosecution, I cannot live like that as there is a threat of violence is against my life. He is constantly offering me to sue the lawyers, all the translations were done for me by Hitrinov, yes I understand that hitrinov is the one who is responsible for what is going on today, and all the filings in court are done by Michael hitrinov, and everything what the attorney for Krivosheev³ is doing is done by Hitrinov, I am ready to participate in any court as defendant, witness or injured party. I ask you to communicate it to the court.

19. Although my search of the New York State Unified Court System did not reveal a judgment by confession by the Empire Defendants against Sergey Kapustin and the Global Defendants, it appears highly unlikely that Kapustin would have himself drafted the very detailed legal document consistent with the New York rules of Civil Procedure created solely for the benefit of the Empire Defendants at the time when the Empire Defendants highly contested the

² Plaintiffs will be requesting a Rule 16 conference with the Court and discuss scheduling of discovery related to Cross-Claims and potential ethical violations.

³ Krivosheev is an owner of the Third-Party Intervenor DK International.

assignment of Global Defendants' cross-claims against them in this Court.

20. On May 28, 2016, I received an email from Kapustin, addressed to Jon Werner, counsel for the Empire Defendants, Anna Brown, Marcus Nussbaum, and I. A translation of the email, which I did myself, along with a copy of the original email is attached as **Exhibit 9** hereto. The email states as follows:

Sent from iPhone dear john, not waste your time on conversations with Mitnik and Krivosheev, it is too late, your client did everything so that the case went out of control, people want their money that Hitrinov stole, and all sorts of made up stories that the freight was not paid for, these are all made-up and that there were no releases, that sheriff arrested the cars, did he arrest in Kotka also and let Hitrinov to remove them. I will go with those who fights against Hitrinov and I do not care whether it would be temkin or brown or nussbaum or other attorneys, I will be on the side of the people who fights against Hitrinov and Mitnik because they stole peoples' property and the case against me was made up and it does not matter today that Hitrinov made it and all of that because of Hitrinov, and there are people which figured that out, and they will come to court against hitrinov because I helped them to get visas, and that's the truth!!! Which everyone needs, and your Hitrinov measure everything with money and that's not always important. He threatens people with litigations so they come to his side, let him sue us all, we will all come to court and judge us. If Hitrinov states that I owe him, then he should sue me, why did he touch the clients' cars, or as usual to scare with court, it is not that scary!!! Or money which he offered to buy me with when he offered \$75,000 so I signed all his dirty documents but no, no, no, and one more time no. Or to give the clients' cars which are in Camden court to Krivosheev instead they should be given to people to whom they belong. And your Hitrinov will have to answer, I do not take your side and the side of brown and Temkin, I take the clients' side, they will get it all done, and the suffered not only from me but from Hitrinov and Mitnik and from your hands, that is give the people what is stolen. You are fighting for Hitrinov's stolen things so you are in his business also because you accept money that Hitrinov stole from people. Nobody is going to let you settle for less, give back what you took from people. I am not that good in jurisprudence but I know that Hitrinov stole clients' money. The clients will come to court to testify how Hitrinov convinced them to testify against me and made up stories. I and all my clients will testify how Hitrinov and Mitnik conduct their criminal affairs!

21. On May 29, 2016, I received an email from Kapustin, addressed to Jon Werner, Anna Brown, Marcus Nussbaum, Igor Voloshen and I. A translation of the email, which I did myself, along with a copy of the original email is attached as **Exhibit 10** hereto. It provides

Sent from iPhone dear john and all who will be receiving this letter, your goal which you have tried to achieve is outdated, I will not be negotiating, as I understand that

everything is a lie, to steal clients' cars and then try to negotiate. This is not happening. I do not want to become like Hitrinov and Mitnik. Yes, may be I did things in my business which I am not supposed to do but I was punished for this but I did not steal people's cars and did not take them as shamelessly as Hitrinov and Mitnik. That is why you can even ask the judge to arrest me. It is not that scary. What scary is to be sleazy And a scumbag and to lie to a business partner and then to steal from the business partner. By the way about Bogdanov, all attorneys asked for his help, even Hitrinov asked to get in touch with him, and about the information collection, and to say that it was I??? How funny!!! You can tell whatever you want to. I do not change my word, but for Hitrinov, nothing would have happened what is happening today. It is Hitrinov who arranged all courts, and he continues to do so, and I am ready to answer for all the things I do but Hitrinov must answer himself for what he did. I will not stop if you threaten to arrest me. Arrest me but the clients' complaints will stand until the last client is satisfied. And that is for long and for sure, then taking a bite of what is Hitrinov offering and that Mitnik will give 200 000\$ so I shut up but this will never happen, you need to give back what you stole from people.

22. On May 29, 2016, I received an email from Kapustin, addressed to Anna Brown and I. A translation of the email, which I did myself, along with a copy of the original email is attached as **Exhibit 11** hereto. It provides as follows:

Sent from Iphone dear Maria, Anna, why having signed all the documents against Hitrinov and Mitnik, you filed complaint in court only with three clients, why did you leave the rest of them behind, if you are refusing to go against these criminals, then give your power to file claims against Hitrinov and Mitnik to other attorneys who were contacted by clients, Hitrinov brazenly laughing to your face and telling everybody how he bought all including you. If you do not understand something, then ask, Hitrinov pushing money so he can close the issues while you are suing people you do not need. Are there not enough people that signed the petitions, there are more than 50 of them. What is your purpose??? You need to help people and shut down Hitrinov once and for all, I understand it is hard but real, you have people strength in your hands, why should I be responsible for all. Hitrinov offered me \$75,000. So I sided with him, I did not accept and did not sign a single paper, while I really need them. The people did great job so you can win, and you do not help them, the people put together a budget and gathered some funds for expenses, the case is at prosecutor's office in RF. And in finland's prosecutor's office, and you are not doing anything, may be I am mistaken but it appears so.

(emphasis added).It is unclear why Kapustin believes that Plaintiffs' counsel represents all victims other than their own clients.

23. Finally, a month later, on June 23, 2016, I received an email from Kapustin, addressed to Jon Werner, Anna Brown, Marcus Nussbaum, Igor Voloshen and Michael Hitrinov.

A translation of the email, which I did myself, along with a copy of the original email is attached as **Exhibit 12** hereto. It provides as follows:

Sent from iPhone. I apologize for bothering. In May I sent you several emails. In which I notified you that your client Michael offered me \$75,000 (USD). Unfortunately, it is not so. I would not have said no. I am just frustrated that after years of business which I gave to Michael, he did everything according to our agreement, I thought he could have helped me an opportunity to get out of this debt hall. All my emails that I sent you May 17-19 were dictated to me by Marcus Nussbaum. This (dishonest attorney) Marcus Nussbaum, which does his political career, got in touch with me over the phone and he told me that he agreed with his partner Maria Temkin that if I write these letters she will not sue me anymore. He literally dictated me all these letters. I am sorry that I keep on believing these people and believed this dishonest attorney Marcus. When Nussbaum Marc was our attorney he got \$14,000 from me so he could develop a scheme not to give back money to empire but to sell all cars and go to court. He made me and other Global company's employees to sign documents which are complete lies. Marcus Nussbaum a dishonest attorney, which created for Global false documents and ask to send out to clients. I am going to sue him and request that he stopped his machinations. Nobody gave me money, not for this letter, not for any other letters.... Again forgive me if you can....

24. Based on the recent filings in the FMC Matter, it appears that Kapustin once again decided to attack counsel and continues to commit perjury in all jurisdictions.

25. Based on the above (a) continued violation of this Court's order; (b) Kapustin's continued games with counsel and former customers; and (c) Kapustin's lies to multiple courts, the undersigned counsel believes that the issue of bench warrant is justified.

I certify that the foregoing statements made by me a true. I am aware that if any of the foregoing statements made by me are willfully false, I am subject to penalty of perjury.

Dated: August 27, 2016

/s/ Maria Temkin
Maria Temkin, Esq.
BROWN LEGAL CONSULTING, LLC
1700 Market Street, Suite 1005
Philadelphia, PA 19103
maria@brownlegalconsulting.com
Attorneys for Plaintiffs

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Thursday, May 19, 2016 1:33 PM
Subject:
To: annabroan@brownlegalconsulting.com ; kapustinamaria@yahoo.com

Sent from iPhone dear Anna, what report can I provide, if I am not in the USA, and because of you I have been left unemployed. I am in Russia and getting treated for a serious illness, if you need confirmation, I can forward to you. In the near future, I will be transferred to the Hospital No. 31 in Moscow. Waiting for you to bring me treats – juice and oranges.

EXHIBIT 1

Maria Temkin

From: anutabrown@gmail.com on behalf of Anna Brown <anna@brownlegalconsulting.com>
Sent: Thursday, May 19, 2016 1:33 PM
To: Maria Temkin
Subject: Fwd:

----- Forwarded message -----

From: **Sergey Kapustin** <skapustin@yahoo.com>
Date: Thursday, May 19, 2016
Subject:
To: "anna@brownlegalconsulting.com" <anna@brownlegalconsulting.com>, kapustinamaria@yahoo.com

Отправлено с iPhone дорогая Анна , какой репорт я могу вам дать , если я не нахожусь в США , и благодаря вам остался безработным , я нахожусь с России и прохожу лечения по серьезному заболеванию , если необходимо подтверждение могу вам переслать , в ближайшее время переводят в 31 больницу г . Москвы. Жду вас с передачей . Сок и апельсины .

--

Sincerely,

Anna V. Brown, Esq.

Brown & Temkin, LLC

1700 Market Street, Suite 1005

Philadelphia, PA 19103

Tel. (856) 357-4651

FAX. (856) 219-2038

anna@brownlegalconsulting.com

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UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF NEW JERSEY

Ardak Akishev, <i>et al.</i> Plaintiffs, v. Sergey Kapustin, <i>et al.</i> Defendants.	Civil Action No. 13-cv-07152(NLH)(AMD) VERIFIED STATEMENT OF ASSETS AND LIABILITIES
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I, Irina Kapustina (name), pursuant to July 2, 2015 Order, Docket No. 229, requiring me to provide to Plaintiffs an accounting of my assets on a monthly basis, certify that the foregoing information regarding my assets and liabilities for the time period of February '16 to May 2016 is complete and true to the best of my knowledge and belief. I also certify that all documents provided in support of this information are complete.

1. **Income**

(a) I receive/received the following income from work and/ or checks/wires from individuals/entities that support me or/and the following public assistance:

REDACTED

(b) I provided copies of mortgage statements (or rent) and documents (copies of checks or bank statements or money orders etc.) showing how I pay for the mortgage for the past 3 months.

4. Credit Cards

(a) I have/had the following credit cards. I make monthly payments from the following sources of income:

REDACTED

(b) I provided copies of credit card statements and documents showing how I have been making payments on the credit cards for the past 3 months.

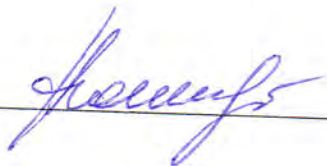
5. Automobile Ownership / Leases

(a) I own or lease/leased the following vehicles from the following companies (the make, model and year of the vehicle; the identity of the registered owner of the vehicle; the governmental agency registering the vehicle and the registration number; the location of the vehicle; and any liens or encumbrances on the vehicle):

Lexus - Lease paid by Sergey Kapustin

I am aware that if any of the foregoing statements made by me are willfully false, I am subject to penalty of perjury.

Dated: 5/19/16

/s/ 
Name:

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

Complainants.

v.

MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.

Respondents.

Consolidated With

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV,

Complainants.

v.

MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.

Respondents.

MOTION TO INTERVENE

I, Sergey Kapustin, on my own behalf, and on behalf of Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., SK Imports, Inc. d/b/a Global Cars, and Global Cargo Oy, hereby seek intervention as of right or permission to intervene in this matter for the limited purpose of seeking disqualification of Complainants' counsel Mr. Nussbaum.

EXHIBIT 3

This Motion is supported by my Affirmation...

Signed on July 13, 2016


Sergey Kapustin



FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

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EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.

Respondents.

AFFIRMATION OF SERGEY KAPUSTIN

Sergey Kapustin, affirms the following to be true under penalties of perjury under 28 U.S.C. § 1746, and says:

1. I am currently the sole owner, president, and general manager of the following companies: Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., and SK Imports, Inc.



d/b/a Global Cars. From the time these companies were formed until today, I have always been the general manager of these companies, and I had, and still have, ultimate power and authority with respect to all of these companies. From the time it was formed until the end of 2014, I was also the general manager of the Finnish company known as Global Cargo Oy, located in Kotka, Finland.

2. I have read the Complaints filed by the Complainants in these proceedings, as well as the documents that have been produced by the Complainants and Respondents as their initial disclosures in connection with these proceedings.

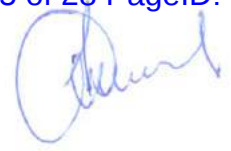
3. I have personal knowledge about the matters which I state in this affirmation.

4. From March 2013 until May 2015, the attorney representing the Complainants in these proceedings, Mr. Marcus A. Nussbaum, represented myself personally and the companies Effect Auto Sales, Inc., G Auto Sales, Inc., and Global Auto, Inc. in New York Federal court in connection with a dispute involving Empire United Lines Co., Inc. The subject of that Federal court case involved a number of vehicles, included among which were the same four vehicles that are the subject of these proceedings.

5. I still consider Mr. Nussbaum to be my personal attorney and the attorney for the Global Auto Group. I enclose as Appendix 1 the retainer agreement as proposed by Mr. Nussbaum in which he agreed to provide such representation on a *pro bono* basis.

6. Prior to representing the Global Auto Group companies, Mr. Nussbaum had worked as an internal corporate lawyer for the Global Auto Group and was paid in cash for these services.

7. I would like to state that all of the above mentioned companies (Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., SK Imports, Inc. d/b/a Global Cars, and Global



Cargo Oy, Finnish company) are the members of the Global Auto Group. The existence of the Global Auto Group was established by the Federal court in New Jersey by the decision of the Honorable Joel L. Hillman. Judge Hillman found that all of these companies and myself personally were part of the Global Auto Group. The only person who does not accept the decision of Judge Hillman is the mentally sick Mr. Nussbaum.

8. In any event, I deny Mr. Nussbaum's statements in the Complaints filed in these proceedings that an entity described as G Auto / Effect ever existed. All of the companies (Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., SK Imports, Inc. d/b/a Global Cars, and Global Cargo Oy, Finnish company) were acting together as the Global Auto Group – not just two companies.

9. I fully expect that Mr. Nussbaum, even though he is my attorney, will accuse me of colluding with Empire in preparing and submitting this affirmation. Thus, I want to demonstrate the truthfulness of this affirmation by showing the documents that support every word of my statement.

10. It was always represented to Empire in our business dealings with them that the group of companies was acting together as the Global Auto Group. The members of the Global Auto Group paid for each others' expenses, shared employees, and offices, etc. and it was never the goal to operate as different companies.

11. I also always made it clear to Empire that the head or main company in the Global Auto Group was Global Auto, Inc. such that the majority of the communications between the Global Auto Group and Empire came from that company. All instructions about the four vehicles at issue in these proceedings were given to Empire by Svetlana Zakerzanova, an employee of Global Auto, Inc. See emails attached as Appendix 2. Below is how Svetlana's signature always



appeared in her emails:

Светлана,
Global Auto USA.
Телефон: +1 (215) 942-8570.
Skype: svetlana.global.auto.usa
E-mail: account@globalautousa.com
Веб-сайт: www.GlobalAutoUSA.com - Автомобили из США. Продажа авто из Америки.

12. I confirm that Empire invested 60% value into the ownership of the four vehicles at issue in these proceedings:

- a. 2010 GMC Acadia (VIN# 1GKLVNED6AJ138200), claimed to have been purchased by Complainant Igor Ovchinnikov;
- b. 2011 Jeep Compass (VIN# 1J4NF5FB7BD282296) claimed to have been purchased by Complainant Irina Rzaeva;
- c. 2008 Mercedes-Benz C300 (VIN# WDDGF81X49R073295) claimed to have been purchased by Complainant Denis Nekipelov; and
- d. 2009 Toyota Camry (VIN# 4T1BE46K19U306703) claimed to have been purchased by Complainant Kairat Nurgazinov.

13. It was clear for me that at all times the Global Auto Group and Empire had joint ownership of the vehicle inventory, including the four vehicles involved in these proceedings. Under this agreement Global Auto Group had the right to buy back Empire's interest in the investment vehicles and Empire had the right to possession of the investment vehicles as collateral and the right to liquidate the investment vehicles under certain conditions. I am not a lawyer but in my view I would have described the relationship as a joint venture.

14. Thus, the Global Auto Group was required under the terms of this investment agreement to buy back the ownership of the four vehicles at issue in these proceedings from Empire, but failed to do so. Due to this failure, Empire was within its rights under the investment



agreement to retain possession of these vehicles as collateral and to liquidate these vehicles to recover its 60% investment value in the vehicles.

15. Attached as Appendix 3 is an email dated February 7, 2013, from Irina Kapustina, who at the time was the president and official owner of Effect Auto Sales, Inc. This email (which was produced in related proceedings in Federal court) discusses Empire's ownership in the vehicles involved in these proceedings among others. Appendix 8 (discussed below) shows that all the vehicles at issue in these proceedings were titles in the name of Effect Auto Sales, Inc.

16. Attached as Appendix 4 is an email from Igor Azikov, an employee of Effect Auto Sales, Inc. asking Empire to accept the 2008 Mercedes-Benz C300 (VIN# WDDGF81X49R073295) claimed to have been purchased by Complainant Denis Nekipelov as collateral as part of the investment agreement. As noted above, Empire was the 60% owner of all of the vehicles at issue in these proceedings under the terms of the investment agreement with the Global Auto Group.

17. I decided to use CarCont Oy in Finland as an unloading warehouse and as a facility servicing the Global Auto Group as a sale and distribution point. While as mentioned above, the Global Auto Group had its own facility in Finland (Global Cargo Oy), I preferred to use CarCont because of the additional free services provided by CarCont. For example, I saw Complainants produced the picture of vehicles cleaned at CarCont from snow. Cleaning vehicles from snow when needed for demonstration (sometimes every day), charging batteries, putting air into tires, providing customs entry into Finland were all free services Global Auto Group received at CarCont. Not mentioning that CarCont allowed Global Auto Group to put our advertisement fliers for the Global Auto Group in all the vehicles at CarCont. Nobody ever forced Global Auto Group to use CarCont as an unloading facility. Attached as Appendix 5 is



correspondence from 2011 showing when the Global Auto Group chose to use CarCont as an unloading agent in Kotka, Finland.

18. Operationally the USA companies that were part of the Global Auto Group would never communicate directly with CarCont and instead all such communications would be routed through Empire. Based on my review of the records of the Global Auto Group, it does not appear that CarCont was ever paid by the Global Auto Group for any services related to the four vehicles at issue in these proceedings. Those charges are still due and owing to CarCont.

19. The Global Auto Group and Empire had a mutual agreement that Empire would not issue any house bills of lading regarding the shipment of investment vehicles. Instead I asked that the steamship bills of lading cover the shipments.

20. The loading of the investment vehicles in the USA and the transportation of the loaded vehicles to the port in the USA were provided by Empire as a majority owner of the investment vehicles. Empire would then arrange for the ocean transportation of the containers with the investment vehicles but its services and obligations with respect to transportation would end upon release of the containers to CarCont in Finland.

21. All further services with respect to the investment vehicles, including the four vehicles at issue in these proceedings, would be provided and agreed with by Empire as the investor into the vehicles, not as a transportation provider.

22. This arrangement allowed the Global Auto Group to be the beneficiary of numerous additional services provided by Empire. Attached as Appendix 6 are master bill of lading instructions provided with respect to the investment vehicles as agreed between the Global Auto Group and Empire, and the MSC issued bills of lading with respect to transportation of these vehicles, also as agreed to by the Global Auto Group and Empire.



23. On a number of occasions between 2010 and 2012, I was asked by Empire if I was comfortable to operate on the basis of MSC issued bills of lading or whether I would prefer to have Empire issue house bills of lading to govern and document the shipments being carried. In response to these inquiries I insisted that I did not want to deal with additional documents which could confuse the relationship between the Global Auto Group and Empire and therefore, I did not see any reason to change the system by requiring Empire to issue house bills of lading.

24. Incidentally, I have reviewed the documents provided by the Respondents in these proceedings, including the AES documents produced by Empire (see Appendix 7) in which they listed Global Auto, Inc. as the exporter and CarCont as an intermediate and the ultimate consignee. This was done exactly as instructed by me and I believe that these submissions were accurate in terms of the joint venture relationship between the Global Auto Group and Empire, since although the Global Auto Group was only the 40% owner of the vehicles involved, in the end it was always intended that the secured 60% interest of Empire would always be bought back by the Global Auto Group.

25. I have spent a lot of time and effort translating the Complaints and the discovery produced by the Complainants and the Respondents in these proceedings. Based on my reading of the Complaints it appears that Mr. Nussbaum is making a false claim that the Complainants were the holders of the original titles for the four vehicles at issue. This is an attempt to mislead the Court and I can confirm that the Complainants never had possession of the original DMV titles for the vehicles.

26. Attached as Appendix 8 are copies of the titles for the vehicles at issue in these proceedings demonstrating that the vehicles were all titled under the name of Effect Auto Sales, Inc. The transfer of 60 % ownership to Empire was confirmed by listing all of the investment



vehicles, including the four vehicles at issue in these proceedings, on the spreadsheets showing the balance of investment vehicles. There are hundreds of such balance spreadsheet emails showing Empire's 60% ownership in the jointly owned vehicles.

27. I also strongly object to Mr. Nussbaum's fantasy that Empire should have released the vehicles or negotiated in any manner with the Complainants in this case. These individuals did not even pay to the Global Auto Group in full for the vehicles at issue and any suggestion that Empire should even talk to those individuals is insane. In any event, such negotiations with strangers concerning vehicles shipped by the Global Auto Group would be a betrayal of the Global Auto Group and would have resulted in legal and business consequences for Empire.

28. Specifically, if Empire had ever made any attempts to contact customers of the Global Auto Group directly or to discuss any business with them, I would have instructed the Global Auto Group to immediately cease any relationship with Empire, regardless of its status as investor or provider of shipping services.

29. Throughout the course of their dealings, the Global Auto Group never provided anyone outside the group, let alone Empire, with the identity of the buyers of vehicles from the Global Auto Group. Such information is a commercial asset of the Global Auto Group and thus, was treated as confidential. Global Cargo Oy, which operated a location in Finland and is a member of the Global Auto Group, served at the group's own agent in Finland for dealing with buyers.

30. In fact, not only did the Global Auto Group never advise Empire of the identity of the Complainants, but at the time the four vehicles at issue were being shipped from the USA to Finland, the Global Auto Group had represented to Empire that these vehicles were not yet sold.



And this was the case not only for these four vehicles but for all the investment vehicles exported as part of the joint venture between the Global Auto Group and Empire.

31. Attached as Appendix 9 are the invoices produced by Complainants in these proceedings. Item 1 of the terms states that "Advance payment of the Buyer is not the final purchase of the automobile, but guarantees its reservation for a definite term stipulated separately." Based on the Global Auto Group's records, it appears that all four Complainants still owe some substantial amounts with respect to the vehicles at issue in these proceedings. I am ready to produce the documents showing that each Complainant still owes money to the Global Auto Group.

32. Thus, if the Complainants had any issues regarding these vehicles they had to address their complaints to the Global Auto Group – not Empire.

33. To the best of my knowledge and recollection, all of the vehicles at issue in these proceedings were selected by the Complainants via the website maintained by the Global Auto Group at www.globalautousa.com. Indeed, the Complainants provided signed certifications stating that they purchased the vehicles from Global Auto, Inc. See Appendix 10.

34. However, it should also be understood that the Complainants had not, and still have not, paid all the charges which were outstanding to the Global Auto Group with respect to these four vehicles. Specifically, the freight charges, including but not limited to, ocean freight, loading the vehicles into the containers, inland transportation in the USA to the warehouse in Elizabeth, New Jersey, and unloading of the vehicles overseas, are still due to the Global Auto Group and were never paid to any member of the Global Auto Group by any of the Complainants.

35. The sales price quoted in the invoices presented by the Complainants for these



vehicles did not include the above mentioned charges, and also did not include the cost of repairs, dealers fees, and other miscellaneous charges. Attached as Appendix 11 are the Global Auto Group's terms and conditions which were previously produced by the Global Auto Group in related proceedings in Federal court. Section 3 of the terms and conditions states in relevant part that the buyer is "responsible for paying all delivery, shipping, transit and storage charges applicable to the purchased product and which [buyer] understands are separate from the price paid by [buyer] for the [vehicle] itself."

36. Attached as Appendix 12 is a print out of the website for the Global Auto Group (also previously produced in related proceedings in Federal court) showing that the website clearly stated that the Pre-Sales Price of vehicles "does not include shipping, diagnostic, repair, dealer fee, and registration fee."

37. I would like to also explain to the Commission that the Complainants and their and MY attorney, Mr. Nussbaum, have intentionally provided and relied upon fabricated, altered and stolen documents in support of these proceedings.

38. Specifically, attached as Appendix 13 are invoices on Empire's letterhead showing charges owed which were fabricated and designed by Mr. Nussbaum as a corporate lawyer for the Global Auto Group, although Svetlana Zakerzanova, an employee of Global Auto, Inc. transmitted the invoices. I admit it was wrongful for myself and the Global Auto Group to conspire with Mr. Nussbaum in preparation and transmission of these forged invoices, but I am trying to make amends by alerting the Commission that Mr. Nussbaum is aware that these invoices are fabricated and designed by him, but he continues to produce them in discovery and to rely upon them as evidence in multiple proceedings.

39. Attached as Appendix 14 are invoices reflecting the sale of the vehicles at issue in



these proceedings which contain handwritten notes. These documents are internal documents maintained on behalf of the Global Auto Group and were never provided to Complainants. On this basis, I believe that these documents were stolen by Mr. Nussbaum from the files of the Global Auto Group when he was serving as its corporate counsel, and are now being used without permission or authorization, and have even been altered by Mr. Nussbaum without the approval of the Global Auto Group.

40. Incidentally, all communications between the Complainants and the Global Auto Group were conducted via email exclusively, rather than faxes or paper mail. I dare Mr. Nussbaum to have Complainants produce the emails where they received such invoices. You will see they will never be produced because such emails do not exist!

41. Similarly, attached as Appendix 15 are documents showing incoming wire transfers to accounts maintained by the Global Auto Group. I believe that these documents could only have been stolen by Mr. Nussbaum from the files maintained by the Global Auto Group since Complainants were never provided these documents by the Global Auto Group.

42. I would like to enlighten this Court about the real goals and purpose behind these proceedings. Mr. Nussbaum is a sick individual and unfortunately I have realized this too late. When Mr. Nussbaum first contacted me sometime around January 2013 and convinced me to go for his scheme to defraud Empire in order to try to obtain the release of the investment vehicles without buying back Empire's 60% interest in the investment vehicles, he told that he was ready to do anything to finally put Empire out of business. Mr. Nussbaum further promised me that he would serve as my attorney in this respect for a deep discount because the rest of his fees would be received from the Igor Cherkassky, the owner of a competitor of Empire, known as Unitrans-PRA. Mr. Due to my desperation caused by a poor financial situation I allowed Mr. Nussbaum to



induce me into cooperating with his scheme.

43. Nussbaum further explained to me that nobody can win any court cases without hiding material evidence and fabricating documents, and on a number of occasions Mr. Nussbaum knowingly induced me to testify falsely or to otherwise produce evidence that he knew was false, by promising me to act as my counsel for free and/or to refund monies previously paid to him for services already rendered.

44. Attached as Appendix 16 is an email that my attorney Mr. Nussbaum literally dictated to me over the phone on March 28, 2016, and said that I had to send to him, and difficult to imagine, to the plaintiffs lawyers in the Federal court case in New Jersey, stating that Michael Hitrinov threatened my life. Then on June 6, 2016, Mr. Nussbaum is asking for documents to be produced showing how Hitrinov has offered me \$75,000. Only a mentally sick person can suggest that Hitrinov threatened my life and offered me \$75,000 at the same time.

45. I want this Court to realize that I believe that Mr. Nussbaum is a seriously sick person mentally, and to further be aware that I truly believe he will continue to produce fake and altered documents without any fear of reprisal or other consequences, and will then refuse to produce original documents, including original emails and attachments.

46. Mr. Nussbaum continues his lies to the court that I took money from Empire as a personal loan. It is not only a false statement, it is an intentional lie. Money was never given to me personally. Not a single penny. And I never took a penny from the money Empire invested into the vehicles for myself. I made a lot of mistakes but I never used company money for myself. Empire's money was used to buy vehicles and were never used by myself for my personal purposes. I believe all of the Empire wire transfers has a purpose of transfer saying "investment in car inventory with the fixed profit" and all the funds were paid to Global Auto,



Inc. and were used by the Global Auto Group to buy vehicles, including the four vehicles in these proceedings.

47. It is also a complete lie by Mr. Nussbaum to say that the money provided by Empire was not given to the Global Auto Group. I want to state that my ex-wife and the mother of my three children was the sole owner and the president of Effect Auto Sales, Inc. in 2009-2014. What Mr. Nussbaum suggests is that I sold a 60% share of the vehicles of Effect Auto Sales, Inc. for money which was given either to me personally or to Global Auto, Inc. In other words, if Mr. Nussbaum's lies are to be believed, you would have to believe that I was stealing vehicles from my children for several years.

48. It may well be irrelevant to these proceedings, but Mr. Nussbaum explained to me that he already produced to the Commission numerous fabricated documents in the case of Empire against Baltic where he represented Baltic, and he seemed to be proud of this achievement.

49. When I learned that Mr. Nussbaum was representing the Complainants with respect to these claims against Empire, I wrote to him to demand that he stop this representation which was in clear conflict of interest to his ongoing representation of me personally and my companies with respect to the same vehicles. Attached as Appendix 17 is my email to Mr. Nussbaum demanding he cease such representation.

50. Mr. Nussbaum never responded to my email in writing but he promised me on the telephone that he would be withdrawing as attorneys for the Complainants in these proceedings, and foolishly I believed his lies. About one month ago I learned that despite his promises Mr. Nussbaum was continuing with this case on behalf of the Complainants. Now I see that my only option is to ask the Commission to disqualify Mr. Nussbaum because he will never withdraw on



his own as he should.

51. In July of 2013, when Mr. Nussbaum was representing me and the Global Auto Group in the related Federal court case in New York, Empire offered to release the 2011 Jeep Compass (now claimed by Complainant Rzaeva in this case) to the buyer upon payment of the storage charges owed in Finland. Mr. Nussbaum insisted to me that we should not care about the people who reserved the vehicles and promised again to me that we would get all the money back to the Global Auto Group. Ironically, Mr. Nussbaum now represents both me and Rzaeva. It is impossible to imagine that Mr. Nussbaum by betraying me personally and the Global Auto Group can now represent the same individuals who are the victims of the fraudulent scheme he designed. And those four innocent people in this action have no idea that Mr. Nussbaum is the mastermind of the fraudulent scheme that ended in the loss of those four victims' vehicles.

52. Because of this outrageous situation which is almost certain to expose me personally and the Global Auto Group to even more liability, I plan to ask for Mr. Nussbaum to be disqualified from representing these Complainants. I am also preparing a lawsuit against Mr. Nussbaum.

53. Therefore, I am asking for permission to intervene in these proceedings on my own behalf, and on behalf of the Global Auto Group, for the purpose of seeking the immediate disqualification of Mr. Nussbaum as counsel for the Complainants on the basis of this conflict of interest and because he has breached my attorney client privilege by using stolen and confidential Global Auto Group documents in this case. By producing and using these private documents and even altering them, he is exposing me personally and the Global Auto Group companies to civil and perhaps even criminal liability.



54. I believe that I and the Global Auto Group have the right to intervene because of the obvious overlapping interest in the vehicles at issue, and because the outcome of these proceedings would affect that interest, which interest is not being represented by anyone else in these proceedings. In any event, permission to intervene should be granted because of these common interests and because intervention will not delay or broaden the scope of these proceedings and will not prejudice the rights of any party. Intervention is only being sought for the purpose of requesting that Mr. Nussbaum be disqualified as counsel for the Complainants and thus, will not delay these proceedings or substantially add to the discovery process.

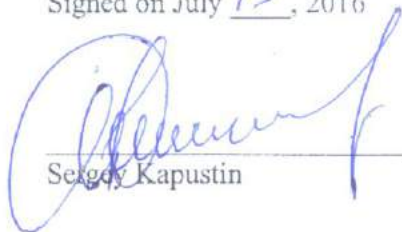
55. In connection with these efforts, I understand that any claim of attorney client privilege with respect to my communications with Mr. Nussbaum on my own behalf and on behalf of the Global Auto Group will be waived, and I voluntarily relinquish same. Attached as Appendix 18 is a waiver of such attorney client privilege and I demand that Mr. Nussbaum produce all such communications between himself and the Global Auto Group so that this Court can realize the truth about his behavior with respect to these proceedings.

56. I already know the remedies of Mr. Nussbaum when people begin saying the truth. Threats with depositions, accusations of being in collusion, again accusing others of dictating my statements, stating that I do not speak English, etc. My English is good for Mr. Nussbaum's lies but not good for when I decide to say the truth. This document was written by me and my attorneys in Russia and I fully understand the meaning of every statement.

57. If the Commission has to contact me my e-mail is: skapustin@yahoo.com.

The foregoing is true and correct to the best of my knowledge under penalties of perjury under 28 U.S.C. § 1746.

Signed on July 13, 2016



Sergey Kapustin

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the attached motion to intervene upon all parties of record by first class mail and email at the addresses below, and that the original and five copies are being filed with the Secretary of the Federal Maritime Commission:

Marcus A. Nussbaum
P.O. Box 245599
Brooklyn, NY 11224
marcus.nussbaum@gmail.com

Eric C. Jeffrey
Nixon Peabody LLP
799 9th Street NW, Suite 500
Washington DC 20001
ejeffrey@nixonpeabody.com

Signed on July 13, 2016


Sergey Kapustin

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Respondents.

MOTION TO STRIKE AND SEAL

I, Sergey Kapustin, on my own behalf, and on behalf of Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., SK Imports, Inc. d/b/a Global Cars, and Global Cargo Oy, hereby request on an emergency basis that certain confidential documents produced by the attorney for the complainants be stricken and sealed. Specifically, I am requesting that the documents contained in Appendix 3 to complainants' August 9, 2016 reply to a response (which are clearly

marked as CONFIDENTIAL) be stricken and sealed because they are confidential documents that were produced on behalf of Effect Auto Sales, Inc., G Auto Sales, Inc., and Global Auto, Inc. in a Federal court proceeding in New York pursuant to a confidentiality order which forbid their use in any other case for any other purpose. In order to avoid being irreparably harmed by this clear violation of the confidentiality order issued by the Federal court in New York these documents must be immediately stricken and sealed from any public view.

This Motion is supported by my Affirmation.

Signed on August 19, 2016



Sergey Kapustin

FEDERAL MARITIME COMMISSION

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Respondents.

**AFFIRMATION OF SERGEY KAPUSTIN IN SUPPORT OF
MOTION TO SEAL CONFIDENTIAL DOCUMENTS**

Sergey Kapustin, affirms the following to be true under penalties of perjury under 28 U.S.C. § 1746, and says:

1. I make this affirmation in order to request on an emergency basis that certain confidential documents produced by the attorney for the complainants be stricken and sealed.

2. First, I want to make it clear that this motion, just like my previous motion seeking permission to intervene, is being made by me as the President and sole owner of Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., and SK Imports, Inc. d/b/a Global Cars, all of which make up the Global Auto Group.

3. G Auto, Effect Auto, and Global Auto are the three companies that dealt with Empire United Lines (Empire) all the time regarding the four vehicles that are the subject of these proceedings. These are the companies that delivered the four vehicles to Empire United Lines and negotiated all the details for delivering the four vehicles to Kotka, Finland. These three companies were ALL represented by Mr. Nussbaum in Federal court on the issue of the same four vehicles that are the subject of these proceedings.

4. Mr. Nussbaum is trying to trick the Commission by ignoring the fact that I was always the General Manager and had ultimate decision making authority over these companies at all times. As of December 2013 I have been the sole owner, Treasurer, President, and the only officer of these companies of Effect Auto Sales, Inc., G Auto Sales, Inc., Global Auto, Inc., and SK Imports, Inc. d/b/a Global Cars, all of which make up the Global Auto Group.

5. The reason I am making this motion seeking emergency relief is because Mr. Nussbaum has now produced documents in this case belonging to G Auto, Effect Auto, and Global Auto, which were produced in Federal court in New York under a confidentiality order and were not permitted to be used or produced in any other court. These documents were contained in Appendix 3 to Mr. Nussbaum's August 9 reply to a response and are clearly marked as CONFIDENTIAL.

6. Mr. Nussbaum obtained these confidential documents in his role as corporate attorney for the three companies in Federal court in New York and knew that these documents

were being produced under a confidentiality order. This did not stop him from breaking the confidentiality order without permission and using these documents in this case against the interest of the three companies he represented in Federal court. A copy of the confidentiality order is attached as Appendix 24 to this affirmation.

7. If the Commission continues to allow Mr. Nussbaum to act in conflict to his clients, betray attorney client privilege, and break confidentiality orders, I personally and my companies will be irreparably harmed. I am asking the Commission to strike the Appendix 3 documents or seal them from public view.

8. I also make this affirmation in order to reply to the lies and other incorrect statements made by Mr. Nussbaum in his papers responding to my motion to intervene.

9. Mr. Nussbaum is misleading the Commission by saying that my motion to intervene was prepared by a lawyer for me. All I stated was that I had some American lawyers in Russian to help me to understand the legal issues and to help me with the English language. But the Commission should see how much Mr. Nussbaum is enjoying trying to defraud the Commission knowing that I don't have the funds to hire a lawyer.

10. Mr. Nussbaum is claiming that I have a personal vendetta against him. Why would I have such a vendetta against the lawyer who was willing to represent me for free? I refer the Commission to Appendix 1 of my motion to intervene.

11. Mr. Nussbaum also referred to a waiver of privilege in his papers. It is true that I waived attorney client privilege, but this was not a waiver of conflicts or a waiver allowing Mr. Nussbaum to improperly use confidential company documents. I, as the Commission may recall, openly produced the waiver of privilege in Appendix 18 to my motion to intervene.

12. I also would like to show to the Commission the shipping documents that the Global Auto Group received from Empire United Lines. Those documents were signed by me at the time I received them and it is undisputed that the same documents were sent to all the complainants by email from the Global Auto Group at the time they reserved the vehicles. See Appendix 23 attached showing the shipping documents as received. It is also undisputed that Mr. Nussbaum is in possession of these documents since he received them as my attorney but now he is hiding these documents from the Commission.

13. The Global Auto Group does claim that the complainants owe unpaid charges for the shipping of the vehicles. This is undisputed and thus it is obvious that the Global Auto Group has a financial interest in the vehicles that are the subject matter of these proceedings. I would like to refer to Appendix 10 of my motion to intervene showing that all the complainants signed letters stating that they bought the vehicles from Global Auto, not from any other company.

14. The Jeep Compass was sold by Global Cargo Oy as an agent for the Global Auto Group in November 2014. See Appendix 22 attached to this affirmation, which are the invoice issued by Global Cargo Oy acting as agent for Global Auto and the export document issued by the storage facility in Kotka, showing that the Jeep Compass was not in the possession of Empire United Lines or CarCont when it was sold. This is the vehicle claimed to have been only reserved by complainant Irina Rzaeva when she transferred money to the Global Auto Group that she called a “gift” as shown in Appendix 15 to my motion to intervene.

15. I also noticed that Mr. Nussbaum objects to my not having stated my location when I signed my affirmation and motion papers. I do not think this can be a requirement because I notice that the complainants never indicated their location when they signed the papers verifying their complaints in these proceedings. If Mr. Nussbaum is correct and I am wrong

about whether this is a requirement, then logically the complaints should also be dismissed together with my motion.

16. Yes I was not straightforward all the time with the court in other cases but Mr. Nussbaum all three years taught me how to lie. As described by Mr. Nussbaum I am the worst criminal and “pathological liar” but I am still the seller of all four vehicles, still the only person who always had ultimate power over the Global Auto Group, and since December 2013 the only owner and the only officer in all the Global Auto Group companies: G Auto, Effect Auto, and Global Auto.

17. Mr. Nussbaum is acting as if he is “Mother Teresa” and conveniently ignoring the undisputed fact that even though he was the chief designer of the scheme to defraud Empire United Lines that resulted in the customers of the Global Auto Group losing their reservation for the four vehicles at issue, he is now representing the victims of his own scheme.

18. Mr. Nussbaum is constantly quoting the bitter words addressed to me on August 31, 2015 by his Honor Judge Hillman from the bench. However, Mr. Nussbaum somehow forgets to inform this Commission that just 28 days later on September 28 Mr. Nussbaum was begging to continue being my lawyer for free. See *pro bono* retainer agreement sent to me by Mr. Nussbaum which was attached as Appendix 1 to my motion to intervene. On September 28, 2015 Mr. Nussbaum did not seem to object to having a client who is a “pathological liar”, “thief”, and a “master criminal”.

19. Additionally Mr. Nussbaum cannot dispute that as recently as June 06, 2016 he was writing to his potential clients and victims that “Mr. Sergey Kapustin has asked me to bring certain information to the attention of the Court.” See Appendix 16 to my motion to intervene. How strange that Mr. Nussbaum wanted to deliver my message to the attention of the

Commission but now he wants to silence me as a "pathological liar" and a "master criminal."

20. It is also undisputed that the whole scheme Mr. Nussbaum developed was made in conspiracy and accessory with another common criminal Igor Cherkassky, who is the owner of the shipping company Unitrans-PRA. It is obvious and undisputed that ALL the litigations in the FMC involving Mr. Nussbaum are brought by him as part of the criminal conspiracy against the competitors of Unitrans-PRA.

21. I ask the Presiding Officer to put himself in my shoes. If I have no chance to file the motion to disqualify this mentally obsessed sick individual Mr. Nussbaum, then he will continue to betray me, and after me his other clients. It is undisputed that Mr. Nussbaum is a troll who is flooding the courts, including the Commission, with meritless lawsuits and betraying all his clients. As an example, his other client Baltic Auto Shipping recently had to pay \$165,000 for Mr. Nussbaum's fraud.

22. I ask the Commission to allow me to file the motion to disqualify and I will do it in five days after I receive the permission from the Commission.

The foregoing is true and correct to the best of my knowledge under penalties of perjury under 28 U.S.C. § 1746.

Signed on August 19, 2016

A handwritten signature in blue ink, appearing to read 'Sergey Kapustin', written over a horizontal line.

Sergey Kapustin

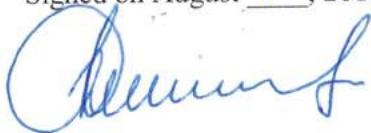
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the attached motion to supplement upon all parties of record by first class mail and email at the addresses below, and that the original and five copies are being filed with the Secretary of the Federal Maritime Commission:

Marcus A. Nussbaum
P.O. Box 245599
Brooklyn, NY 11224
marcus.nussbaum@gmail.com

Eric C. Jeffrey
Nixon Peabody LLP
799 9th Street NW, Suite 500
Washington DC 20001
ejeffrey@nixonpeabody.com

Signed on August 19, 2016



Sergey Kapustin

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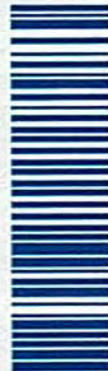
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Page 1 of 1

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Case ID: 18-0752-NLH-25170-A3



FROM:

Sergey Kapustin
303 Ridgeway Street unit 1
Philadelphia, PA 19116

TO:

Marcus A.
Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224

EXHIBIT 4

665



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DATE & TIME	STATUS OF ITEM	LOCATION
July 18, 2016 , 9:27 am	Delivered, Parcel Locker	BROOKLYN, NY 11224

Your item was delivered to a parcel locker at 9:27 am on July 18, 2016 in BROOKLYN, NY 11224.

July 16, 2016 , 10:25 am	Available for Pickup	BROOKLYN, NY 11224
July 16, 2016 , 9:34 am	Out for Delivery	BROOKLYN, NY 11224
July 16, 2016 , 9:24 am	Sorting Complete	BROOKLYN, NY 11224
July 16, 2016 , 8:46 am	Arrived at Post Office	BROOKLYN, NY 11224
July 15, 2016 , 12:08 pm	Departed USPS Destination Facility	METRO, NY
July 15, 2016 , 12:05 pm	Arrived at USPS Destination Facility	METRO, NY
July 14, 2016 , 10:52 pm	Arrived at USPS Origin Facility	PHILADELPHIA, PA 19116
July 14, 2016 , 5:01 pm	Departed Post Office	WARMINSTER, PA 18974
July 14, 2016 , 9:04 am	Acceptance	WARMINSTER, PA 18974

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PAID
RICHMOND, PA
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FROM: *Sergey Kapustin*
303 Ridgeway St
Philadelphia, PA 19116
TO: *Marcus A. Nussbaum*
P.O. Box 245599
Brooklyn, NY 11224

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DATE & TIME	STATUS OF ITEM	LOCATION
August 8, 2016 , 2:12 pm	Delivered	BROOKLYN, NY 11224

Your item was delivered at 2:12 pm on August 8, 2016 in BROOKLYN, NY 11224.

August 5, 2016 , 7:51 pm	Available for Pickup	BROOKLYN, NY 11224
August 5, 2016 , 9:22 am	Out for Delivery	BROOKLYN, NY 11224
August 5, 2016 , 9:12 am	Sorting Complete	BROOKLYN, NY 11224
August 5, 2016 , 6:35 am	Arrived at Post Office	BROOKLYN, NY 11224
August 4, 2016 , 1:01 pm	Departed USPS Destination Facility	METRO, NY
August 4, 2016 , 7:59 am	Arrived at USPS Facility	METRO, NY
August 3, 2016 , 10:00 pm	Departed USPS Facility	PHILADELPHIA, PA 19116
August 3, 2016 , 7:20 pm	Arrived at USPS Origin Facility	PHILADELPHIA, PA 19116
August 3, 2016 , 4:36 pm	Departed Post Office	RICHBORO, PA 18954
August 3, 2016 , 1:58 pm	Acceptance	RICHBORO, PA 18954

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Maria Temkin

From: ильдар хафизов <ildar.xafizov@inbox.ru>
Sent: Wednesday, May 18, 2016 2:17 PM
To: maria; melinda_mueller

To Maria Temkina

Case 13 CIV 7152

Akischev et al. vs Kapustin et al

Dear Maria Temkina

We have sent you two official letters (the first dated from 25 April 2016, the second on March 10, 2016) we provide you with the information which has a direct and immediate relationship to the judicial process of the distinguished Federal Judge Noel L. Hillman, the court of Camden city, New Jersey, USA.

Against TRT International Empire and ATC Logistics Oy Shipping companies

In the first letter (dated from 25 April 2016), the group of affected customers from the illegal actions of the TRT International and their direct official representative in Finland, the customs warehouse for responsible storage ATC Logistics Oy companies, asks you to comment to your actions, and answer to the affected customers on their questions.

We have provided you with the information that has immediate, direct relationship to your lawsuit against TRT International, Empire and ATC Logistics Oy Shipping companies.

We haven't received an answer to your official request.

Also this situation shows that you ignore the facts which are happening in Finland, in the scene of the crime of theft in especially large size, well-organized, by a group of persons consisting of Oleg Mitnik, Paul Kluyev, Marina Kluyeva, Kari Talvitie, who committed fraudulent acts against the customers of Global inc. And in consequence, the above listed persons, who are included in the criminal group, took possession of the cars of the customers, which doesn't belong to them to no any legal rights.

This request is going to be sent with an informal letter to the court of the Camden city New Jersey, United States of America, to the Honorable Judge Noel L. Hillman. As the fate of 100 cars delivered to the port of Mussalo, Kotka, the Republic of Finland and the fate of cars which are situated in the TRT International company's warehouse in the United States of America, that have not been delivered to Finland are in the hands of the respected judge. Committed theft in especially large size by a group of persons consisting of Oleg Mitnik, Paul Kluyev, Marina Kluyeva, Kari Talvitie (the persons against whom you are holding a trial in the USA), on the territory of the Republic of Finland, where the cars were stolen, and subsequently sold out, which belonged to our clients to legal rights, you are not interested in.

The fact of the illegal movement (theft in especially large size) by Paul Kluyev, the direct representative of TRT International company from its warehouse ATC Logistics Oy, with the direct guidance of Oleg Mitnik personally, of 43 cars having a direct relationship to your judicial process in the USA, New Jersey, in Camden city, you are not also interested in.

The process that we are taking in the territory of the Republic of Finland, which has the most direct relationship to your process held in the court of Camden city, New Jersey, USA.

The question is how you are going to pay the damages of the affected customers.

The customers who paid for their cars, which are in the territory of Finland, didn't receive them.

We want to convey to you the fact that:

A group of customers organized a collective submission of applications to the Supreme Executive authority of the Russian Federation, to the Investigative Committee of the Russian

хранения ATC Logistics Oy просит вас, дать комментарий вашим действиям, и ответить пострадавшим клиентам на их вопросы. Мы предоставили вам информацию, имеющую непосредственное, самое прямое отношение вашему к судебному процессу против Шипинговых компаний TRT International, Empaer и ATC Logistics Oy

Ответа на свой официальный запрос мы не получили.

Во втором письме (от 25 апреля 2016) мы так же предоставили информацию имеющую прямое отношение к вашему судебному процессу в Соединенных Штатах Америки .

Предоставили вам факты о незаконном перемещении 43-х автомобилей (принадлежащих на законных основаниях клиентам компании Globalinc), официальным представителем компании TRT International на территории Финляндии Павлом Ключевым со склада ATC Logistics Oy, на потайной склад Avind, с прямых указаний президента компании TRT International, Олегом Митником лично. (о чем есть официальное подтверждение, фото и видео фиксация) Так же в двух официальных письмах направленных в ваш адрес, мы предоставили вам факты вымогательства денег с клиентов, уже сполна оплативших свои автомобили.

Ответ на второе письмо нами так же получен не был.

На данный момент становится понятно, что не отвечая на наши официальные письма вам и игнорируя их, вы отказываетесь представлять факты и интересы обманутых клиентов перед законом, пострадавших от неправомерных действий компании TRT International и их официального представителя на территории Республики Финляндия склада ответственного таможенного хранения ATC Logistics Oy.

В начале судебного процесса, вы очень активно вели агитационную деятельность, рассылали запросы, консультировались у пострадавших клиентов, для присоединения их исковых заявлений к судебному процессу против Сергея Капустина президента компании Globalinc. В последствии получив удовлетворительный иск на сумму в 2 300 000 \$ вы игнорируете всех клиентов имея свой корыстный интерес. Если вы отказываете всем клиентам в той помощи, о которой обещали им ранее, когда они предоставляли вам информацию, которую вы использовали в личных целях организуя судебный процесс против компании Global inc. в лице президента компании Сергея Капустина, то просим вас сообщить нам об этом официально, так как клиенты остались не удовлетворены вашей работой и вашими действиями.

На данный момент вы ведете судебный процесс против Михаила Хитринова, Олега Митника, Павла Ключева и у вас не возникает вопросов от пострадавших клиентов? Так же из сложившейся ситуации видно, что вы игнорируете факты происходящие на территории Финляндии, месте совершения преступления, хищения в особо крупном размере, хорошо организованной преступной, группой лиц в составе Олега Митника, Павла Ключева, Марины Ключевой, Кари Талвитие, совершивших мошеннические действия против клиентов компании Globalinc. и впоследствии

Республики Финляндии склада ответственного таможенного хранения ATC Logistics Oy, склада сообщника, участвовавшего в хранении украденной техники AVIND принадлежащей клиентам компании Global inc.

--

ильдар хафизов

Maria Temkin

From: Sanek Nervniy <sanekbmw79@mail.ru >
Sent: Thursday, March 24, 2016 7:37 AM
To: maria@brownlegalconsulting.com
Subject: from Alexander Bogdanov

Hello dear Anna and Maria! This is Alexander Bogdanov, a representative the group of deceived people, whose cars were stolen by Oleg Mitnick (trt) and Michael Hitrinov (empaer unaited). Observing this process, I and the people I represent, do not agree if you make settlement for a smaller amount with the above-mentioned gentlemen (Mitnik and Hitrinov). No one gave you the right to reduce the amount of losses of customers! If you do it on your own, we have a lawyer in the territory of the Russian Federation, a well as in the United States, who will contact you soon. Sincerely Alexander Bogdanov.

Sanek Nervny

Maria Temkin

From: Санек Нервный <sanekbmw79@mail.ru>
Sent: Thursday, March 24, 2016 7:37 AM
To: maria@brownlegalconsulting.com
Subject: от Александра Богданова

Здравствуйте уважаемые Анна и Мария! Пишет вам Александр Богданов, представитель группы обманутых людей, чьи машины похитил Олег Митник (трт) и Михаил Хитринов (empaer unaited) . Следя за этим процессом , я, и люди которых я представляю, не согласны если вы произведете договоренность на меньшую сумму с выше упомянутыми господами (Митник и Хитринов). Ни кто вам не давал право уменьшать сумму потерь клиентов! Если вы предпримете это самостоятельно, у нас есть адвокат на территории РФ, а также на территории США, которые в ближайшее время будут вас контактировать. С уважением Александр Богданов.

--

Санек Нервный

Maria Temkin

From: Sergey Kapustin skapustin@yahoo.com
To: Maria Temkin; anna@brownlegalconsulting.com;
marcus.nussbaum@gmail.com
Sent: Monday, March 28, 2016 4:45 AM
Subject: Fwd: document from Hitrinov
Attachment: 1456442714686677.docx; Untitled attachment 00083.txt

Maria, Anna, Marcus, I am sending you a document, which was prepared for my signature by Hitrinov and his lawyer so they could use as leverage the amount of what is owed to them with the amount of claim that you filed against Hitrinov in Camden court, by this writing mr. Hirinov confirms that the client should get nothing and I will not be able to enter the U.S. territory, as Hitrinov is always threatening me with physical means and criminal prosecution, I cannot live like that as there is a threat of violence is against my life. He is constantly offering me to sue the lawyers, all the translations were done for me by Hitrinov, yes I understand that hitrinov is the one who is responsible for what is going on today, and all the filings in court are done by Michael hitrinov, and everything what the attorney for Krivosheev is doing is done by Hitrinov, I am ready to participate in any court as defendant, witness or injured party. I ask you to communicate it to the court.

EXHIBIT 7

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Monday, March 28, 2016 4:45 AM
To: Maria Temkin; anna@brownlegalconsulting.com; marcus.nussbaum@gmail.com
Subject: Fwd: документ от Хитринова
Attachments: 1456442714686677.docx; Untitled attachment 00083.txt

> Мария , Анна , Маркус , посылаю вам письмо которое для моей подписи составил Хитринов и его Адвокат , что бы сравнять сумму моего приговора с иском который вы предъявляете Хитринову в суде камдон , данным письмом г-н хитринов подчеркивает , что клиенты не должны ничего получить , я не могу заехать на тереторию США , так как Хитринов постоянно угрожает расправой как физической так и уголовной , я не могу так болше жить , когда над моей жизнью весит угроза расправы . Постоянно предлагаетца судить адвокатов , все переводы мне готовил Хитринов , да я понимаю что хитринов тот человек , который сделал так как это сегодня происходит , и все заявления в суд пишыт Михаил хитринов , также все что делает адвокат Кривашеева делает Хитринов , я готов участвывть в любом суде , как ответчик , свидетель и пострадавший .просьба сообщить это в суд .

SUPREME COURT OF THE STATE OF NEW YORK
COUNTY OF NEW YORK

EMPIRE UNITED LINES CO., INC. and
MICHAEL HITRINOV,

Plaintiffs,

-against-

SERGEY KAPUSTIN, GLOBAL AUTO,
INC., EFFECT AUTO SALES, INC., G AUTO
SALES, INC. and SK IMPORTS, INC.,

Defendants.

Index No.

**AFFIDAVIT FOR JUDGMENT BY
CONFESSION (CPLR § 3218)**

STATE OF _____ :
: SS.:
COUNTY OF _____ :

SERGEY KAPUSTIN, being duly sworn, deposes and says:

1. I currently reside at 303 Ridgeway Street, County of Philadelphia, State of Pennsylvania and authorize entry of judgment in New York County, New York.
2. I am the sole principal and owner of Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc., and SK Imports, Inc. d/b/a Global Cars (the “Global Enterprise”).
3. Global Auto, Inc. is a New Jersey corporation with its primary place of business at 500 South Broad Street, Elizabeth, New Jersey 07202.
4. Effect Auto Sales, Inc. is a New Jersey corporation with its primary place of business at 500 South Broad Street, Elizabeth, New Jersey 07202.
5. G Auto Sales, Inc. is a New Jersey corporation with its primary place of business at 150-1 Carriage Lane, Delran, New Jersey 08075.
6. SK Imports, Inc. is a Pennsylvania corporation with its primary place of business at 303 Ridgeway Street, 2nd Floor, Philadelphia, PA 19116.

EXHIBIT 8

7. SK Imports, Inc. transacts business under the fictitious name Global Cars and is a successor to Global Auto, Inc., Effect Auto Sales, Inc. and G Auto Sales, Inc.

8. On my own behalf, and on behalf of the Global Enterprise, I hereby confess judgment in favor of Empire United Lines Co., Inc., a New York corporation, and Michael Hitrinov, a resident of New York, or their successors or assigns ("Empire") for the sum of One Million Eight Hundred Forty Seven Thousand Five Hundred Eight and 70/100 Dollars (\$1,847,508.70) and hereby authorize Empire or their successors, assigns or legal representatives to enter judgment for that sum, plus accrued interest and less any payments on account, jointly and severally against me and the Global Enterprise in the County of New York and in any jurisdiction where such judgment is enforceable in the circumstances set forth below.

9. This Affidavit of Judgment by Confession is executed pursuant to New York Civil Practice Law and Rules Section 3218 for a debt justly due to Empire arising out of the following facts:

- a. The Global Enterprise was involved in the business of purchasing automobiles in the United States at auctions for re-sale to buyers overseas.

Investment Agreement

- b. On or about September 2010, on behalf of the Global Enterprise, I negotiated and entered into an agreement with Empire pursuant to which Empire would invest certain funds in the Global Enterprise's automobile vehicle inventories in exchange for a profit-sharing arrangement plus a payment of 1.5% per month as an advance payment of Empire's share of anticipated profits from the re-sale by the Global Enterprise of the vehicles acquired through Empire's investment (the "Investment Agreement").

- c. Under the Investment Agreement the parties further agreed that, in exchange for Empire's investment, Empire was to receive a 60% equity interest in those vehicles in the Global Enterprise's inventory financed by Empire's investment.
- d. Under the Investment Agreement, the parties agreed to review the profit realized on the sale of each investment vehicles by the close of the 2012 calendar year and to distribute those profits on the basis of the parties' respective equity; *i.e.* 60% Empire / 40% Global Enterprise.
- e. The Investment Agreement further provided for Empire to be entitled to a right of possession in any vehicle acquired by the Global Enterprise through the Empire investment, until such time as it was released to a third-party buyer with the consent of Empire. Such vehicles were to serve as collateral for Empire's investment and in the event of breach of the Investment Agreement by the Global Enterprise any vehicles in Empire's possession could be sold by Empire to recoup the amounts due to Empire under the Investment Agreement.
- f. Finally, the Investment Agreement authorized Empire to demand repayment of the principal investment amount with 30 days' notice, and upon failure to provide repayment within 30 days to sell any of the vehicles in Empire's possession to recoup the amounts due to Empire under the Investment Agreement.

Failure to Repay Investment

- g. On December 27, 2012, Empire notified me and the Global Enterprise concerning the breach of the Investment Agreement and demanded repayment of all amounts due within 30 days.

- h. On December 27, 2012, the principal amount invested by Empire which remained justly due to be repaid was \$422,018.00.
- i. I, and the Global Enterprise, breached the Investment Agreement by failing to repay the amounts justly due to Empire, and by failing to distribute any profits from the sale of vehicles financed through the Investment Agreement.
- j. Due to this breach of the Investment Agreement, Empire was forced to sell some of the vehicles which were in their possession in January of 2013 in order to mitigate their damages and recoup the amounts due under the Investment Agreement.
- k. Empire sold 43 vehicles, receiving only \$332,206.59 in net proceeds from the sale after taking into account liabilities to the purchasers for significant repairs that had to be conducted in order to render the vehicles merchantable due to the poor condition of the vehicles.
- l. Empire's sale of the vehicles was authorized under the Investment Agreement and I believe that Empire's actions were reasonable under the circumstances.
- m. Thus, even after the sale of these vehicles \$89,811.41 remained justly due and owing to Empire

Failure to Pay Profit Sharing

- n. Between September 2010 and December 2012, approximately 543 vehicles were financed through the Investment Agreement and were sold by the Global Enterprise with no profits being distributed to Empire.

- o. Between September 2010 and December 2012, the average profit that the Global Enterprise was earning with the sale of each vehicle was approximately \$3,000.00.
- p. Thus, under the Investment Agreement, Empire was entitled to receive profits from the sale of the approximately 543 vehicles financed through the Investment Agreement, in the total amount of \$977,400.00 as nearly as can now be calculated.
- q. The Global Enterprise pre-paid profits in the total amount of \$212,719.30 to Empire in the form of the 1.5% monthly payments which served as advances on Empire's share of the profits.
- r. Thus, as of December 2012, there still remained a balance of \$764,680.70 in profits justly due and owing by the me and the Global Enterprise to Empire.

Unpaid Storage Charges

- s. On December 18, 2012, Empire notified me and the Global Enterprise that effective immediately the cost of storing vehicles in Empire's warehouse in New Jersey would be \$10.00 per day and also include a \$300.00 handling fee.
- t. I, and the Global Enterprise, have failed to pay these reasonable storage charges which have accrued with respect to sixteen vehicles that Empire stored in their warehouse in New Jersey from December 2012 through July, 2015.
- u. These unpaid storage charges are presently in the amount of \$160,810.00 and are justly due to Empire.

Defamation of Empire

- v. Beginning in late January 2013 and continuing through March 2013, on behalf of the Global Enterprise, I prepared and sent letters and emails to Empire's vendors, business partners, customers, and competitors containing falsehoods about Empire and misrepresentations of the facts surrounding the dispute between myself, Empire and the Global Enterprise. I also encouraged others to spread these letters containing false, malicious and defamatory statements concerning Empire.
- w. My purpose in writing and sending these letters and emails was to harass, embarrass, and defame Empire and try to cause them to lose valuable business relationships and reputational standing in the community and industry.
- x. In March 2013, on behalf of the Global Enterprise, I purchased and registered, or caused to be purchased and registered approximately 25 internet domains, and caused false, malicious, and defamatory statements concerning Empire to be published on those domains. When registering and creating these websites, I falsely registered and created them in such a manner as to make it appear that Empire had registered and created these websites. These websites were all hosted on the servers utilized by the Global Enterprise.
- y. I knew that the content on the websites was false when they were created and my purpose in registering and creating these websites was to harass, embarrass, and defame Empire and try to cause them to lose valuable business relationships and reputational standing in the community and industry.
- z. I understand that Empire has been seriously injured by the false and defamatory letters, emails, and websites which accused Empire falsely of engaging in

criminal conduct and agree that the value of this damage to Empire's reputation would be fairly valued at \$500,000.00.

Total Amounts Justly Due and Owing

aa. In total, \$1,847,508.70 remains justly due and owing to Empire by me and the Global Enterprise, broken down into the following categories:

1. Liability for repayment of investment: \$422,018.00;
2. Liability for payment of profit sharing: \$764,680.70;
3. Liability for payment of storage and handling charges:
\$160,810.00; and
4. Liability for creation and publication of defamatory letters, emails,
and websites: \$500,000.00.

10. Empire is presently litigating claims with respect to the amounts due and owing as described above against me and the Global Enterprise in the United States District Court for the Eastern District of New York. The Global Enterprise has been held to be in default in that litigation.

11. In order to avoid incurring further difficulty and expense in defending against these claims, I have decided to settle the claims between Empire, myself, and the Global Enterprise.

12. I and the Global Enterprise do not presently have the ability to pay Empire the amounts due and owing as described above, since I and the Global Enterprise are subject to freezing orders issued by the United States District Court for the District of New Jersey.

13. Therefore, by way of compromise, on behalf of myself and the Global Enterprise, I have agreed to enter into this Confession of Judgment.

14. This Confession of Judgment may be entered without any prior notice to myself or the Global Enterprise.

15. I further authorize entry of judgment against me and the Global Enterprise, jointly and severally, for costs and disbursements as provided in Section 3218(b) of the New York Civil Practice Law and Rules and reasonable attorney's fees incurred by Empire in the entry of this judgment and any subsequent proceedings to enforce such judgment.

16. This Confession of Judgment does not involve an installment sale as prohibited by New York Civil Practice Law and Rules Section 3201.

17. This confession of judgment is not for the purpose of securing Empire against a contingent liability.

SERGEY KAPUSTIN
In his individual capacity

SERGEY KAPUSTIN
President of Global Auto, Inc.

SERGEY KAPUSTIN
President of Effect Auto Sales, Inc.

SERGEY KAPUSTIN
President of G Auto Sales, Inc.

SERGEY KAPUSTIN
President of SK Imports, Inc.

February 4, 2016

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Saturday, May 28, 2016 10:24 AM
To: Jon Werner; anna@brownlegalconsulting.com,
marcus.nussbaum@gmail.com; Maria Temkin

Sent from iPhone dear john, not waste your time on conversations with Mitnik and Krivosheev, it is too late, your client did everything so that the case went out of control, people want their money that Hitrinov stole, and all sorts of made up stories that the freight was not paid for, these are all made-up and that there were no releases, that sheriff arrested the cars, did he arrest in Kotka also and let Hitrinov to remove them. I will go with those who fights against Hitrinov and I do not care whether it would be temkin or brown or nussbaum or other attorneys, I will be on the side of the people who fights against Hitrinov and Mitnik because they stole peoples' property and the case against me was made up and it does not matter today that Hitrinov made it and all of that because of Hitrinov, and there are people which figured that out, and they will come to court against hitrinov because I helped them to get visas, and that's the truth!!! Which everyone needs, and your Hitrinov measure everything with money and that's not always important. He threatens people with litigations so they come to his side, let him sue us all, we will all come to court and judge us. If Hitrinov states that I owe him, then he should sue me, why did he touch the clients' cars, or as usual to scare with court, it is not that scary!!! Or money which he offered to buy me with when he offered \$75,000 so I signed all his dirty documents but no, no, no, and one more time no. Or to give the clients' cars which are in Camden court to Krivosheev instead they should be given to people to whom they belong. And your Hitrinov will have to answer, I do not take your side and the side of brown and Temkin, I take the clients' side, they will get it all done, and the suffered not only from me but from Hitrinov and Mitnik and from your hands, that is give the people what is stolen. You are fighting for Hitrinov's stolen things so you are in his business also because you accept money that Hitrinov stole from people. Nobody is going to let you settle for less, give back what you took from people. I am not that good in jurisprudence but I know that Hitrinov stole clients' money. The clients will come to court to testify how Hitrinov convinced them to testify against me and made up stories. I and all my clients will testify how Hitrinov and Mitnik conduct their criminal affairs!

EXHIBIT 9

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Saturday, May 28, 2016 10:24 AM
To: Jon Werner; anna@brownlegalconsulting.com; marcus.nussbaum@gmail.com; Maria Temkin

Отправлено с iPhone уважаемый John, не традьте свае время на переговоры с Митником и Кривошеевым, все очень поздно, ваш подопечный все сделал так, что бы дело вышло из под контроля, люди хотят свои деньги которые украл Хитринов, и всякие придуманные истории, что был не оплачен фрахт, это все очередные выдуманные истории, все это вранье что небыло откреплений, что шериф арестовал машины, что в котке тоже арестовал, а Хитринову дал вывезти. я буду идти с теми кто боретца против Хитринова, и мне без разницы кто это будет, темкина или браун или насбаум, или другие адвокаты, я буду на той стороне кто будет боротца против Хитринова и Митника, а потому как они украли имущество людей, и то что дело которое против меня было выдуманно, мне сегодня уже без разницы его сделал Хитринов, и всего бы этого небыло если бы не Хитринов, и есть люди которые в этом разобрались, и на суд против хитринова приедут люди которым я помог сделать визы, это будет правда !!!! Которую ждут все, ваш Хитринов все мерит деньгами, это не всегда важно. Он всячески угрожает людям, что бы они были на его стороне судами, да пусть судит всех, мы все придем на суд, и судите нас !!!! Если Хитринов утверждает, что я ему должен суди меня, зачем машины клиентов тронул, или как обычно напугаю всех судами, да нет уже не страшно !!!! Или денгами которыми он хотел купить в очередной раз, когда мне предлагал 75 000 \$, чтобы я подписывал его поганки, нет, нет, нет и еще раз нет, Или дать Кривошеевым машины клиентов, которые сегодня в кэмдонском суде, да не когда, пусть они достанутца тому кому они пренадлежат. И ваш Хитринов будет всеровно отвечать, я непринимаю вашу сторону и сторону браун и Темкин, я принимаю сторону клиентов, и у них все получетца их очень много, и они не только постродали от меня, но и от Хитринова, Митника, ну и от ваших рук тоже, поэтому надо людям отдать, что украли. Вы боретесь за то что Хитринов украл, значит вы тоже с ним в деле, вы берете деньги, которые Хитринов украл у людей. Вам некто не позволит договаритца, на меньшее, вы отдадите, что забрали у людей. я не настолько подкован юридически, но знаю одно, Хитринов украл деньги у клиентов. Клиенты дадут в суде показания как Хитринов их уговаривал довать показания против меня, и врал им разные истории. Я и все мои клиенты дадут подприсягой как Хитринов и Митник строят свою преступную деятельность !

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>

Date: Sunday, May 29, 2016 12:44

Subject: Хитринов-митник

To: Jon Werner <jwerner@lyons-flood.com>, marcus.nussbaum@gmail.com, anna@brownlegalconsulting.com, Maria Temkin, igor@vdlawfirm.com

Subject: Hitrinov-Mitnik

Sent from iPhone dear John and all who will be receiving this letter, your goal which you have tried to achieve is outdated, I will not be negotiating, as I understand that everything is a lie, to steal clients' cars and then try to negotiate. This is not happening. I do not want to become like Hitrinov and Mitnik. Yes, maybe I did things in my business which I am not supposed to do but I was punished for this but I did not steal people's cars and did not take them as shamelessly as Hitrinov and Mitnik. That is why you can even ask the judge to arrest me. It is not that scary. What scary is to be sleazy and a scumbag and to lie to a business partner and then to steal from the business partner. By the way about Bogdanov, all attorneys asked for his help, even Hitrinov asked to get in touch with him, and about the information collection, and to say that it was I??? How funny!!! You can tell whatever you want to. I do not change my word, but for Hitrinov, nothing would have happened what is happening today. It is Hitrinov who arranged all courts, and he continues to do so, and I am ready to answer for all the things I do but Hitrinov must answer himself for what he did. I will not stop if you threaten to arrest me. Arrest me but the clients' complaints will stand until the last client is satisfied. And that is for long and for sure, then taking a bite of what is Hitrinov offering and that Mitnik will give 200 000\$ so I shut up but this will never happen, you need to give back what you stole from people.

EXHIBIT 10

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Sunday, May 29, 2016 12:44 PM
To: Jon Werner; marcus.nussbaum@gmail.com; anna@brownlegalconsulting.com; Maria Temkin; igor@vdlawfirm.com
Subject: Хитринов-митник

Отправлено с iPhone уважаемый John и все кто получит это письмо, ваша цель которую вы преследовали, не актуальна, я не буду больше не с кем и не о чем договариватца, потому как я понял, что вокруг одно вранье, украсть машины у клиентов и при этом еще пытатца договаритца !!! Это не реально. Я не хочу стать таким как Хитринов и Митник. Да я может где то совершал в бизнесе, то что не должен был делать, но за это был наказан, но я не крал у людей машины, и не забрал так нагло, как это сделал Хитринов и Митник. Поэтому вы можете, так же попросить у судьи моего ареста. Это не страшно. Страшно стать мразью. И подонком и врать партнеру по бизнесу и при этом, его еще и обокрасть. Кстате начет Богданова, все адвокаты просили его помощи, даже Хитринов просил с ним связи, о сборе информации и при этом говарить, что это я ??? Смешно !!! Можете говарить, что угодно. Я свое мнение не меняю, если бы не Хитринов, небыло бы ничего, то что сегодня происходит. Это Хитринов организовал все суды, и продолжает, я готов отвечать, что делаю я, но Хитринов пусть сам отвечает, за то что он сделал ! Я не останавлиюсь перед вашими угрозами меня арестовать. Арестовывайте, но жалобы клиентов останутца, пока не будет удовлетварен последний клиент. И это еще надолго, но надежно, чем съесть кусок который предлагает Хитринов, а также предлагает, что Митник даст 200 000\$, что бы я закрыл рот, никогда этого не будет, надо отдать, то что вы украли у людей.

Maria Temkin

From: Sergey Kapustin skapustin@yahoo.com
To: Maria Temkin; anna@brownlegalconsulting.com
Sent: Sunday, May 29, 2016 12:26 AM

Sent from Iphone dear Maria, Anna, why having signed all the documents against hitrinov and Mitnik, you filed complaint in court only with three clients, why did you leave the rest of them behind, if you are refusing to go against these criminals, then give your power to file claims against Hitrinov and Mitnik to other attorneys who were contacted by clients, Hitrinov brazenly laughing to your face and telling everybody how he bought all including you. If you do not understand something, then ask, Hitrinov pushing money so he can close the issues while you are suing people you do not need. Are there not enough people that signed the petitions, there are more than 50 of them. What is your purpose??? You need to help people and shut down Hitrinov once and for all, I understand it is hard but real, you have people strength in your hands, why should I be responsible for all. Hitrinov offered me \$75,000. So I sided with him, I did not accept and did not sign a single paper, while I really need them. The people did great job so you can win, and you do not help them, the people put together a budget and gathered some funds for expenses, the case is at prosecutor's office in RF. And in finland's prosecutor's office, and you are not doing anything, may be I am mistaken but it appears so.

EXHIBIT 11

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Sunday, May 29, 2016 12:26 AM
To: maria@brownlegalconsulting.com

Отправлено с iPhone дорогая Мария , Анна, почему подписав вам все документы против хитринова и Митника , вы подали в суд всего трех клиентов , а что остальные остались за бортом , если вы отказываетесь вести дело против данных преступников , передайте полномочия ведения дел против Хитринова и Митника другим адвокатам , к которым обратились клиенты , Хитринов нагло смеется всем в лицо и рассказывает как он всех купил , и вас в том числе . Если вы , что то не понимаете , то спрашивайте вам подскажут , Хитринов всячески сует деньги , что бы закрыть вопросы , а вы пока пытаетесь привлечь к суду не тех кого нужно , что мало людей которые сегодня подписали заявления их больше 50 уже , ваша цель в чем ???? Надо помочь людям , и закрыть с Хитриновым раз и навсегда , я понимаю сложно , но реально , у вас в руках сила людская , или толк я один должен был ответить за всех . Хитринов мне предложил 75 000\$. Чтобы я выступал за него , я не взял , и не подписал не одной бумаги , хотя они мне очень нужны . Люди проделали колоссальную работу , что бы у вас были козыря , а вы им не помогаете , люди уже сделали кассу , собрав какие то деньги на расходы , дело в прокуратуре Р.Ф. И в финской прокуратуре , а вы бездействуете , может я ошибаюсь , но это похоже так .

Maria Temkin

From: Sergey Kapustin skapustin@yahoo.com
Sent: Thursday, June 23, 2016 11:47 PM
To: maria@brownlegalconsulting.com; marcus.nussbaum@gmail.com;
anna@brownlegalconsulting.com;
igor@vdlawfirm.com; jwerner@lyons_flood.com;
michael@eulines.com
Subject: Re: Sorry, mistake

Sent from iPhone. I apologize for bothering. In May I sent you several emails. In which I notified you that your client Michael offered me \$75,000 (USD). Unfortunately, it is not so. I would not have said no. I am just frustrated that after years of business which I gave to Michael, he did everything according to our agreement, I thought he could have helped me an opportunity to get out of this debt hall. All my emails that I sent you May 17-19 were dictated to me by Marcus Nussbaum. This (dishonest attorney) Marcus Nussbaum, which does his political career, got in touch with me over the phone and he told me that he agreed with his partner Maria Temkin that if I write these letters she will not sue me anymore. He literally dictated me all these letters. I am sorry that I keep on believing these people and believed this dishonest attorney Marcus. When Nussbaum Marc was our attorney he got \$14,000 from me so he could develop a scheme not to give back money to empire but to sell all cars and go to court. He made me and other Global company's employees to sign documents which are complete lies. Marcus Nussbaum a dishonest attorney, which created for Global false documents and ask to send out to clients. I am going to sue him and request that he stopped his machinations. Nobody gave me money, not for this letter, not for any other letters.... Again forgive me if you can....

EXHIBIT 12

Maria Temkin

From: Sergey Kapustin <skapustin@yahoo.com>
Sent: Thursday, June 23, 2016 11:47 PM
To: maria@brownlegalconsulting.com; marcus.nussbaum@gmail.com;
anna@brownlegalconsulting.com; igor@vdlawfirm.com; jwerner@lyons-flood.com;
michael@eulines.com
Subject: Re: Извините ошибка

Отправлено с iPhone

> Jun 24, 2016, в 12:02 AM, Sergey Kapustin <skapustin@yahoo.com> написал(а):

>

>

>

> Sent from my iPhone. Я прошу прощения за беспокойства . В мае я отправил вам несколько имэйлов . Где сообщаю , что ваш клиент Михаил , мне предлагал 75 000\$ (США) . К сожалению это не так .Хотя я бы не отказался . Просто мне обидно , что после стольких лет бизнеса , которые я довал Михаилу, он сделал все согласно нашего договора , я думал он мог бы дать мне возможность выбратца из этой финансовой ямы . Все мои Имайл , которые я послал вам в мае 17-19 числа , были мне продиктованы Маркусом Насбаум . Этот (не честный адвокат) Маркус Насбаум , который делает на мне свою палетическую карьеру связался со мной по телефону , и сообщил мне , что он договорился со своим партнером Марией Темкиной , что если я напешу эти письма она болше не будет меня судить .Он буквально продиктовал мне , все эти письма .Я сожалею по прежнему , верю людям и опять поверил этому нечестному адвокату (Маркусу). Насбаум Марк ещё когда был нашим адвокатам , получил 14 000\$ от меня , за то что обещал мне разработать схему , как не отдать деньги эмпает и продать все машины и подать в суд . Он заставил меня и других работников Global company подписывать документы которые полностью одна лож .Марк Насбаум это не честный адвокат , который создал для Global фальшивые документы и просил их рассылать клиентам . Он первый виновник того , что мы не отдали деньги и люди не получили машины . Я собираюсь судить его и требую , что бы он прекратил свои махинации . Ни каких денег мне никто не довал , ни за это письмо , и не за какие другие письмаЕщё раз простите , если можно.

APPENDIX “3”

1 UNITED STATES DISTRICT COURT
2 FOR THE DISTRICT OF NEW JERSEY

3
4 ARDAK AKISHEV, et al.,

5 Plaintiffs,

6 -vs-

7 SERGEY KAPUSTIN, et al.,

8 Defendants.

CIVIL ACTION NUMBER:

1:13-cv-07152-NLH-AMD

Proof Hearing

9 Mitchell H. Cohen United States Courthouse
10 One John F. Gerry Plaza
Camden, New Jersey 08101
11 Monday, August 31, 2015

12 B E F O R E: THE HONORABLE NOEL L. HILLMAN
13 UNITED STATES DISTRICT COURT JUDGE

14 A P P E A R A N C E S:

15
16 BROWN LEGAL CONSULTING, LLC
17 BY: ANNA V. BROWN, ESQUIRE
MARIA TEMKIN, ESQUIRE
Attorneys for the Plaintiffs

18
19 VOLOSHEN & DIVINSKY
20 BY: IGOR A. VOLOSHEN, ESQUIRE
Attorneys for the Defendants
21 G Auto Sales, Inc., Global Auto, Inc., Effect Auto
Sales, Inc., Global Cars, Inc.

22
23 Certified as true and correct as required by Title 28,
U.S.C., Section 753.

24 /S/ Robert T. Tate

1 another example of Mr. Kapustin playing games with this Court.
2 This is clearly evidence that a different reason was given for
3 the failure to deliver and not the reason he described. This
4 is within a very short period of time of this original
5 invoice.

6 Mr. Kapustin, I feel compelled to warn you that if you
7 perjure yourself or make false statements to this Court, I
8 have any number of different options available to me. To say
9 to me that you contacted some nonexistent Saab dealer that you
10 can't pinpoint and you have no records of it and then there's
11 an e-mail from your employee saying the car failed inspection
12 suggests to me that you are engaging not only in a fraud
13 against the plaintiffs in this case, but a fraud against this
14 Court, and I have warned you repeatedly, and I am not going to
15 warn you anymore.

16 I've tried to provide you an opportunity for a fair
17 hearing here to assess damages and you appear to be compelled
18 to continue to offer false excuses, false statements, and
19 misrepresentations to this Court designed to defraud this
20 Court just as you have defrauded the plaintiffs in this case.
21 I am at wit's end with you. In my nine years as a judge, I
22 have never seen someone so willing to lie and cheat and steal
23 than you, and your crimes extend to this Court.

24 We're going to conclude for the day and reconvene as
25 soon as I can find a spot to finish this fact hearing and

APPENDIX “4”



Marcus Nussbaum <marcus.nussbaum@gmail.com>

Fwd: shipping documents to review

Sergey Kapustin <skapustin@yahoo.com>
To: marcus.nussbaum@gmail.com

Fri, May 27, 2016 at 2:37 PM

Отправлено с iPhone

Начало переадресованного сообщения:

От: Sergey Kapustin <skapustin@yahoo.com>
Дата: May 27, 2016 at 9:25:55 PM GMT+3
Кому: Jon Werner <jwerner@lyons-flood.com>
Тема: Переапр.: shipping documents to review

Sent from my iPhone

Begin forwarded message:

From: "Jon Werner" <jwerner@lyons-flood.com>
Date: 27 May 2016 at 08:40:22 GMT+3
To: <kapustinamaria@yahoo.com>, "Sergey Kapustin" <skapustin@yahoo.com>
Subject: shipping documents to review

Mr. Kapustin,

Greetings. We recently received the attached documents from Mr. Nussbaum and kindly ask you to review them.

Regards,

Jon Werner**Lyons & Flood, LLP**

One Exchange Plaza

55 Broadway, Suite 1501

New York, NY 10006

Tel: (212) 594-2400

Fax: (212) 594-4589

Mob: (917) 509-2797

jw erner@lyons-flood.com

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APPENDIX “5”

**WAIVER OF ATTORNEY-CLIENT PRIVILEGE
AND WRITTEN CONSENT TO DISCLOSURE**

I, Sergey Kapustin, am the president and sole owner of Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc., and SK Imports, Inc. At all times, including the present, I have had full authority to speak on behalf of, and to make decisions with respect to, all of these companies.

I had previously retained the services of Marcus A. Nussbaum, Esq., Harlan Garrett Greenberg, Esq. and Igor A. Voloshen, Esq., as attorneys for Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc. and SK Imports, Inc.

The attorney client relationship between Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc. and SK Imports, Inc. and Marcus A. Nussbaum, Esq., Harlan Garrett Greenberg, Esq. and Igor A. Voloshen, Esq. has now ended.

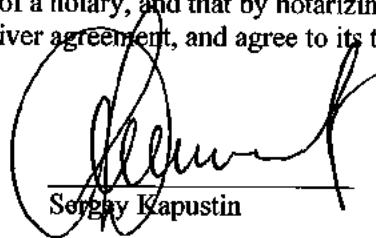
On behalf of Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc. and SK Imports, Inc. I hereby expressly waive any and all attorney client privileges that the companies hold, or that I hold, as a result of the legal representation of the companies by Marcus A. Nussbaum, Esq., Harlan Garrett Greenberg, Esq. and Igor A. Voloshen, Esq., and expressly grant permission to Marcus A. Nussbaum, Esq., Harlan Garrett Greenberg, Esq. and Igor A. Voloshen, Esq., or anyone associated with them, to discuss all issues I raised privately with them and to disclose all written communications I, and anyone associated with Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc. and SK Imports, Inc., have had with them.

I hereby represent that there was no force or threat to me by anyone for me to prepare and sign this waiver of confidentiality and consent to disclose. I further represent that, on behalf of Global Auto, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc. and SK Imports, Inc., I knowingly and intelligently waive any and all attorney client privileges those companies had, or that I had, with Marcus A. Nussbaum, Esq., Harlan Garrett Greenberg, Esq. and Igor A. Voloshen, Esq. and/or anyone associated with them.

I am fully aware that having signed this waiver agreement, I cannot hold Marcus A. Nussbaum, Esq., Harlan Garrett Greenberg, Esq. and/or Igor A. Voloshen, Esq., or anyone associated with them, whether during or after the attorney-client relationship, liable for disclosing confidential and/or privileged information about me or the companies.

I further agree that I will sign this agreement in the presence of a notary, and that by notarizing this agreement, I have willingly, and knowingly executed this waiver agreement, and agree to its terms voluntarily.

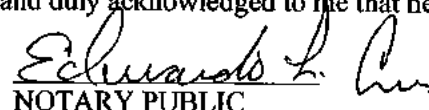
Dated: This 15 day of January, 2016


Sergey Kapustin

STATE OF Pennsylvania
COUNTY OF Bucks

On January 15, 2016 before me personally came Sergey Kapustin, to me known, and known to me to be the individual described in, and who executed the foregoing WAIVER OF ATTORNEY-CLIENT PRIVILEGE AND WRITTEN CONSENT TO DISCLOSURE, and duly acknowledged to me that he executed the same.

COMMONWEALTH OF PENNSYLVANIA
NOTARIAL SEAL
EDUARDO L CRUZ, NOTARY PUBLIC
BRIDGEPORT BORO, MONTGOMERY COUNTY
MY COMMISSION EXPIRES OCTOBER 11, 2016


NOTARY PUBLIC

APPENDIX “6”

S	E	R	V	E	D
July 29, 2016					
FEDERAL		MARITIME		COMMISSION	

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER GRANTING RESPONDENTS' MOTION FOR EXTENSION OF TIME

On July 28, 2016, Respondents filed a Motion for Extension of Time to respond to Complainants' Response to Order for Parties to Supplement the Record. *See Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11 (ALJ June 29, 2016) (Order for Parties to Supplement the Record). Responses are currently due August 2, 2016. *See id.* *See also Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11 (ALJ July 22, 2016) (Order Regarding July 26, 2016 Filings). Respondents ask that the due date be extended to August 9, 2016. Respondents state that counsel for Respondents will be in New Jersey July 27 through July 30, 2016, "attending to obligations to the United States Department of Justice as well as responsibilities relating to the

passing of his father. Counsel will technically be back in the office on Sunday, July 31, but will be in proceedings relating to obligations to the United States Department of Justice from Sunday, July 31 through Tuesday, August 2.” (Respondents’ Motion for Extension of Time (filed July 28, 2016) at 1-2.)

On July 28, 2016, Complainants filed an opposition to the motion. Complainants argue that “this *umpteenth* application by Respondents is untimely, disingenuous and is made with ‘unclean hands’, and upon *no good cause shown*. Consequently, it is respectfully submitted that Respondents’ request for an extension of time should be denied in its entirety.” (Complainants’ Response to Respondents’ Motion for Extension of Time at 1-2 (emphasis in original).)

The information sought by the undersigned when ordering the supplements to the record in the June 29, 2016, order is directly related to the question of the Commission’s jurisdiction over the claims in this proceeding. Complainants’ opposition to the motion for extension sets forth arguments that could support denial of the motion for extension. Some of Complainants’ claims seem as appropriately or more appropriately submitted to bar counsel than the Commission. Nevertheless, because of the importance of the information to the question of the Commission’s jurisdiction and the negligible impact a one week delay will have on this proceeding, Respondents’ motion for extension of time will be granted.

Upon consideration of Respondents’ Motion for Extension of Time, Complainants’ opposition thereto, and the record herein, it is hereby

ORDERED that Respondents’ motion be **GRANTED**. Time for Respondents and Complainants to respond to the other parties’ submissions filed pursuant to the June 29, 2016, order to supplement the record is extended to August 9, 2016.



Clay G. Guthridge
Administrative Law Judge

APPENDIX “7”

Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Friday, April 22, 2016 4:14 PM
To: Marcus Nussbaum
Cc: Kidambi, Harini; Judges
Subject: RE: Docket No. 15-11

I might also note that apart from acting in an unseemly manner, you have totally mischaracterized the last paragraph of the Order, which at least in my copy does not include any reference to a motion to stay or even the word “stay.” Such ethical lapses may call for their own conference with the Presiding Officer.



Eric C Jeffrey
Counsel
ejeffrey@nixonpeabody.com
T 202-585-8215 | C 703-919-3374 | F 855-782-6662
Nixon Peabody LLP | 799 9th Street NW | Suite 500 | Washington, DC 20001-4501
nixonpeabody.com | @NixonPeabodyLLP

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From: Jeffrey, Eric
Sent: Friday, April 22, 2016 4:08 PM
To: 'Marcus Nussbaum'
Cc: Kidambi, Harini; Judges
Subject: RE: Docket No. 15-11

Conducting argument by email is both contrary to the rules and unseemly. If you wish to argue the point, please request a conference with Judge Guthridge. In the meantime, it appears that both he and I understood his Order differently than you do. I would hate to repeat this silliness over the Motion to Consolidate that we filed today.



Eric C Jeffrey
Counsel
ejeffrey@nixonpeabody.com
T 202-585-8215 | C 703-919-3374 | F 855-782-6662
Nixon Peabody LLP | 799 9th Street NW | Suite 500 | Washington, DC 20001-4501
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Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Thursday, April 28, 2016 2:43 PM
To: Marcus Nussbaum; secretary@fmc.gov
Cc: Judges; Kidambi, Harini
Subject: RE: Dockets No. 15-11 and 1953(l)

Dear Karen, Rachel

I have no idea what Mr. Nussbaum believes is either unorthodox, informal, or improper about filing a motion with the FMC asking for a conference. Nor am I aware of any impropriety regarding a procedural inquiry to the Office of Secretary as whether the FMC has a back-up plan as courts do when a judge is absent. As you know, I have been practicing before the Commission for about 23 years, and have made and seen made many dozens of similar requests. Indeed, I have seen one made by Mr. Nussbaum.

As to the duty to confer, I made as much of an effort as possible under the circumstances, given the urgency of the issues. Again, I am aware of nothing at all unusual in that. I note that Mr. Nussbaum apparently has ample time for improvident grumbling to you, but no time to answer my emails.

If you agree that anything I did was in any way improper or contrary to the letter or spirit of the Rules, please let me know.

Best regards,

Eric



Eric C Jeffrey

Counsel

ejeffrey@nixonpeabody.com

T 202-585-8215 | C 703-919-3374 | F 855-782-6662

Nixon Peabody LLP | 799 9th Street NW | Suite 500 | Washington, DC 20001-4501

nixonpeabody.com | @NixonPeabodyLLP

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From: Marcus Nussbaum [mailto:marcus.nussbaum@gmail.com]

Sent: Thursday, April 28, 2016 2:30 PM

To: secretary@fmc.gov

Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Friday, May 27, 2016 6:40 PM
To: Marcus Nussbaum
Subject: Re: FMC Dockets No. 15-11 & 1953(l) (Consolidated)

I am also confused as to why you consider Mr. Nussbaum a first name salutation. If you are referring to how I refer to other persons, that is their issue if they have one and none of your business. You use the salutations that you prefer and I will use what I have used for years. Should I complain about your persistent inability to distinguish between the Presiding Officer and the Commission? Please grow up and learn the rules.

Sent from my iPhone

On May 27, 2016, at 6:14 PM, Jeffrey, Eric <ejeffrey@nixonpeabody.com> wrote:

Dear Mr. Nussbaum

Thanks for yours.

Please be advised that the FMC encourages informal discovery. There is nothing that prohibits it.

Please also be advised that your claim regarding attorney client privilege and work product are totally frivolous. We will make a formal request and expect you to comply in accordance with the FMC Rules. I suggest that you do some research and re-think your position.

I will get back to you in due course about the deposition, but expect Judge Guthridge will follow customary procedure and defer them until other discovery methods have been completed.

We have to the best of my knowledge filed everything we have that is called for by the April 27 Order, so you may stop waiting.

I will send you a proposed schedule for the orderly and timely completion of discovery next week.

Best regards.

Eric

Sent from my iPhone

On May 27, 2016, at 5:47 PM, Marcus Nussbaum <marcus.nussbaum@gmail.com> wrote:

Dear Counsel,

Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Wednesday, June 15, 2016 3:40 PM
To: Marcus Nussbaum
Cc: Judges; Vohra, Anjali
Subject: Re: Consolidated Dockets 15-11 and 1953(l)

Dear Ms. Hutchins

The response is properly designated as a response to the motion to compel, as Mr. Nussbaum knows full well. A typo in the cover email is obviously irrelevant. It was filed within 7 days both electronically and the original by mail. So it is fine either way.

I also note that Counsel for Complainants is again making motions by email, even though directly prohibited by the Initial Order and the Presiding Officer's prior rejection of such motions by Complainant.

Best regards.

Eric

Sent from my iPhone

On Jun 15, 2016, at 2:50 PM, Marcus Nussbaum <marcus.nussbaum@gmail.com> wrote:

Dear Ms. Hutchins,

I represent the Complainants in this matter and I am in receipt of your email of this date.

Please be advised that at no time have Complainants filed a Motion to Dismiss. Complainants have, however, interposed a Motion to Strike, to Preclude, and to Compel Respondents' compliance with the Presiding Officer's Orders.

To the extent that Respondents have interposed an opposition to a Motion to Dismiss, since no such motion was made, we ask that those papers be rejected.

Additionally, we note that pursuant to Rule 71 of the Commission's Rules of Practice and Procedure, Respondents have had seven days to oppose Complainants' motion, which have now passed. As such, we respectfully request that the Respondents now be precluded from interposing opposition to Complainants' motion, and that the motion be granted on default.

Respectfully submitted,

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
<http://www.nussbaumlawfirm.com/>

Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Monday, August 22, 2016 8:04 PM
To: Marcus Nussbaum
Subject: Re: Consolidated Dockets 15-11 and 1963(l)

I do not need to fool anyone. Unlike you, I can follow the rules and win. And I have neither signed Mr. Hitrinov's name (if I did it would be authorized hence not a forgery) nor had anything to do with any filing by Mr. Kapustin. You are free to lie as much as you like, but wishing does not make it true.

Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Monday, August 22, 2016 8:24 PM
To: Marcus Nussbaum
Subject: Re: Consolidated Dockets 15-11 and 1963(l)

It is unsettling to find a lawyer who is not just incompetent but also an inveterate liar. As they say on election night, it is still too soon to tell who between you and Mr. Kapustin is the bigger liar or more mentally disturbed. I won't bother correcting your misquote.

Sent from my iPhone

On Aug 22, 2016, at 8:10 PM, Marcus Nussbaum <marcus.nussbaum@gmail.com> wrote:

Mr. Jeffrey,

"Me thinks thou dost protest too much".

It is unsettling to find an attorney who practices in such an infantile and obsessive-compulsive manner.

I will gladly pay for your first therapy appointment, if you will stop sending your emails.

Besides, you don't have time to waste, you have another frivolous filing to make.

Regards,

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
<http://www.nussbaumlawfirm.com/>

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Marcus A. Nussbaum

From: Jeffrey, Eric <ejeffrey@nixonpeabody.com>
Sent: Monday, August 22, 2016 8:53 PM
To: Marcus Nussbaum
Subject: Re: Consolidated Dockets 15-11 and 1963(l)

So you have found yourself. And if you knew how to read you would realize I have already told the Presiding Officer that both you and Mr. Kapustin are disturbed liars. So feel free to quote.

I assume this email will get another of your fake auto responses.

Sent from my iPhone

APPENDIX “8”

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV ET AL

Consolidated With

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL

v.

MICHAEL HITRINOV ET AL

AFFIRMATION OF MICHAEL HITRINOV

Michael Hitrinov affirms the following to be true and correct under penalty of perjury, and says:

1. I am the President of Respondent Empire United Lines Co., Inc. (“EUL”), and I make this certification in support of Respondents’ motion for judgment on the pleadings, and to provide the Presiding Officer with background and context regarding the transactions at issue.

2. EUL, a New York corporation formed in 1993, has a principal place of business in Brooklyn, New York. Since 1993, EUL has met all requirements to be licensed as a non-vessel operating common carrier by the Federal Maritime Commission.

BASIC BACKGROUND

A. The Investment Relationship Between EUL and Global Auto Enterprise

3. In early September 2010, I was contacted by Sergey Kapustin, whom I knew from previous business dealings as the owner and individual in control (together with his wife Irina Kapustina) of Global Auto USA, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc., Global Cargo Oy of Finland, and SK Imports, Inc. d/b/a Global Cars (“Global Auto Enterprise”).

4. The purpose of Mr. Kapustin’s call was to inquire whether EUL wanted to invest in the ownership of some vehicles that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a vehicle inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital, which Mr. Kapustin would then use to buy vehicles in the U.S. for resale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the resale of these vehicles.

5. Mr. Kapustin and I initially discussed a profit-sharing arrangement in which EUL and Global Auto Enterprise would divide the profits from the overseas sale of the vehicles acquired by Global Auto Enterprise with EUL’s funds. As the discussions progressed, however, Mr. Kapustin proposed an alternative form of profit-sharing – that EUL be paid a fixed return of 1.5 percent per month on its capital investment as EUL’s share of the anticipated profits from the re-sale of the vehicles acquired through EUL’s investment (“the Investment Vehicles”).

6. The parties ultimately adopted this alternative approach. EUL agreed to invest in the Investment Vehicles, and Global Auto Enterprise agreed in return to pay 1.5 percent per month as an advance of the anticipated profits from the re-sale of the Investment Vehicles. Global Auto Enterprise also agreed that EUL would be entitled to a right of possession regarding

each and every Investment Vehicle, such right to be extinguished only when Global Auto Enterprise met the criteria for release of the vehicle back to Global Auto Enterprise, as described below. Until these Investment Vehicles were authorized to be released, they would be held as collateral by EUL.

7. It was further agreed that EUL would be given the documents of title for each Investment Vehicle, to ensure that no such Vehicle could be released or resold without EUL's consent.

8. Attached as Exhibit 1 is correspondence reflecting the beginning of this relationship between EUL and Global Auto Enterprise. As part of the financial aspect of the arrangement, EUL was entitled to a 60 percent interest in each and every Investment Vehicle. Moreover, Global Auto Enterprise was required to maintain at all times an inventory of Investment Vehicles of sufficient value that 60 percent of the value would meet or exceed the outstanding amount of the investment. If the inventory fell below that level, Global Auto Enterprise was required either to re-pay part of the investment or add value to the inventory sufficient to meet the 60 percent standard.

9. In order to keep track of the balance of funds owed with respect to the Investment Vehicles, the total value of the Investment Vehicles was estimated, and details were maintained in a spreadsheet format by EUL and provided to Global Auto Enterprise on a regular basis. The purpose of the spreadsheets was to schedule all the Investment Vehicles with their values so as to assure that 60 percent of the total value was sufficient to secure the amount of the outstanding principal due EUL.

10. Attached as Exhibit 2 is a series of emails ranging from January 2011 through January 2013, many with spreadsheet attachments, relating to the balance spreadsheets

exchanged between the parties. Although the attached emails are not the totality of the correspondence and balance spreadsheets exchanged between the parties, Exhibit 2 provides a good overview of these exchanges and the manner in which they operated over the course of several years. All the Investment Vehicles were treated as being under Global Auto Enterprise umbrella regardless of which particular “company” the Investment Vehicles were titled under or being shipped on behalf of.

11. Pursuant to this arrangement EUL wired a total of \$450,120 in investment funds to Global Auto USA, Inc.’s accounts as follows:

9/20/10	\$45,000
10/5/10	\$25,000
10/13/10	\$100,000
5/12/11	\$160,000
12/13/11	\$120,000
12/13/11	\$120

12. Attached as Exhibit 3 is documentation of the six payments made to Global Auto Enterprise. As can be seen, my understanding of the purpose of these payments is contained in the transaction descriptions, e.g., “Car Joint Investment With Fixed Profit” by which I meant my 60 percent investment in the vehicles and the fixed profit of 1.5 percent agreed to by the parties.

B. The Transportation Arrangement In General

13. As part of the above agreement, the parties agreed that EUL, as the majority and secured owner of the Investment Vehicles, would arrange for their ocean transport to Finland. These transportation services were not the ordinary services EUL provided as to various shippers as part of its NVOCC function, but were instead part and parcel of the larger agreement.

Attached as Exhibit 4 is an October 24, 2012 email chain reflecting this understanding. There, EUL told Global Auto Enterprise that a particular vehicle did not qualify as an Investment Vehicle (because not owned by Global Auto Enterprise), and so could not be shipped under the arrangement. Upon learning that the vehicle could not be shipped under the arrangement, Global Auto Enterprise declined to use EUL's NVOCC service, and in fact the vehicle has been returned to Global Auto Enterprise.

14. From EUL's perspective, it was transporting these vehicles, in which it had an equity interest, for its own account as a beneficial cargo owner, and not in its capacity as a licensed ocean transportation intermediary. In light of this understanding, and with the agreement of Global Auto Enterprise, EUL did not issue separate shipping documents (*e.g.* bills of lading) for shipment of the Investment Vehicles. Instead, EUL and Global Auto Enterprise agreed to a flat rate of \$750 for transportation of each of the Investment Vehicles when arranged by EUL and to operate with the master bills of lading issued by the ocean carriers (in this case MSC).

C. How The Transportation Arrangement Worked In Practice

15. The basic practice and course of dealing between EUL and Global Auto Enterprise was as follows:

- Global Auto Enterprise would deliver Investment Vehicles to EUL, which would put them into containers (with other cargo), and deliver them to MSC for water transportation to Kotka, Finland.
- When the MSC vessel arrived in Kotka, the relevant containers were delivered to a warehouse company called CarCont Ltd., which EUL utilized as a container unloading facility, where the Investment Vehicles were removed from their containers for eventual release to Global Auto

Enterprise (specifically, Global Cargo Oy).

- Investment Vehicles could be released in Kotka only upon approval by EUL, based on: (1) an email request by Global Auto Enterprise made by one of the U.S. entities, **and** (ii) compliance with the requirement to maintain the 60 percent valuation standard.
- This latter financial requirement meant that in order to obtain release of a particular Investment Vehicle, Global Auto Enterprise had to repay 60 percent of the value of that Vehicle or, with EUL's consent, augment the inventory of Investment Vehicles in an amount sufficient to retain the overall 60 percent standard.

16. Once the conditions for release were met, EUL would authorize CarCont to release the requested Investment Vehicle. In accordance with the arrangement between EUL and Global Auto Enterprise, at the insistence of Global Auto Enterprise, Investment Vehicles were allowed to be released only to Global Auto Enterprise. In particular, they could be released *only* to Global Auto Enterprise member Global Cargo Oy, which operated a warehouse in Kotka, Finland and is managed by Igor Zadorozhniy, a relative of Irina Kapustina.

17. Prior to taking custody of the vehicles Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

18. As a matter of practice, EUL never had any communications with Global Cargo Oy about the release of any vehicles, the status of shipments, or payments of any charges relating to any shipments. Instead release instructions would only come from the U.S. companies that

were part of Global Auto Enterprise (i.e., G Auto Sales, Inc., Effect Auto Sales, Inc., and Global Auto Sales, Inc.) and the only release instructions ever given for hundreds of vehicles shipped were to release the vehicles to Global Cargo Oy and Igor Zadorozhniy. Moreover, Mr. Kapustin had previously instructed EUL not to discuss any details regarding payments, shipments, etc. with anyone other than the U.S. companies that were part of Global Auto Enterprise.

19. An email dated December 6, 2012 giving an example of how Global Auto Enterprise gave express instructions to release vehicles only to Global Cargo Oy and Igor Zadorozhniy is attached as Exhibit 5. Attached as Exhibit 6 are more general release instructions always indicating release to Global Cargo Oy. Exhibit 7 is a compilation prepared for this proceeding at my direction showing that this same pattern of release instructions was followed for virtually all vehicles ever shipped by Global Auto Enterprise.

20. Once the vehicles were released to Global Cargo Oy and Mr. Zadorozhniy, EUL had no knowledge about what would happen to the vehicles. Overall, between 2010 and 2013, EUL shipped over 680 vehicles pursuant to this course of dealing with Global Auto Enterprise without any complaint. Throughout this period, EUL never had any communications or other dealings with Global Auto Enterprise's customers. EUL's dealings were only with Global Auto Enterprise, and the titles that Global Auto Enterprise provided to EUL for export clearance did not include the names of Global Auto Enterprise's customers.

E. Global Auto Enterprise's Failure to Meet Its Financial Obligations

21. By late 2012 I became increasingly concerned about Global Auto Enterprise's ability, and even willingness, to abide by our agreement. Specifically, I was concerned that Global Auto Enterprise was seeking to avoid repaying any portion of the investment funds.

22. On December 27, 2012, I notified Global Auto Enterprise that the relationship

was becoming untenable because of its actions and demanded that Global Auto Enterprise repay all amounts due EUL “in 30 da[y]s from today. We will not extend that date.” I repeated that 30-day demand later that day. Attached as Exhibit 8 are the notices to Global Auto Enterprise.

23. Despite my repeated efforts, payment to EUL was not forthcoming. On or about January 20, 2013, I spoke by telephone with Mr. Kapustin. He confirmed that Global Auto Enterprise no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation of Global Auto Express to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Consequently, on January 28, 2013, I sent an email to Global Auto Enterprise (i) expressing my concern that Global Auto Enterprise was taking actions “detrimental to our jointly owned assets without my knowledge and consent,” and (ii) requesting that Global Auto Enterprise cease any further actions “which may cause irreparable damages” to the parties. Attached as Exhibit 9 is a copy of my January 28, 2013 email.

24. On February 6, 2013, Irina Kapustina (president and 100 percent owner of Effect Auto Sales, Inc. and the ex-wife of Mr. Kapustin) wrote to me acknowledging EUL’s demand for payment in full and that EUL “no longer wants to have an ownership in the cars inventory.” She also acknowledged EUL’s interest in the vehicle inventory, stating “you have them at your disposal.” Attached as Exhibit 10 is Ms. Kapustina’s email together with an English translation.

25. Given Global Auto Enterprise’s repudiation of the agreement, and fearing that they were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that the Investment Vehicles be removed from that location and ultimately sold to third party buyers to satisfy Global Auto Enterprise’s indebtedness to EUL, with the proceeds to be applied to the outstanding principal due EUL and any additional

amounts due EUL for storage.

26. Included among these Investment Vehicles, which were sold to satisfy the debts owed by Global Auto Enterprise, were the vehicles with respect to which Complainants Igor Ovchinnikov, Denis Nekipelov, and Kairat Nurgazinov now assert claims. However, the vehicle as to which Complainant Irina Rzaeva now asserts claims was not sold by EUL. Upon information and belief, that vehicle (a 2011 Jeep Compass with VIN # ending in 2296) remained in the control of CarCont Ltd. in Kotka, Finland through at least January 2015 and was eventually liquidated by CarCont for unpaid storage fees.

FACTS REGARDING THE VEHICLES AT ISSUE

A. Transportation of the Investment Vehicles

27. The Investment Vehicles at issue here went through the very same process as described generally above, at least up to the issue of release. That is:

- Global Auto Enterprise delivered the Investment Vehicles and titles to EUL.
- EUL put the Investment Vehicles into containers and delivered them to MSC.
- MSC transported the containers to Kotka, Finland, where it delivered them to CarCont.
- CarCont decontainerized the Investment Vehicles and awaited release authorization from EUL based on a request and financial compliance by Global Auto Enterprise.

B. Release of these Investment Vehicles

28. As explained above, all Investment Vehicles, including those at issue, were

subject to specific requirements for release. Global Auto Enterprise was required both to request release of the particular vehicle and to meet the financial prerequisites to release – payment of the agreed shipping cost (\$750/unit), and restoration of the 60 percent value by paying that portion of the Investment Vehicle’s value to EUL (or with EUL’s approval, replenishment of the inventory to meet the 60 percent standard).

29. Relevant to the Investment Vehicles at issue, Global Auto Enterprise did neither. They never requested release of any of the four vehicles. And, as explained above, they declined to re-pay EUL the amount required under the arrangement.

30. As also explained above, Investment Vehicles could only be released to Global Cargo Oy. They could not be released to Complainants or anybody else not named Global Cargo Oy that came with a claim of ownership regarding any such vehicle.

31. Moreover, as noted above, prior to taking custody of the vehicles, Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

C. Complainants were Strangers to These Transactions

32. Consistent with the general pattern described above, EUL never had any communications or other dealings with the Complainants. Nor did any of the documents, including the titles, provided by Global Auto Enterprise include the names of the Complainants. Indeed, EUL did not learn Complainants’ identities until well after their vehicles were liquidated as collateral in Finland. I personally also have never had any contact or communications with the Complainants prior to the vehicles being liquidated as collateral in Finland.

33. It is also questionable whether the Complainants have ever paid the Global Auto

Enterprise for the ocean freight and other charges (such as dealer fees etc.) for these shipments. The Complainants have not produced any invoices or other documents showing that Global Auto Enterprise had been paid for the shipping charges associated with transportation of the vehicles.

34. The absence of any relationship is confirmed by the “shipping documents” submitted by both Parties pursuant to the Presiding Officer’s Order of April 27, 2016. As described in more detail in Respondents Motion for Judgment on the Pleadings (and Attachments thereto), which this Affirmation supports:

- The Dock Receipts submitted by both Parties contain no mention of any Complainant.
- The MSC bills of lading (submitted only by Respondents) are likewise devoid of any reference to any Complainant.
- The Titles (submitted for all vehicles by Respondents and three by Complainants) also contain no mention of any Complainant, and indeed show Global Auto Enterprise (Effect Auto Sales, Inc.) as the owner.
- None of the invoices submitted for the transportation services name any of the Complainants.

35. I further note that the “invoices” submitted by Complainants are obviously crude fabrications. As the Presiding Officer can readily confirm:

- The invoices submitted by Respondents are simple, unadorned, emails. This is the precise form in which the invoices left EUL. Respondents are entirely willing to provide the electronic originals of these invoices should the Presiding Officer wish or Counsel for Complainants request.
- The purported invoices submitted by Complainants, in contrast, have been

substantially altered into a composite of multiple origins. As the Presiding Officer may himself verify, the manipulated versions add (i) an unauthorized EUL letterhead, (ii) an invoice number title, (iii) a purported “paid” stamp, and (iv) my private banking information. None of these documents ever left EUL in this fashion.

- Counsel for Complainants has thus far declined to make electronic originals of the shipping documents available. In addition to the obvious implication, Counsel’s claim of attorney-client privilege raises in my mind at least questions of who actually possesses and controls the documents.

36. This is not the first time Counsel for Complainants has submitted these doctored “invoices” to a federal tribunal. As discussed in more detail below, Counsel submitted these very same fabrications in the EDNY lawsuit (as defined in Paragraph 54 below).

D. Complainants’ Discrepant Claims About Ownership

37. I understand that the Complainants in this matter contend that they allegedly purchased vehicles from Global Auto Enterprise, to be delivered to Complainants by Global Auto Enterprise at its facility in Finland (the warehouse operated by Global Cargo Oy). Although, as explained above, such claims are irrelevant in light of the release requirements for Investment Vehicles. I note various discrepancies about the various documents Complainants have used to support their alleged claim of ownership. I emphasize that EUL received none of these “ownership” documents in connection with the transaction, but only as a result of discovery in various after-the-fact proceedings.

38. I have no knowledge about the Complainants or whether or not they were legitimate purchasers of the vehicles from Global Auto Enterprise. As noted below, Global Auto

Enterprise was found by the New Jersey Court to have engaged routinely in fraudulent business practices regarding its purported sales, including selling the same vehicles to multiple “buyers.”

39. A review of the “shipping documents” recently produced by the Complainants to substantiate their status as “buyers” of the vehicles instead reveals a number of questions regarding Complainants’ purported status with respect to these Investment Vehicles. The purpose for noting these questions is not to try the issue of whether Complainants do in fact have ownership interests, but rather to show why, even if permitted by the underlying transportation agreement, no reasonable businessman would release cargo based on such documents.

40. Complainant Igor Ovchinnikov alleged that on August 22, 2012 he purchased a 2009 GMC Acadia (with VIN# ending in 8200) from G Auto Sales, Inc. for \$28,960.00. However, the shipping documents produced (see documents attached as Exhibit 11) show that the initial payments were made with respect to an entirely different vehicle (a 2012 GMC Acadia with VIN# ending in 1860). While the handwriting on the invoice purportedly for the sale of the 2012 GMC Acadia suggests that the funds transferred by Complainant Igor Ovchinnikov may have been applied to the 2009 GMC Acadia, the two invoices actually bear the same invoice number (6779) and the same date of August 22, 2012.

41. The title for this vehicle is also irregular in that it was issued in the name of Effect Auto Sales, Inc., and lists a date of purchase by Effect Auto Sales, Inc. of October 11, 2012, which is consistent with the fact that the vehicle at issue appears to have been delivered to Finland in October 2012. Thus, Complainant Igor Ovchinnikov purports to have purchased in August a vehicle that Global Auto Enterprise did not even possess until months later. See Exhibit 11 at pages 3 and 4.

42. The payment documents provided by Complainant Ovchinnikov raise even more

questions, because they reference a third vehicle (a GMC Acadia with VIN# ending in 5908). See Exhibit 11 at page 5. Further complicating the matter is that Complainant Ovchinnikov produced an undated statement in which he claims that he purchased the vehicle from Global Auto USA, Inc. (contrary to his allegations in the Complaint and the documents showing purchase from G Auto Sales, Inc.). See Exhibit 11 at page 6.

43. Given these numerous discrepancies, even if EUL had received these documents at the time (which it never did) how would EUL be able to rely upon such documents to determine whether Complainant Igor Ovchinnikov had any valid rights with respect to any vehicles?

44. Similarly, although Complainant Irina Rzaeva alleges in the Complaint that she purchased a 2011 Jeep Compass with VIN# ending in 2296 on October 5, 2012 from G Auto Sales, Inc., in a February 4, 2013 letter she sent to the FMC, she asserted that the vehicle was instead purchased from Global Auto USA, Inc. A copy of the February 4, 2013 letter is attached as Exhibit 12. In that same letter she also claimed that Sergey Kapustin signed the invoice through which she purchased the vehicles, but the only invoice produced by her is signed by Michael Goloverya, President of G Auto Sales, Inc. See Exhibit 12 at page 2. Adding to the confusion is the fact that the title for the vehicle lists yet another company – Effect Auto Sales, Inc. – as the owner. See Exhibit 12 at page 3. The payment details for the “purchase” of this vehicle (which show a payment being made to G Auto Sales, Inc.) state in the reference for originating bank instructions that the payment is a “GIFT.” See Exhibit 12 at page 4. Contrast this with the payment details for the purchase of the vehicle submitted by Complainant Denis Nekipelov (Exhibit 14 at page 4) discussed below.

45. Furthermore, Complainant Irina Rzaeva’s allegation that she made a trip to Kotka,

Finland on or about March 12, 2013 “to try to find her vehicle and to file (unsuccessfully) a complaint with the prosecutor’s office in Finland,” is belied by the fact that the Customs office of Kotka, Finland conducted an inspection of CarCont, Ltd. at the request of the Finnish attorneys of Global Auto Enterprise in the Spring of 2013 and were able to confirm the presence of Complainant Irina Rzaeva’s alleged vehicle (as well as Mr. Ovchinnikov’s alleged GMC Acadia). In fact the Customs office report notes that a photograph of the vehicle in question was taken on March 15, 2013. Copies of the report from the Customs office which was produced by Counsel for Complainants (and an English translation of same) are attached as Exhibit 13.

46. Complainant Denis Nekipelov alleges in the Complaint that on October 24, 2012 he purchased a vehicle (a Mercedes-Benz C300 with VIN# ending in 3295) from G Auto Sales, Inc. The title for this vehicle, however, is in an entirely unknown name (Daimler Trust). See Exhibit 14 at page 1. As with the others, Complainant Denis Nekipelov also claimed in a letter that he purchased the vehicle from Global Auto USA, Inc. and that Sergey Kapustin signed his invoice. See Exhibit 14 at page 2. The only invoice produced by Complainant Denis Nekipelov was issued by G Auto Sales, Inc. and signed by Michael Goloverya as President of that company, and the payment documents for the “purchase” of this vehicle show payment being made to G Auto Sales, Inc. See Exhibit 14 at pages 3 and 4. According to the Finnish Customs report attached as Exhibit 13, the vehicle left Finland on February 22, 2013.

47. Finally, this vehicle was explicitly provided by Effect Auto Sales, Inc. to EUL to serve as collateral for the amounts outstanding under the investment/profit sharing arrangement discussed above. A copy of an October 25, 2012 email from Effect Auto Sales, Inc. to EUL regarding this vehicle is attached as Exhibit 15.

48. Complainant Kairat Nurgazinov alleges in the Complaint that on or about

November 29, 2012 he purchased a vehicle (a Toyota Camry with VIN# ending in 6703) from G Auto Sales, Inc. However, the payment details show a payment being made with respect to an entirely different vehicle (a Toyota Camry with VIN# ending in 1494). See documents attached as Exhibit 16. The invoice number referenced in the payment details is 67936 and that reference and the issuance date of November 29, 2012 match an invoice provided by Complainant Kairat Nurgazinov, but the details for the vehicle involved are entirely different. Just as with the vehicle claimed by Complainant Igor Ovchinnikov, there are two different invoices bearing the same number and date but dealing with different vehicles. See Exhibit 16 at pages 2 and 3. There is no evidence produced by Complainant Kairat Nurgazinov that the balance owed of \$2,420.00 for purchase of the vehicle was ever paid to G Auto Sales, Inc.

49. Again the point of all this is that even if EUL had received such documents prior to the sale of the vehicles (which it never had) how could it ever have been reasonable for EUL to release a vehicle to an unknown party with no official standing based on such discrepant and conflicting documents?

50. Incidentally, according to the Finnish Customs report attached as Exhibit 13, this vehicle left Finland (i.e., was sold) on February 6, 2013. It does not appear that Complainant Kairat Nurgazinov contacted CarCont Ltd. with respect to this vehicle until February 23, 2013, at which point that vehicle had already been sold.

51. It should also be noted that none of the Complainants have produced any certificates of sale to support their alleged “purchase” of the vehicles at issue. The State of New Jersey (which is the only state in which Global Auto Enterprise was registered to sell vehicles) requires that all vehicles sold by dealers be documented by a DMV certificate of sale. Since no certificates of sale were provided by Complainants, the ownership of G Auto Sales, Inc. of the

vehicles (who is claimed to have “sold” all the vehicles to the Complainants) is itself in question.

52. In any event, as explained above, Global Auto Enterprise never sent EUL any instructions about these shipments, or otherwise identified the Complainants as its customers with respect to these shipments. More specifically Global Auto Enterprise never asked EUL to release the vehicles that Complainants now make claims with respect to.

ADDITIONAL MATTERS

53. In this section of my Affirmation, I address additional matters that provide further context for the foregoing.

54. As the Presiding Judge is well aware, this is not the first proceeding that Complainants’ counsel has brought (all unsuccessfully) against me (and EUL) in a variety of federal forums regarding the same group of vehicles (or a subset thereof). I briefly recite some of that history, and raise certain concerns arising from that history. In particular, I note, as discussed above, that Complainants’ Counsel has submitted obviously false and fraudulent shipping documents in this matter – and declined to provide electronic originals. I believe that this is consistent with, and in some cases a repeat of, his actions in the prior litigations.

A. Counsel’s First Lawsuit Against EUL Involving the Vehicles

55. In April 2013, Global Auto Enterprise, represented by Complainants’ Counsel, commenced a lawsuit against EUL and me in the United States District Court for the Eastern District of New York, captioned as 13 Civ. 2479 (the “EDNY lawsuit”).

56. In the EDNY lawsuit, Global Auto Enterprise, through Complainants’ Counsel and his colleagues, filed false and misleading declarations in which the principals of various constituents of Global Auto Enterprise denied the existence of any investment or profit sharing arrangement involving EUL. Attached as Exhibit 17 is a letter addressed by counsel for Global

Auto Enterprise to its customers, repeating the same false denials of any relationship between Global Auto Enterprise and EUL.

57. Global Auto Enterprise, through Complainants Counsel, also submitted and relied upon thirty-two fabricated documents that were made to look as if they were EUL “invoices” for freight payments relating to shipments of vehicles. Attached as Exhibit 18 are three of these forged “invoices” which were relied upon by Global Auto Enterprise in the EDNY lawsuit and which reference the vehicles as to which the Complainants now assert claims.

58. In March 2015, after having served as counsel to Global Auto Enterprise for two years with respect to the dispute over these vehicles (including the vehicles over which Complainants now assert claims with respect to), Complainants’ Counsel requested and was granted leave to withdraw as counsel for Global Auto Enterprise, on the basis of alleged non-payment of fees and that he had been “fired.”

59. It is my belief, however, that Complainants’ Counsel continued to serve behind the scenes as an attorney for Global Auto Enterprise. It is otherwise difficult to reconcile Counsel’s purported firing with the attached Exhibit 19, a September 28, 2015 email from Counsel to Mr. Kapustin offering to continue representing Global Auto Enterprise in the EDNY lawsuit on a “pro bono” basis.

60. In the end, the Judge saw through these false declarations and the fabricated EUL “invoices” and denied any relief to Global Auto Enterprise in the EDNY lawsuit. In late September 2015 all claims asserted by Global Auto Enterprise against EUL and me were dismissed, and EUL was granted a default on our counterclaim against Global Auto Enterprise.

61. These “invoices” were found in draft form on Mr. Kapustin’s personal computer and he “took the Fifth Amendment” when asked questions about how the invoices were created.

62. Remarkably, despite the foregoing, Complainants' Counsel persists in putting forth the same fabricated documents, and to deny any request for the electronic originals.

B. Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.

63. In the proceeding before this Commission docketed as *Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.*, Docket No. 14-16, Complainants' Counsel represented other complainants who asserted time barred and already-released claims against EUL and me. In an attempt to overcome the obvious time bar Complainants' Counsel there presented to the Commission and relied upon a so-called audit, which he asserted was prepared by an employee of the complainants on July 14, 2014.

64. In a related proceeding brought by EUL against Baltic Auto Shipping, Inc. and its principal in the United States District Court for the District of New Jersey (captioned as 15 Civ. 355) for breach of a prior settlement agreement, discovery showed that this claim was untrue.

65. Baltic Auto Shipping, Inc. was directed by the Judge in that case to produce the original signed audit and the original native electronic drafts of the audit. Baltic failed to do so. Instead, the principal of Baltic signed a certification asserting a "dog ate my homework" type of defense, saying that the audit was prepared on a laptop computer (from which no electronic copies were ever made or emailed) that was conveniently infected by a virus, one month after the audit was allegedly prepared, requiring reformatting of the hard drive. The laptop was then supposedly disposed of a few months later and thus conveniently not unavailable for forensic analysis. A copy of the Declaration of Andrejus Presniakovas is attached as Exhibit 20.¹

66. When Complainants' Counsel was ordered to produce the original signed copy of the audit (which he had repeatedly represented to the Court was in his office) for examination by

¹ Mr. Presniakovas had previously submitted a similar affidavit to the Commission on April 3, 2015, and a copy of that affidavit is also attached as part of Exhibit 20.

a forensic expert, he instead produced only an obvious and poor quality photocopy. A copy of the report prepared by the forensic expert establishing that only an obvious and poor quality photocopy of the audit was made available for inspection is attached as Exhibit 21.

67. When pressed to explain what had happened to the original signed copy of the audit, Complainants Counsel reversed course, denying any knowledge of its whereabouts and offering a “guess” that “it is more than likely that” the original was inadvertently sent to the FMC for filing. A copy of the “explanatory” certification from Complainants’ Counsel regarding the location of the original signed audit is attached as Exhibit 22.

68. Not satisfied by this response, the Court pressed for further explanation. Complainants’ Counsel then speculated that his assistant, whom he refused to name, had sent the original signed copy of the audit to the FMC for filing. The FMC’s Docket Activity Librarian, however, confirmed to the contrary that no such original was in the FMC’s possession. A copy of the confirmation from the FMC that all it possessed was “a photocopy based on the poor clarity of the print” is attached as Exhibit 23.

69. The Court ultimately forced Complainants’ Counsel to disclose the identity of his assistant and provide an affidavit from her (see copy attached as Exhibit 24). But when the Court then directed Complainants’ Counsel to produce his assistant for deposition regarding her “affidavit” and the fate of the original signed audit, Complainants’ Counsel did yet another about-face. He now claimed that his “assistant” was actually just an unpaid legal intern no longer employed by him, and that he had no mailing address, telephone number, or email address for her and thus, could not provide any last known contact details or produce her for the court-ordered deposition.

70. This pattern of apparent deception is starting to repeat itself in this proceeding, as

evidenced by the resurfacing of the doctored “invoices” and the other discrepancies in the shipping documents pointed out above. It is for these reasons that I have, through counsel, requested Complainants’ Counsel to provide the original and native electronic files for all the shipping documents, a request I will make formally once the discovery schedule has been set by the Presiding Officer.

C. Global Auto Enterprise has been Determined to be a Single, Fraudulent Enterprise

71. As the Presiding Officer knows from prior filings in these consolidated proceedings, Global Auto Enterprise has been held by the United States District Court for the District of New Jersey to be a single enterprise engaged in RICO violations and fraud. 13 Civ. 7152 (the “DNJ lawsuit”).

72. In the DNJ lawsuit, defrauded customers of Global Auto Enterprise obtained a \$2.3 million Judgment against Mr. Kapustin, G Auto Sales, Inc., Global Auto Sales, Inc., Effect Auto Sales, Inc., SK Imports, Inc., Global Cargo Oy, and Igor Zadorozhniy (all members of Global Auto Enterprise). The Court found them all part of a RICO conspiracy that had engaged in mail and wire fraud and “bait-and-switch” fraudulent practices and consumer fraud from at least 2008 through February 2014. A copy of the Judgment, which was issued in September 2015, is attached as Exhibit 25.²

73. The Judgment describes some of the specific racketeering conduct of Global Auto Enterprise in targeting online unsophisticated foreigners from the former Soviet Union and other countries as follows:

- Advertised and “sold” cars were not in [Global Auto Enterprise’s]

² At least two other Judgments were entered against Mr. Kapustin and other members of the Global Auto Enterprise during this same period based on the Global Auto Enterprise’s fraudulent business practices. See November 10, 2014 judgment issued by New Jersey Superior Court, Union County (in a case captioned as *DK International, Inc. v. Kapustina et al.*, L-1577-11), and June 29, 2015 decision issued by New Jersey Superior Court, Union County (in a case captioned as *Izbastin v. Global Auto, Inc. et al.*, L-0514-13), copies of which are attached as Exhibit 26.

possession and often already owned by unrelated third parties at the time of the “sale.”

- Once the customer wired the money, [Global Auto Enterprise] failed to deliver the pre-paid vehicles, and refused to issue any refunds. [Global Auto Enterprise] then offered customers different cars, for a higher price, thus extorting further payments.
- Even on the “switch” vehicles that were ultimately (sometimes after 6-8 months from first wire), sent to Global Auto Enterprise’s warehouse in Finland, Global Auto Enterprise refused to “release” vehicles and charged hidden fees, misrepresented odometer readings, withheld the information that the vehicle had been declared a “total loss” after an accident or had been flooded by hurricane Sandy (with a “salvage” title issued).

See Exhibit 25 at page 8.

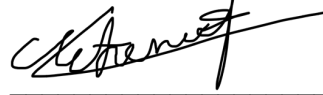
74. As especially relevant here, the Judge in the DNJ lawsuit also found that Global Auto Enterprise had repeatedly “sold” the same vehicles to more than one customer:

THE COURT: Mr. Kapustin seems to think that it's okay to sell something he doesn't own and keep the proceeds. I don't know that I've ever seen more remarkable conduct or admissions in a court of law. He has sold cars that were subject to control by the Eastern District of New York [where Complainants' Counsel represented Global Auto Enterprise], and apparently selling them, selling the same car twice, and it's fully consistent with the other transactions that have been demonstrated to this Court.

See pages 7-8 and 65 of the transcript of the October 27, 2014 hearing which can be accessed as Docket Entry No. 135 in the DNJ lawsuit (13 Civ. 7152).

The foregoing is true and correct to the best of my knowledge under penalty of perjury.

Signed on June __, 2016

A handwritten signature in black ink, appearing to read "Michael Hitrinov", written over a horizontal line.

Michael Hitrinov

APPENDIX “9”

Thomas P. Riley, B.S., *, **
Forensic Document Examiner
Michigan

Gerald M. LaPorte, M.S.F.S., **, ***
Forensic Chemist & Document Specialist
Virginia

Lisa Hanson, B.S., *, **
Forensic Document Examiner
Minnesota

Kurt W. Moline, M.S.
Forensic Firearm & Toolmark Examiner
Minnesota

RILEY WELCH LAPORTE
& Associates
Forensic Laboratories

P.O. Box 70, Frankenmuth, Michigan 48734-0070
Telephone (517) 394-1512 Fax (517) 803-4403

In Association with:
Sandra Ramsey Lines*, **, ***
Forensic Document Examiner
Phoenix, Arizona

Todd W. Welch, B.A., *, **
Forensic Document Examiner
Michigan

Jennifer Naso, M.S.F.S.
Forensic Document Examiner
New York

Robert May, B.S.
Latent Print Examiner
Michigan

Jeffrey Nye, M.S.
Forensic DNA Analyst
Michigan

LABORATORY REPORT

July 29, 2016

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370

RE: *Michael Hitrinov Matter*

Dear Mr. Nussbaum:

The evidence listed as Q1 and K1 was received from Mr. Marcus Nussbaum on 7/13/16 via email.

The evidence contained pdf images of the following:

Questioned document:

Q1 – One (1) twenty-three page Federal Maritime Commission document titled, "Affirmation of Michael Hitrinov", docket no. 15-11, with the date reading, "June __2016", bearing the questioned signature reading, "Michael Hitrinov".

Comparison documents:

K1-1 – One (1) nine-page Settlement Agreement and Mutual Release, dated 11/29/11, bearing two purported known signatures of Michael Hitrinov.

K1-2 – One (1) sixteen-page document titled, "DECLARATION OF MICHAEL HITRINOV IN RESPONSE TO ORDER TO SHOW CAUSE AN IN OPPOSITION TO REQUEST FOR PRELIMINARY INJUNCTION", dated 5/23/13, no. 13-CV-2479 (SLT)(RER), bearing the purported known signature of Michael Hitrinov.

K1-3 – One (1) two-page Federal Maritime Commission document titled, "CERTIFICATION OF MICHAEL HITRINOV", docket no. 14-16, dated 5/26/15, bearing the purported known signature of Michael Hitrinov.

**Diplomate of the American Board of Forensic Document Examiners, Inc.
**American Society of Questioned Document Examiners
***Fellow of the American Academy of Forensic Sciences*

www.rileywelch.com

Marcus Nussbaum

July 29, 2016

Page 2 of 6

Comparison documents (continued):

K1-4 – One (1) ten-page Federal Maritime Commission document titled, "VERIFIED ANSWER OF RESPONDENTS EMPIRE UNITED LINE AND MICHAEL HITRINOV", docket no. 15-11, dated 5/19/16, bearing the purported known signature of Michael Hitrinov.

Examination Requests:

To determine whether or not Michael Hitrinov (K1) wrote the questioned signature appearing on Q1.

Writing Examinations:

Writing can be identified with the person who wrote it. A person can also be eliminated, or excluded, from having written something. Learning to write usually involves practicing letter formations, learning to copy these forms and committing them to memory, along with developing the skill, pen in hand, to write these forms quickly and fluidly. Practice usually increases the writer's skill¹ and produces writing that becomes more rapidly written, as the focus shifts more to the message being written than the physical movements of the writing act itself. This practiced movement becomes more fluid as this movement is committed to memory. This fluid movement of the pen creates physical characteristics of writing on the paper surface and observable features of the act of writing.

Writing consists of both class and individual characteristics. Class characteristics are common to large groups of writers and, in general, make writing similar enough for it to be understood by many. Examples of these characteristics may be the actual letter forms, or other features produced by large numbers of writers. Individual characteristics tend to be more identifying. It is the presence of the features found in both groups of characteristics, when considered and weighed in combination, that provides a basis for the determination of the genuineness of writing.

The identification or elimination of writing is dependent upon a large number of factors. These factors include, but are not limited to, whether the writing in question is freely and naturally written, whether the questioned and known writing are comparable in nature and date, if sufficient known and questioned writing is provided, as well as whether sufficient known samples are provided for comparison purposes which demonstrate an appropriate range of variation of the known writer's habits.

Some of these physical characteristics are visible to the unaided eye, however using a microscope to view the written line with magnification allows the forensic document

¹ "Writing is the result of a very complex series of acts, being as a whole a combination of certain forms which are the visible result of mental and muscular habits acquired by long continued, painstaking effort." Questioned Documents (Second Edition) by Albert S. Osborn, Chapter XVII, pp. 276.

*Diplomate of the American Board of Forensic Document Examiners, Inc.

**American Society of Questioned Document Examiners

***Fellow of the American Academy of Forensic Sciences

Writing Examinations (continued):

examiner to carefully study and weigh the finer characteristics; the physical evidence of the movement of the pen on the paper surface.

Range of Opinions:

Often, a forensic document examiner is able to offer conclusive, unqualified opinions of identification or elimination of writing. At other times, a myriad of factors can contribute to a forensic document examiner being unable to render a conclusive opinion. For example, the questioned writing may be of poor quality, limited in nature, or the available known writing samples may be limited, not comparable to the writing in question, or they may be intentionally distorted or disguised. In such cases, positive opinions of identification or elimination may not be possible.

In the event that the weight and significance of the evidence does not support a positive identification or elimination, forensic document examiners determine what level the weight and significance the evidence supports. Opinions are then expressed on a scale, or range of opinions, from indications wrote (or indications did not write), probably wrote (or probably did not write), to highly probable wrote (or highly probable did not write). At times, the only opinion which can be offered is an inconclusive. An understanding of this range of opinions² and the reasoning for "qualified opinions" is necessary when reviewing the results of any writing examination.

Image Files/Photocopies:

The examination of image files and photocopies in lieu of original documents, requires a forensic document examiner to offer a qualified opinion. This means *the opinion offered is based on the evidence discerned from the images/copies*.

The imaging/photocopy process can cause loss of detail. A number of other factors may affect the quality of the image/copy, such as: the type and condition of scanner/copy machine, the settings used, whether the original or some generation of copy is used (other than directly from the original). All of these factors may impede the ability of the examiner to reach a positive conclusion.

Also, evidence of fraud or non-genuineness may be revealed in the examination of an original document which cannot be seen in the image/copy. The following opinions are based on the examination of image files (non-originals).

² The SWGDOC standard Standard Terminology for Expressing Conclusions of Forensic Document Examiners can be found at the web link: <http://www.swgdoc.org/index.php/standards/published-standards..>

*Diplomate of the American Board of Forensic Document Examiners, Inc.

**American Society of Questioned Document Examiners

***Fellow of the American Academy of Forensic Sciences

Examinations Conducted:

Visual examinations of writing³ along with imaging techniques.

Basis of Examinations:

I performed examinations and comparisons using widely accepted procedures. As part of my examinations, I also rely, in part, on numerous published standards distributed by the Scientific Working Group for Forensic Document Examiners (SWGDOC)⁴. My examinations and comparisons relied, in part, on the following standards, which can be found at the following web link:

<http://www.swgdoc.org/index.php/standards/published-standards>

- SWGDOC Standard for Scope of Work of Forensic Document Examiners
- SWGDOC Standard for Examination of Handwritten Items
- SWGDOC Standard for Examination of Altered Documents
- SWGDOC Standard Terminology for Expressing Conclusions of Forensic Document Examiners

Handwriting Observations:

The Q1 document is a good quality image. The signature is stylized and the pen pressure appears to be consistent with dark contrast throughout the signature. There are areas of the signature which appear to show deliberateness and hesitation and there lacks tapering beginning and ending strokes. These characteristics are commonly associated with tracings or simulated forgeries.

The purported known signatures of Michael Hitrinov are of varying levels of quality and represent two different signature styles. The signatures appear to be freely and naturally written, with tapered beginning and ending strokes and there does not appear to be evidence of hesitation or deliberateness.

A side-by-side comparison was conducted between the questioned signature appearing on Q1 and the K1 signatures samples. The K1-1 signatures were not comparable as they exhibited a different signature style than that of the Q1 signature. The K1-2 through K1-4 signatures exhibited similar signature styles and therefore were comparable to the Q1 signature. The lack of comparable known samples is a limiting factor in this examination.

While the signatures are pictorially similar, there were numerous dissimilarities noted. These include the overall size of the signature, the fluidity of the written line, the **Marcus**

³ The SWGDOC "Standard Guide for Examination of Handwriting Items," can be found at the web link: <http://www.swgdoc.org/index.php/standards/published-standards>

⁴ The SWGDOC standards can be found at the web link: <http://www.swgdoc.org/index.php/standards/published-standards>

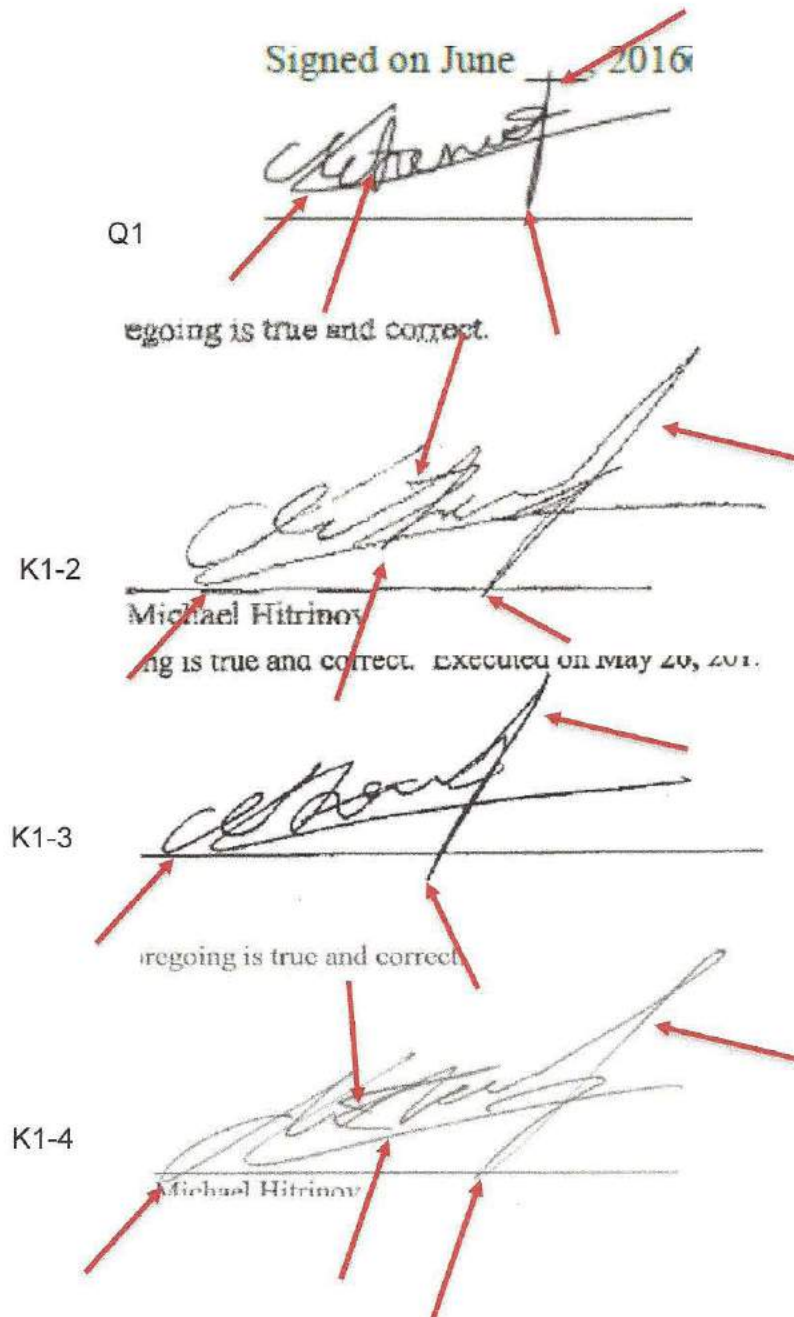
**Diplomate of the American Board of Forensic Document Examiners, Inc.*

***American Society of Questioned Document Examiners*

****Fellow of the American Academy of Forensic Sciences*

Handwriting Observations (continued):

relationship to the baseline, the height of the terminal upper extension, and the areas of pen lifts. (See images, with red arrows representing dissimilarities.)



Marcus Nussbaum

July 29, 2016

Page 6 of 6

Results of Examination:

Upon examination of the questioned signature appearing on Q1 with the known signatures of Michael Hitrinov, the evidence revealed some pictorial similarity. However, there are numerous significant dissimilarities noted. These dissimilarities along with the deliberate nature of the Q1 signature lead to the conclusion that it is highly probable that Michael Hitrinov did not write the questioned signature appearing on Q1, but rather appears to be an attempt by someone to simulate or trace his natural signature style. Submission of the original document could assist in determining whether the signature is in fact a simulation or tracing.

The examinations and conclusions presented herein are based on the evidence available at this time. I reserve the right to rely upon additional discovery that occurs after this report is submitted. To the extent additional evidence becomes available relevant to the opinions expressed in this report, I will update my opinions as appropriate.

Demonstratives:

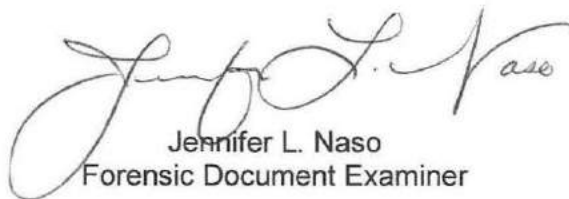
I reserve the right to rely on visual aids or demonstratives not present in this report to demonstrate my opinions at trial.

Remarks:

Thorough examinations were performed on the questioned document. Digital images/charts were likewise prepared from these documents. These images, when enhanced, allow for certain critical observations to be made. They also provide a very strong approach for demonstrating the evidence to a Trier of fact and can best be illustrated through use of a multi-media presentation.

Very truly yours,

RILEY WELCH LAPORTE & ASSOCIATES
FORENSIC LABORATORIES



Jennifer L. Naso
Forensic Document Examiner

**Diplomate of the American Board of Forensic Document Examiners, Inc.
**American Society of Questioned Document Examiners
***Fellow of the American Academy of Forensic Sciences*

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Q1

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV ET AL

Consolidated With

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL

v.

MICHAEL HITRINOV ET AL

AFFIRMATION OF MICHAEL HITRINOV

Michael Hitrinov affirms the following to be true and correct under penalty of perjury, and says:

1. I am the President of Respondent Empire United Lines Co., Inc. (“EUL”), and I make this certification in support of Respondents’ motion for judgment on the pleadings, and to provide the Presiding Officer with background and context regarding the transactions at issue.

2. EUL, a New York corporation formed in 1993, has a principal place of business in Brooklyn, New York. Since 1993, EUL has met all requirements to be licensed as a non-vessel operating common carrier by the Federal Maritime Commission.

BASIC BACKGROUND

A. The Investment Relationship Between EUL and Global Auto Enterprise

3. In early September 2010, I was contacted by Sergey Kapustin, whom I knew from previous business dealings as the owner and individual in control (together with his wife Irina Kapustina) of Global Auto USA, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc., Global Cargo Oy of Finland, and SK Imports, Inc. d/b/a Global Cars (“Global Auto Enterprise”).

4. The purpose of Mr. Kapustin’s call was to inquire whether EUL wanted to invest in the ownership of some vehicles that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a vehicle inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital, which Mr. Kapustin would then use to buy vehicles in the U.S. for resale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the resale of these vehicles.

5. Mr. Kapustin and I initially discussed a profit-sharing arrangement in which EUL and Global Auto Enterprise would divide the profits from the overseas sale of the vehicles acquired by Global Auto Enterprise with EUL’s funds. As the discussions progressed, however, Mr. Kapustin proposed an alternative form of profit-sharing – that EUL be paid a fixed return of 1.5 percent per month on its capital investment as EUL’s share of the anticipated profits from the re-sale of the vehicles acquired through EUL’s investment (“the Investment Vehicles”).

6. The parties ultimately adopted this alternative approach. EUL agreed to invest in the Investment Vehicles, and Global Auto Enterprise agreed in return to pay 1.5 percent per month as an advance of the anticipated profits from the re-sale of the Investment Vehicles. Global Auto Enterprise also agreed that EUL would be entitled to a right of possession regarding

each and every Investment Vehicle, such right to be extinguished only when Global Auto Enterprise met the criteria for release of the vehicle back to Global Auto Enterprise, as described below. Until these Investment Vehicles were authorized to be released, they would be held as collateral by EUL.

7. It was further agreed that EUL would be given the documents of title for each Investment Vehicle, to ensure that no such Vehicle could be released or resold without EUL's consent.

8. Attached as Exhibit 1 is correspondence reflecting the beginning of this relationship between EUL and Global Auto Enterprise. As part of the financial aspect of the arrangement, EUL was entitled to a 60 percent interest in each and every Investment Vehicle. Moreover, Global Auto Enterprise was required to maintain at all times an inventory of Investment Vehicles of sufficient value that 60 percent of the value would meet or exceed the outstanding amount of the investment. If the inventory fell below that level, Global Auto Enterprise was required either to re-pay part of the investment or add value to the inventory sufficient to meet the 60 percent standard.

9. In order to keep track of the balance of funds owed with respect to the Investment Vehicles, the total value of the Investment Vehicles was estimated, and details were maintained in a spreadsheet format by EUL and provided to Global Auto Enterprise on a regular basis. The purpose of the spreadsheets was to schedule all the Investment Vehicles with their values so as to assure that 60 percent of the total value was sufficient to secure the amount of the outstanding principal due EUL.

10. Attached as Exhibit 2 is a series of emails ranging from January 2011 through January 2013, many with spreadsheet attachments, relating to the balance spreadsheets

exchanged between the parties. Although the attached emails are not the totality of the correspondence and balance spreadsheets exchanged between the parties, Exhibit 2 provides a good overview of these exchanges and the manner in which they operated over the course of several years. All the Investment Vehicles were treated as being under Global Auto Enterprise umbrella regardless of which particular “company” the Investment Vehicles were titled under or being shipped on behalf of.

11. Pursuant to this arrangement EUL wired a total of \$450,120 in investment funds to Global Auto USA, Inc.’s accounts as follows:

9/20/10	\$45,000
10/5/10	\$25,000
10/13/10	\$100,000
5/12/11	\$160,000
12/13/11	\$120,000
12/13/11	\$120

12. Attached as Exhibit 3 is documentation of the six payments made to Global Auto Enterprise. As can be seen, my understanding of the purpose of these payments is contained in the transaction descriptions, e.g., “Car Joint Investment With Fixed Profit” by which I meant my 60 percent investment in the vehicles and the fixed profit of 1.5 percent agreed to by the parties.

B. The Transportation Arrangement In General

13. As part of the above agreement, the parties agreed that EUL, as the majority and secured owner of the Investment Vehicles, would arrange for their ocean transport to Finland. These transportation services were not the ordinary services EUL provided as to various shippers as part of its NVOCC function, but were instead part and parcel of the larger agreement.

Attached as Exhibit 4 is an October 24, 2012 email chain reflecting this understanding. There, EUL told Global Auto Enterprise that a particular vehicle did not qualify as an Investment Vehicle (because not owned by Global Auto Enterprise), and so could not be shipped under the arrangement. Upon learning that the vehicle could not be shipped under the arrangement, Global Auto Enterprise declined to use EUL's NVOCC service, and in fact the vehicle has been returned to Global Auto Enterprise.

14. From EUL's perspective, it was transporting these vehicles, in which it had an equity interest, for its own account as a beneficial cargo owner, and not in its capacity as a licensed ocean transportation intermediary. In light of this understanding, and with the agreement of Global Auto Enterprise, EUL did not issue separate shipping documents (*e.g.* bills of lading) for shipment of the Investment Vehicles. Instead, EUL and Global Auto Enterprise agreed to a flat rate of \$750 for transportation of each of the Investment Vehicles when arranged by EUL and to operate with the master bills of lading issued by the ocean carriers (in this case MSC).

C. How The Transportation Arrangement Worked In Practice

15. The basic practice and course of dealing between EUL and Global Auto Enterprise was as follows:

- Global Auto Enterprise would deliver Investment Vehicles to EUL, which would put them into containers (with other cargo), and deliver them to MSC for water transportation to Kotka, Finland.
- When the MSC vessel arrived in Kotka, the relevant containers were delivered to a warehouse company called CarCont Ltd., which EUL utilized as a container unloading facility, where the Investment Vehicles were removed from their containers for eventual release to Global Auto

Enterprise (specifically, Global Cargo Oy).

- Investment Vehicles could be released in Kotka only upon approval by EUL, based on: (1) an email request by Global Auto Enterprise made by one of the U.S. entities, **and** (ii) compliance with the requirement to maintain the 60 percent valuation standard.
- This latter financial requirement meant that in order to obtain release of a particular Investment Vehicle, Global Auto Enterprise had to repay 60 percent of the value of that Vehicle or, with EUL's consent, augment the inventory of Investment Vehicles in an amount sufficient to retain the overall 60 percent standard.

16. Once the conditions for release were met, EUL would authorize CarCont to release the requested Investment Vehicle. In accordance with the arrangement between EUL and Global Auto Enterprise, at the insistence of Global Auto Enterprise, Investment Vehicles were allowed to be released only to Global Auto Enterprise. In particular, they could be released *only* to Global Auto Enterprise member Global Cargo Oy, which operated a warehouse in Kotka, Finland and is managed by Igor Zadorozhniy, a relative of Irina Kapustina.

17. Prior to taking custody of the vehicles Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

18. As a matter of practice, EUL never had any communications with Global Cargo Oy about the release of any vehicles, the status of shipments, or payments of any charges relating to any shipments. Instead release instructions would only come from the U.S. companies that

were part of Global Auto Enterprise (i.e., G Auto Sales, Inc., Effect Auto Sales, Inc., and Global Auto Sales, Inc.) and the only release instructions ever given for hundreds of vehicles shipped were to release the vehicles to Global Cargo Oy and Igor Zadorozhniy. Moreover, Mr. Kapustin had previously instructed EUL not to discuss any details regarding payments, shipments, etc. with anyone other than the U.S. companies that were part of Global Auto Enterprise.

19. An email dated December 6, 2012 giving an example of how Global Auto Enterprise gave express instructions to release vehicles only to Global Cargo Oy and Igor Zadorozhniy is attached as Exhibit 5. Attached as Exhibit 6 are more general release instructions always indicating release to Global Cargo Oy. Exhibit 7 is a compilation prepared for this proceeding at my direction showing that this same pattern of release instructions was followed for virtually all vehicles ever shipped by Global Auto Enterprise.

20. Once the vehicles were released to Global Cargo Oy and Mr. Zadorozhniy, EUL had no knowledge about what would happen to the vehicles. Overall, between 2010 and 2013, EUL shipped over 680 vehicles pursuant to this course of dealing with Global Auto Enterprise without any complaint. Throughout this period, EUL never had any communications or other dealings with Global Auto Enterprise's customers. EUL's dealings were only with Global Auto Enterprise, and the titles that Global Auto Enterprise provided to EUL for export clearance did not include the names of Global Auto Enterprise's customers.

E. Global Auto Enterprise's Failure to Meet Its Financial Obligations

21. By late 2012 I became increasingly concerned about Global Auto Enterprise's ability, and even willingness, to abide by our agreement. Specifically, I was concerned that Global Auto Enterprise was seeking to avoid repaying any portion of the investment funds.

22. On December 27, 2012, I notified Global Auto Enterprise that the relationship

was becoming untenable because of its actions and demanded that Global Auto Enterprise repay all amounts due EUL “in 30 da[y]s from today. We will not extend that date.” I repeated that 30-day demand later that day. Attached as Exhibit 8 are the notices to Global Auto Enterprise.

23. Despite my repeated efforts, payment to EUL was not forthcoming. On or about January 20, 2013, I spoke by telephone with Mr. Kapustin. He confirmed that Global Auto Enterprise no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation of Global Auto Express to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Consequently, on January 28, 2013, I sent an email to Global Auto Enterprise (i) expressing my concern that Global Auto Enterprise was taking actions “detrimental to our jointly owned assets without my knowledge and consent,” and (ii) requesting that Global Auto Enterprise cease any further actions “which may cause irreparable damages” to the parties. Attached as Exhibit 9 is a copy of my January 28, 2013 email.

24. On February 6, 2013, Irina Kapustina (president and 100 percent owner of Effect Auto Sales, Inc. and the ex-wife of Mr. Kapustin) wrote to me acknowledging EUL’s demand for payment in full and that EUL “no longer wants to have an ownership in the cars inventory.” She also acknowledged EUL’s interest in the vehicle inventory, stating “you have them at your disposal.” Attached as Exhibit 10 is Ms. Kapustina’s email together with an English translation.

25. Given Global Auto Enterprise’s repudiation of the agreement, and fearing that they were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that the Investment Vehicles be removed from that location and ultimately sold to third party buyers to satisfy Global Auto Enterprise’s indebtedness to EUL, with the proceeds to be applied to the outstanding principal due EUL and any additional

amounts due EUL for storage.

26. Included among these Investment Vehicles, which were sold to satisfy the debts owed by Global Auto Enterprise, were the vehicles with respect to which Complainants Igor Ovchinnikov, Denis Nekipelov, and Kairat Nurgazinov now assert claims. However, the vehicle as to which Complainant Irina Rzaeva now asserts claims was not sold by EUL. Upon information and belief, that vehicle (a 2011 Jeep Compass with VIN # ending in 2296) remained in the control of CarCont Ltd. in Kotka, Finland through at least January 2015 and was eventually liquidated by CarCont for unpaid storage fees.

FACTS REGARDING THE VEHICLES AT ISSUE

A. Transportation of the Investment Vehicles

27. The Investment Vehicles at issue here went through the very same process as described generally above, at least up to the issue of release. That is:

- Global Auto Enterprise delivered the Investment Vehicles and titles to EUL.
- EUL put the Investment Vehicles into containers and delivered them to MSC.
- MSC transported the containers to Kotka, Finland, where it delivered them to CarCont.
- CarCont decontainerized the Investment Vehicles and awaited release authorization from EUL based on a request and financial compliance by Global Auto Enterprise.

B. Release of these Investment Vehicles

28. As explained above, all Investment Vehicles, including those at issue, were

subject to specific requirements for release. Global Auto Enterprise was required both to request release of the particular vehicle and to meet the financial prerequisites to release – payment of the agreed shipping cost (\$750/unit), and restoration of the 60 percent value by paying that portion of the Investment Vehicle’s value to EUL (or with EUL’s approval, replenishment of the inventory to meet the 60 percent standard).

29. Relevant to the Investment Vehicles at issue, Global Auto Enterprise did neither. They never requested release of any of the four vehicles. And, as explained above, they declined to re-pay EUL the amount required under the arrangement.

30. As also explained above, Investment Vehicles could only be released to Global Cargo Oy. They could not be released to Complainants or anybody else not named Global Cargo Oy that came with a claim of ownership regarding any such vehicle.

31. Moreover, as noted above, prior to taking custody of the vehicles, Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

C. Complainants were Strangers to These Transactions

32. Consistent with the general pattern described above, EUL never had any communications or other dealings with the Complainants. Nor did any of the documents, including the titles, provided by Global Auto Enterprise include the names of the Complainants. Indeed, EUL did not learn Complainants’ identities until well after their vehicles were liquidated as collateral in Finland. I personally also have never had any contact or communications with the Complainants prior to the vehicles being liquidated as collateral in Finland.

33. It is also questionable whether the Complainants have ever paid the Global Auto

Enterprise for the ocean freight and other charges (such as dealer fees etc.) for these shipments. The Complainants have not produced any invoices or other documents showing that Global Auto Enterprise had been paid for the shipping charges associated with transportation of the vehicles.

34. The absence of any relationship is confirmed by the “shipping documents” submitted by both Parties pursuant to the Presiding Officer’s Order of April 27, 2016. As described in more detail in Respondents Motion for Judgment on the Pleadings (and Attachments thereto), which this Affirmation supports:

- The Dock Receipts submitted by both Parties contain no mention of any Complainant.
- The MSC bills of lading (submitted only by Respondents) are likewise devoid of any reference to any Complainant.
- The Titles (submitted for all vehicles by Respondents and three by Complainants) also contain no mention of any Complainant, and indeed show Global Auto Enterprise (Effect Auto Sales, Inc.) as the owner.
- None of the invoices submitted for the transportation services name any of the Complainants.

35. I further note that the “invoices” submitted by Complainants are obviously crude fabrications. As the Presiding Officer can readily confirm:

- The invoices submitted by Respondents are simple, unadorned, emails. This is the precise form in which the invoices left EUL. Respondents are entirely willing to provide the electronic originals of these invoices should the Presiding Officer wish or Counsel for Complainants request.
- The purported invoices submitted by Complainants, in contrast, have been

substantially altered into a composite of multiple origins. As the Presiding Officer may himself verify, the manipulated versions add (i) an unauthorized EUL letterhead, (ii) an invoice number title, (iii) a purported “paid” stamp, and (iv) my private banking information. None of these documents ever left EUL in this fashion.

- Counsel for Complainants has thus far declined to make electronic originals of the shipping documents available. In addition to the obvious implication, Counsel’s claim of attorney-client privilege raises in my mind at least questions of who actually possesses and controls the documents.

36. This is not the first time Counsel for Complainants has submitted these doctored “invoices” to a federal tribunal. As discussed in more detail below, Counsel submitted these very same fabrications in the EDNY lawsuit (as defined in Paragraph 54 below).

D. Complainants’ Discrepant Claims About Ownership

37. I understand that the Complainants in this matter contend that they allegedly purchased vehicles from Global Auto Enterprise, to be delivered to Complainants by Global Auto Enterprise at its facility in Finland (the warehouse operated by Global Cargo Oy). Although, as explained above, such claims are irrelevant in light of the release requirements for Investment Vehicles. I note various discrepancies about the various documents Complainants have used to support their alleged claim of ownership. I emphasize that EUL received none of these “ownership” documents in connection with the transaction, but only as a result of discovery in various after-the-fact proceedings.

38. I have no knowledge about the Complainants or whether or not they were legitimate purchasers of the vehicles from Global Auto Enterprise. As noted below, Global Auto

Enterprise was found by the New Jersey Court to have engaged routinely in fraudulent business practices regarding its purported sales, including selling the same vehicles to multiple “buyers.”

39. A review of the “shipping documents” recently produced by the Complainants to substantiate their status as “buyers” of the vehicles instead reveals a number of questions regarding Complainants’ purported status with respect to these Investment Vehicles. The purpose for noting these questions is not to try the issue of whether Complainants do in fact have ownership interests, but rather to show why, even if permitted by the underlying transportation agreement, no reasonable businessman would release cargo based on such documents.

40. Complainant Igor Ovchinnikov alleged that on August 22, 2012 he purchased a 2009 GMC Acadia (with VIN# ending in 8200) from G Auto Sales, Inc. for \$28,960.00. However, the shipping documents produced (see documents attached as Exhibit 11) show that the initial payments were made with respect to an entirely different vehicle (a 2012 GMC Acadia with VIN# ending in 1860). While the handwriting on the invoice purportedly for the sale of the 2012 GMC Acadia suggests that the funds transferred by Complainant Igor Ovchinnikov may have been applied to the 2009 GMC Acadia, the two invoices actually bear the same invoice number (6779) and the same date of August 22, 2012.

41. The title for this vehicle is also irregular in that it was issued in the name of Effect Auto Sales, Inc., and lists a date of purchase by Effect Auto Sales, Inc. of October 11, 2012, which is consistent with the fact that the vehicle at issue appears to have been delivered to Finland in October 2012. Thus, Complainant Igor Ovchinnikov purports to have purchased in August a vehicle that Global Auto Enterprise did not even possess until months later. See Exhibit 11 at pages 3 and 4.

42. The payment documents provided by Complainant Ovchinnikov raise even more

questions, because they reference a third vehicle (a GMC Acadia with VIN# ending in 5908). See Exhibit 11 at page 5. Further complicating the matter is that Complainant Ovchinnikov produced an undated statement in which he claims that he purchased the vehicle from Global Auto USA, Inc. (contrary to his allegations in the Complaint and the documents showing purchase from G Auto Sales, Inc.). See Exhibit 11 at page 6.

43. Given these numerous discrepancies, even if EUL had received these documents at the time (which it never did) how would EUL be able to rely upon such documents to determine whether Complainant Igor Ovchinnikov had any valid rights with respect to any vehicles?

44. Similarly, although Complainant Irina Rzaeva alleges in the Complaint that she purchased a 2011 Jeep Compass with VIN# ending in 2296 on October 5, 2012 from G Auto Sales, Inc., in a February 4, 2013 letter she sent to the FMC, she asserted that the vehicle was instead purchased from Global Auto USA, Inc. A copy of the February 4, 2013 letter is attached as Exhibit 12. In that same letter she also claimed that Sergey Kapustin signed the invoice through which she purchased the vehicles, but the only invoice produced by her is signed by Michael Goloverya, President of G Auto Sales, Inc. See Exhibit 12 at page 2. Adding to the confusion is the fact that the title for the vehicle lists yet another company – Effect Auto Sales, Inc. – as the owner. See Exhibit 12 at page 3. The payment details for the “purchase” of this vehicle (which show a payment being made to G Auto Sales, Inc.) state in the reference for originating bank instructions that the payment is a “GIFT.” See Exhibit 12 at page 4. Contrast this with the payment details for the purchase of the vehicle submitted by Complainant Denis Nekipelov (Exhibit 14 at page 4) discussed below.

45. Furthermore, Complainant Irina Rzaeva’s allegation that she made a trip to Kotka,

Finland on or about March 12, 2013 “to try to find her vehicle and to file (unsuccessfully) a complaint with the prosecutor’s office in Finland,” is belied by the fact that the Customs office of Kotka, Finland conducted an inspection of CarCont, Ltd. at the request of the Finnish attorneys of Global Auto Enterprise in the Spring of 2013 and were able to confirm the presence of Complainant Irina Rzaeva’s alleged vehicle (as well as Mr. Ovchinnikov’s alleged GMC Acadia). In fact the Customs office report notes that a photograph of the vehicle in question was taken on March 15, 2013. Copies of the report from the Customs office which was produced by Counsel for Complainants (and an English translation of same) are attached as Exhibit 13.

46. Complainant Denis Nekipelov alleges in the Complaint that on October 24, 2012 he purchased a vehicle (a Mercedes-Benz C300 with VIN# ending in 3295) from G Auto Sales, Inc. The title for this vehicle, however, is in an entirely unknown name (Daimler Trust). See Exhibit 14 at page 1. As with the others, Complainant Denis Nekipelov also claimed in a letter that he purchased the vehicle from Global Auto USA, Inc. and that Sergey Kapustin signed his invoice. See Exhibit 14 at page 2. The only invoice produced by Complainant Denis Nekipelov was issued by G Auto Sales, Inc. and signed by Michael Goloverya as President of that company, and the payment documents for the “purchase” of this vehicle show payment being made to G Auto Sales, Inc. See Exhibit 14 at pages 3 and 4. According to the Finnish Customs report attached as Exhibit 13, the vehicle left Finland on February 22, 2013.

47. Finally, this vehicle was explicitly provided by Effect Auto Sales, Inc. to EUL to serve as collateral for the amounts outstanding under the investment/profit sharing arrangement discussed above. A copy of an October 25, 2012 email from Effect Auto Sales, Inc. to EUL regarding this vehicle is attached as Exhibit 15.

48. Complainant Kairat Nurgazinov alleges in the Complaint that on or about

November 29, 2012 he purchased a vehicle (a Toyota Camry with VIN# ending in 6703) from G Auto Sales, Inc. However, the payment details show a payment being made with respect to an entirely different vehicle (a Toyota Camry with VIN# ending in 1494). See documents attached as Exhibit 16. The invoice number referenced in the payment details is 67936 and that reference and the issuance date of November 29, 2012 match an invoice provided by Complainant Kairat Nurgazinov, but the details for the vehicle involved are entirely different. Just as with the vehicle claimed by Complainant Igor Ovchinnikov, there are two different invoices bearing the same number and date but dealing with different vehicles. See Exhibit 16 at pages 2 and 3. There is no evidence produced by Complainant Kairat Nurgazinov that the balance owed of \$2,420.00 for purchase of the vehicle was ever paid to G Auto Sales, Inc.

49. Again the point of all this is that even if EUL had received such documents prior to the sale of the vehicles (which it never had) how could it ever have been reasonable for EUL to release a vehicle to an unknown party with no official standing based on such discrepant and conflicting documents?

50. Incidentally, according to the Finnish Customs report attached as Exhibit 13, this vehicle left Finland (i.e., was sold) on February 6, 2013. It does not appear that Complainant Kairat Nurgazinov contacted CarCont Ltd. with respect to this vehicle until February 23, 2013, at which point that vehicle had already been sold.

51. It should also be noted that none of the Complainants have produced any certificates of sale to support their alleged “purchase” of the vehicles at issue. The State of New Jersey (which is the only state in which Global Auto Enterprise was registered to sell vehicles) requires that all vehicles sold by dealers be documented by a DMV certificate of sale. Since no certificates of sale were provided by Complainants, the ownership of G Auto Sales, Inc. of the

vehicles (who is claimed to have “sold” all the vehicles to the Complainants) is itself in question.

52. In any event, as explained above, Global Auto Enterprise never sent EUL any instructions about these shipments, or otherwise identified the Complainants as its customers with respect to these shipments. More specifically Global Auto Enterprise never asked EUL to release the vehicles that Complainants now make claims with respect to.

ADDITIONAL MATTERS

53. In this section of my Affirmation, I address additional matters that provide further context for the foregoing.

54. As the Presiding Judge is well aware, this is not the first proceeding that Complainants’ counsel has brought (all unsuccessfully) against me (and EUL) in a variety of federal forums regarding the same group of vehicles (or a subset thereof). I briefly recite some of that history, and raise certain concerns arising from that history. In particular, I note, as discussed above, that Complainants’ Counsel has submitted obviously false and fraudulent shipping documents in this matter – and declined to provide electronic originals. I believe that this is consistent with, and in some cases a repeat of, his actions in the prior litigations.

A. Counsel’s First Lawsuit Against EUL Involving the Vehicles

55. In April 2013, Global Auto Enterprise, represented by Complainants’ Counsel, commenced a lawsuit against EUL and me in the United States District Court for the Eastern District of New York, captioned as 13 Civ. 2479 (the “EDNY lawsuit”).

56. In the EDNY lawsuit, Global Auto Enterprise, through Complainants’ Counsel and his colleagues, filed false and misleading declarations in which the principals of various constituents of Global Auto Enterprise denied the existence of any investment or profit sharing arrangement involving EUL. Attached as Exhibit 17 is a letter addressed by counsel for Global

Auto Enterprise to its customers, repeating the same false denials of any relationship between Global Auto Enterprise and EUL.

57. Global Auto Enterprise, through Complainants Counsel, also submitted and relied upon thirty-two fabricated documents that were made to look as if they were EUL “invoices” for freight payments relating to shipments of vehicles. Attached as Exhibit 18 are three of these forged “invoices” which were relied upon by Global Auto Enterprise in the EDNY lawsuit and which reference the vehicles as to which the Complainants now assert claims.

58. In March 2015, after having served as counsel to Global Auto Enterprise for two years with respect to the dispute over these vehicles (including the vehicles over which Complainants now assert claims with respect to), Complainants’ Counsel requested and was granted leave to withdraw as counsel for Global Auto Enterprise, on the basis of alleged non-payment of fees and that he had been “fired.”

59. It is my belief, however, that Complainants’ Counsel continued to serve behind the scenes as an attorney for Global Auto Enterprise. It is otherwise difficult to reconcile Counsel’s purported firing with the attached Exhibit 19, a September 28, 2015 email from Counsel to Mr. Kapustin offering to continue representing Global Auto Enterprise in the EDNY lawsuit on a “pro bono” basis.

60. In the end, the Judge saw through these false declarations and the fabricated EUL “invoices” and denied any relief to Global Auto Enterprise in the EDNY lawsuit. In late September 2015 all claims asserted by Global Auto Enterprise against EUL and me were dismissed, and EUL was granted a default on our counterclaim against Global Auto Enterprise.

61. These “invoices” were found in draft form on Mr. Kapustin’s personal computer and he “took the Fifth Amendment” when asked questions about how the invoices were created.

62. Remarkably, despite the foregoing, Complainants' Counsel persists in putting forth the same fabricated documents, and to deny any request for the electronic originals.

B. Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.

63. In the proceeding before this Commission docketed as *Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.*, Docket No. 14-16, Complainants' Counsel represented other complainants who asserted time barred and already-released claims against EUL and me. In an attempt to overcome the obvious time bar Complainants' Counsel there presented to the Commission and relied upon a so-called audit, which he asserted was prepared by an employee of the complainants on July 14, 2014.

64. In a related proceeding brought by EUL against Baltic Auto Shipping, Inc. and its principal in the United States District Court for the District of New Jersey (captioned as 15 Civ. 355) for breach of a prior settlement agreement, discovery showed that this claim was untrue.

65. Baltic Auto Shipping, Inc. was directed by the Judge in that case to produce the original signed audit and the original native electronic drafts of the audit. Baltic failed to do so. Instead, the principal of Baltic signed a certification asserting a "dog ate my homework" type of defense, saying that the audit was prepared on a laptop computer (from which no electronic copies were ever made or emailed) that was conveniently infected by a virus, one month after the audit was allegedly prepared, requiring reformatting of the hard drive. The laptop was then supposedly disposed of a few months later and thus conveniently not unavailable for forensic analysis. A copy of the Declaration of Andrejus Presniakovas is attached as Exhibit 20.¹

66. When Complainants' Counsel was ordered to produce the original signed copy of the audit (which he had repeatedly represented to the Court was in his office) for examination by

¹ Mr. Presniakovas had previously submitted a similar affidavit to the Commission on April 3, 2015, and a copy of that affidavit is also attached as part of Exhibit 20.

a forensic expert, he instead produced only an obvious and poor quality photocopy. A copy of the report prepared by the forensic expert establishing that only an obvious and poor quality photocopy of the audit was made available for inspection is attached as Exhibit 21.

67. When pressed to explain what had happened to the original signed copy of the audit, Complainants Counsel reversed course, denying any knowledge of its whereabouts and offering a “guess” that “it is more than likely that” the original was inadvertently sent to the FMC for filing. A copy of the “explanatory” certification from Complainants’ Counsel regarding the location of the original signed audit is attached as Exhibit 22.

68. Not satisfied by this response, the Court pressed for further explanation. Complainants’ Counsel then speculated that his assistant, whom he refused to name, had sent the original signed copy of the audit to the FMC for filing. The FMC’s Docket Activity Librarian, however, confirmed to the contrary that no such original was in the FMC’s possession. A copy of the confirmation from the FMC that all it possessed was “a photocopy based on the poor clarity of the print” is attached as Exhibit 23.

69. The Court ultimately forced Complainants’ Counsel to disclose the identity of his assistant and provide an affidavit from her (see copy attached as Exhibit 24). But when the Court then directed Complainants’ Counsel to produce his assistant for deposition regarding her “affidavit” and the fate of the original signed audit, Complainants’ Counsel did yet another about-face. He now claimed that his “assistant” was actually just an unpaid legal intern no longer employed by him, and that he had no mailing address, telephone number, or email address for her and thus, could not provide any last known contact details or produce her for the court-ordered deposition.

70. This pattern of apparent deception is starting to repeat itself in this proceeding, as

evidenced by the resurfacing of the doctored “invoices” and the other discrepancies in the shipping documents pointed out above. It is for these reasons that I have, through counsel, requested Complainants’ Counsel to provide the original and native electronic files for all the shipping documents, a request I will make formally once the discovery schedule has been set by the Presiding Officer.

C. Global Auto Enterprise has been Determined to be a Single, Fraudulent Enterprise

71. As the Presiding Officer knows from prior filings in these consolidated proceedings, Global Auto Enterprise has been held by the United States District Court for the District of New Jersey to be a single enterprise engaged in RICO violations and fraud. 13 Civ. 7152 (the “DNJ lawsuit”).

72. In the DNJ lawsuit, defrauded customers of Global Auto Enterprise obtained a \$2.3 million Judgment against Mr. Kapustin, G Auto Sales, Inc., Global Auto Sales, Inc., Effect Auto Sales, Inc., SK Imports, Inc., Global Cargo Oy, and Igor Zadorozhniy (all members of Global Auto Enterprise). The Court found them all part of a RICO conspiracy that had engaged in mail and wire fraud and “bait-and-switch” fraudulent practices and consumer fraud from at least 2008 through February 2014. A copy of the Judgment, which was issued in September 2015, is attached as Exhibit 25.²

73. The Judgment describes some of the specific racketeering conduct of Global Auto Enterprise in targeting online unsophisticated foreigners from the former Soviet Union and other countries as follows:

- Advertised and “sold” cars were not in [Global Auto Enterprise’s]

² At least two other Judgments were entered against Mr. Kapustin and other members of the Global Auto Enterprise during this same period based on the Global Auto Enterprise’s fraudulent business practices. See November 10, 2014 judgment issued by New Jersey Superior Court, Union County (in a case captioned as *DK International, Inc. v. Kapustina et al.*, L-1577-11), and June 29, 2015 decision issued by New Jersey Superior Court, Union County (in a case captioned as *Izbastin v. Global Auto, Inc. et al.*, L-0514-13), copies of which are attached as Exhibit 26.

possession and often already owned by unrelated third parties at the time of the “sale.”

- Once the customer wired the money, [Global Auto Enterprise] failed to deliver the pre-paid vehicles, and refused to issue any refunds. [Global Auto Enterprise] then offered customers different cars, for a higher price, thus extorting further payments.
- Even on the “switch” vehicles that were ultimately (sometimes after 6-8 months from first wire), sent to Global Auto Enterprise’s warehouse in Finland, Global Auto Enterprise refused to “release” vehicles and charged hidden fees, misrepresented odometer readings, withheld the information that the vehicle had been declared a “total loss” after an accident or had been flooded by hurricane Sandy (with a “salvage” title issued).

See Exhibit 25 at page 8.

74. As especially relevant here, the Judge in the DNJ lawsuit also found that Global Auto Enterprise had repeatedly “sold” the same vehicles to more than one customer:

THE COURT: Mr. Kapustin seems to think that it's okay to sell something he doesn't own and keep the proceeds. I don't know that I've ever seen more remarkable conduct or admissions in a court of law. He has sold cars that were subject to control by the Eastern District of New York [where Complainants' Counsel represented Global Auto Enterprise], and apparently selling them, selling the same car twice, and it's fully consistent with the other transactions that have been demonstrated to this Court.

See pages 7-8 and 65 of the transcript of the October 27, 2014 hearing which can be accessed as Docket Entry No. 135 in the DNJ lawsuit (13 Civ. 7152).

The foregoing is true and correct to the best of my knowledge under penalty of perjury.

Signed on June 1, 2016

A handwritten signature in black ink, appearing to read "Michael Hitrinov", written over a horizontal line.

Michael Hitrinov

K1-1

Settlement Agreement And Mutual Release

This Settlement Agreement and Mutual Release (the "Agreement") is entered into among:

- (1) **Baltic Auto Shipping, Inc.** ("Plaintiff" or "Baltic"), a corporation organized and existing under the laws of Illinois with a principal place of business at 5811 W. 66th Street, Bedford Park, IL 60638;
- (2) **Michael Hitrinov, a/k/a Michael Khitrinov** ("Hitrinov") an adult individual and a citizen of the State of New York with a business address at 2303 Coney Island Avenue, Brooklyn, NY 11223;
- (3) **Empire United Lines Co., Inc.** ("Empire"), a closely held corporation organized and existing under the laws of the State of New York with a principal place of business at 2303 Coney Island Avenue, Brooklyn, NY 11223;

Baltic, Hitrinov and Empire are referred to, from time to time, as a Party or as Parties. Baltic may also be referred to, from time to time, as Plaintiff and Hitrinov and Empire may also be referred to, from time to time, as Defendants.

WHEREAS, on or about November 23, 2011, Baltic filed a Verified Complaint against Empire, Michael Hitrinov a/k/a Michael Khitrinov, Mediterranean Shipping Company (USA), Inc. ("MSC") and John Does # 1 through 5 in the United States District Court for the District of New Jersey (the "Action") and gave notice of its intent to seek, on an emergency basis, a Temporary Restraining Order enjoining the seizure of approximately 167 containers of cargo shipped by Baltic through Empire and MSC;

WHEREAS, Defendants deny the allegations made by Baltic in the Action;

WHEREAS, without admitting any of the allegations of fact or law asserted in the Action, the Parties are desirous of amicably settling their differences and disputes without the expense or burden of further litigation.

NOW THEREFORE, for good and valuable consideration, the sufficiency of which is hereby acknowledged, and intending to be legally bound, the Parties agree as follows:

1. Recitals. The foregoing recitals are hereby incorporated by reference and are made part of this Agreement.
2. Release of Arrived Containers. In consideration for a payment of \$8,000 made on Friday, November 25, 2011, receipt of which is hereby acknowledged, Empire shall immediately release the twenty-three (23) containers identified in Exhibit "A" to Baltic and/or its designee. The Parties agree that Baltic shall be responsible for all storage and demurrage charges, if any, with respect to these twenty-three (23) containers.

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3. Release of Remaining Containers. Any and all other containers shipped by Baltic through Empire and MSC including, without limitation, the one hundred and thirty-eight (138) containers identified in Exhibit "B", shall be released by Empire to Baltic and/or its designee upon arrival and payment by Baltic of the sums specified in Exhibit "B". To the extent that Empire causes a delay in the release of the containers identified in Exhibit "B" and this results the accrual of storage or demurrage charges, Empire will be responsible for payment of such charges, otherwise such charges will be the responsibility of Baltic.

4. No Other Charges. With the exception of the foregoing, Baltic shall not be responsible for any other charges associated with the containers identified in Exhibits "A" and "B".

5. Mutual General Releases. With the exception of any obligations imposed by this Agreement, and in consideration of the undertakings set forth herein, and for other valuable consideration, receipt of which is hereby acknowledged, the Parties hereby release, remise, and discharge each other and their officers, directors, attorneys, employees, agents, heirs, executors, administrators, successors, and assigns from any and all manner of claims, actions, causes of actions, demands, obligations, liens, rights, damages, costs, expenses, and/or compensation of any nature whatsoever that each party now has or may have had on account of or in any way growing out of shipping charges related to Baltic's cargo and any claims of damages related to the delay in releasing said cargo from the beginning of time up to the date of this release.

6. Discontinuance of Action. Within five (5) days from the Date of Execution, Baltic shall cause the Action to be withdrawn and dismissed, with prejudice, as against all parties including, without limitation, MSC.

7. Representations and Warranties. As a material inducement to the entry into and the execution of this agreement, the Parties represent and warrant as follows:

- (a) This Agreement, when executed, shall constitute the legal, valid and binding obligation of Parties, enforceable in accordance with its terms.
- (b) The Parties have had the opportunity to consult with and be advised by counsel, and have done so, and have had the opportunity to make whatever investigation or inquiry each may have deemed necessary or desirable in connection with the subject matter of this Agreement prior to its execution. The Parties have voluntarily and knowingly entered into this Agreement with full knowledge and understanding of its contents.
- (c) Except as specified herein, the Parties have not sold, assigned, conveyed or otherwise transferred any portion of their interest in any of the released claims in this Agreement.

8. Disclaimer of Liability. It is expressly understood and agreed by and among the Parties that this Agreement represents the settlement and compromise of disputed claims and that

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A. P.

the payment of the consideration mentioned in this Agreement is not to be construed as either an admission of liability on the part of the Parties or an admission by either of the Parties herein that the claims asserted have any legal merit

9. Governing Law. This Agreement has been negotiated, and is entered into, in the State of New Jersey. Regardless of any state, foreign country, or jurisdiction in which any dispute or issue regarding any provision of this document may later arise or be asserted or otherwise be at issue, all provisions of this document and the effect and application of all provisions of this document shall be construed and interpreted in accordance with New Jersey law. The parties agree that this document shall be interpreted and enforced under the statutes and common law of New Jersey regardless of the issue which may arise and regardless of the location where any interpretation or application of this document shall occur. This document shall be interpreted and enforced under the statutes and common law of New Jersey without the application of any "choice of law" legal principles which would otherwise result in the application of any law of any other jurisdiction.

10. Enforcement. In addition to any other remedies available at law or in equity, in the event of a breach or default by any party of any obligation imposed by this Agreement, the court shall be authorized to award reasonable attorney's fees and costs as against the defaulting party. In addition, the Court will retain jurisdiction over the enforcement of this Agreement.

11. Further Assurances. The parties shall execute and/or deliver any and all documents and give such instructions to their agents, designees and counterparties as may be necessary for the effectuation of the terms and conditions of this Agreement.

12. Severability. The provisions of this Agreement are severable, and if any provision is held to be unenforceable or invalid, it shall not affect the validity or enforceability of any other provision.

13. Successors in Interest. This Agreement contains the entire Agreement and understanding between the Parties with regard to the matters set forth in the Agreement and will be binding on and inure to the benefit of the executors, administrators, personal representatives, heirs, successors and assigns of each Party.

14. Advice of Counsel. In entering into this Agreement, the releasing parties represent that they have relied on the legal advice of their respective counsel who is the counsel of their own choice, and on the terms of this Agreement have been completely read and explained by their attorney, and that those terms are fully understood and voluntarily expressed in this Agreement.

15. Contract Interpretation. This Agreement shall be deemed as having been jointly drafted by the releasing parties and shall not be construed in favor of or against either of the Parties but will be given its plain meaning.

16. Entire Agreement. This Agreement constitutes the entire understanding between the parties with regard to all disputes related to the matters set forth in the Agreement. There are

no other understandings or agreements, verbal or otherwise, between the parties except as expressly set forth in this Agreement.

17. Modification. This Agreement may not be modified by any party except upon in writing executed by both parties.

18. Non-Waiver. The waiver of either party of any breach of this Agreement by the other party shall not be deemed a waiver of the same, or any other provision of this Agreement, nor shall any action by either party inconsistent with their rights which exist to that party under this Agreement be considered to be a wavier of that right or any other rights existing under this Agreement.

19. Counterparts. This Agreement may be executed in one or more counterparts, each of which shall be deemed an original, but all of which together shall constitute the same instrument. Facsimile signatures shall be deemed as effective as originals.

20. Effective Date. The Agreement shall be deemed executed and effective when signed by the last party.

[SIGNATURES ON NEXT PAGE]

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IN WITNESS WHEREOF, the parties have hereunto set their hand and seal this _____
day of _____, 2011.

BALTIC AUTO SHIPPING, INC.

Date: 11 / 29 / 2011

By: 

Title: PRESIDENT

Printed Name: ANDREJUS PRESNIAKOVAS

EMPIRE UNITED LINES CO. INC.

Date: 11 / 29 / 2011

By: Michael Hiskine KH(1)

Title: president

Printed Name: Michael Hiskine

MICHAEL HITRINOV

A/K/A MICHAEL KHITRINOV

Date: 11 / 29 / 2011

Michael Hiskine KH-1(2)

EXHIBIT "A"

1	038EUL479838	MSCU8311411
2	038EUL451407	CAIU8675002
3	038EUL451166	MSCU9836410
4	038EUL475739	MSCU8385029
5	038EUL475742	MEDU8410426
6	038EUL447499	MEDU8730564
7	038EUL455564	TGHU7710085
8	038eul454130	DFSU6834642
9	038EUL455566	MSCU7031490
10	038EUL455567	MEDU8102017
11	038eul455620	TCNU6006125
12	038eul455624	MSCU7186594
13	038eul455629	MEDU8612854
14	038eul455628	MSCU7217843
15	038eul455631	MSCU9402917
16	038eul455632	MSCU8766323
17	038eul486065	MSCU8278289
18	038eul486067	MSCU9802615
19	038eul486068	MEDU8320277
20	038eul486069	MEDU8065103
21	038eul486071	MSCU8284846
22	038eul489198	MEDU8760764
23	038eul489126	MEDU8218630

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EXHIBIT "B"

24	038EUL451412	MEDU8876878	\$1,950.00
25	038CHI461866	MSCU7755160	\$2,700.00
26	038EUL461945	GLDU7388250	\$2,450.00
27	038EUL461960	GLDU7389045	\$2,450.00
28	038EUL454025	MSCU9000230	\$1,950.00
29	038eul461999	MSCU8711758	\$2,700.00
30	038EUL454026	MSCU7495551	\$1,950.00
31	038eul461998	MSCU8832298	\$2,700.00
32	038EUL455513	MSCU9872757	\$1,950.00
33	038EUL455514	MSCU9877867	\$1,950.00
34	038eul455516	MSCU9212223	\$2,700.00
35	038EUL454219	CAXU9153447	\$3,100.00
36	038EUL454221	INKU6711625	\$3,100.00
37	038EUL454220	TCNU8730314	\$3,100.00
38	038EUL475727	MSCU8425610	\$2,550.00
39	038EUL454222	TCNU8182268	\$3,100.00
40	038EUL454223	MSCU9181914	\$3,100.00
41	038EUL451170	TCLU5468060	\$3,100.00
42	038EUL454225	TRIU9749841	\$3,100.00
43	038EUL454226	FCIU8794102	\$3,100.00
44	038EUL454227	MEDU8883542	\$3,100.00
45	038EUL454228	MSCU7025481	\$3,100.00
46	038EUL461961	MSCU9191408	\$2,450.00
47	038EUL451801	MEDU8937192	\$2,450.00
48	038EUL451800	TCNU7279588	\$2,890.00
49	038EUL455515	GLDU0790170	\$1,950.00
50	038EUL455664	MEDU7026801	\$3,100.00
51	038EUL455662	TCLU5516488	\$3,100.00
52	038EUL455663	TRLU5365890	\$3,100.00
53	038EUL455900	TGHU7670510	\$1,950.00
54	038EUL455754	CARU9948875	\$1,950.00
55	038EUL455753	MEDU8982210	\$1,950.00
56	038EUL455666	TCNU7876650	\$3,100.00
57	038EUL455751	TGHU8642560	\$1,950.00
58	038EUL455752	CRXU9923901	\$1,950.00
59	038EUL461944	GATU8431512	\$2,450.00
60	038EUL455898	TGHU8496379	\$1,950.00
61	038eul486055	MSCU9955656	\$2,700.00
62	038EUL455899	MSCU8634184	\$1,950.00
63	038EUL486017	MSCU8506460	\$2,215.00
64	038EUL486193	MSCU9067228	\$1,800.00
65	038EUL486386	TRLU5782569	\$1,950.00
66	038EUL486415	MEDU8198451	\$2,350.00
67	038EUL455669	MSCU7642539	\$3,100.00
68	038EUL455670	GLDU7504154	\$3,100.00
69	038EUL455671	MEDU8948134	\$3,100.00

70	038EUL455668	MSCU9306024	\$3,100.00
71	038EUL486079	CARU9786244	\$3,100.00
72	038EUL486192	MSCU9390483	\$1,800.00
73	038EUL486194	FSCU6925922	\$1,800.00
74	038EUL486337	INKU6429632	\$1,950.00
75	038EUL486080	FSCU6185019	\$3,100.00
76	038EUL486190	MSCU8478100	\$2,450.00
77	038EUL486389	TRLU5754905	\$1,950.00
78	038eul486070	MSCU7653533	\$2,600.00
79	038eul487788	TGHU7524157	\$2,700.00
80	038eul487787	MSCU7185535	\$2,700.00
81	038eul486072	MSCU7098343	\$2,600.00
82	038EUL475960	MSCU9200217	\$1,800.00
83	038EUL475959	TRIU9717891	\$1,800.00
84	038EUL475958	MEDU8892400	\$1,800.00
85	038EUL486388	MEDU8938563	\$1,950.00
86	038eul488574	MSCU7639031	\$2,700.00
87	038EUL486082	MSCU7878400	\$3,100.00
88	038EUL486083	MEDU8558413	\$3,100.00
89	038EUL486085	TGHU8305750	\$3,100.00
90	038EUL486084	TRIU9279199	\$3,100.00
91	038EUL486087	MEDU8503072	\$3,100.00
92	038EUL486086	MEDU8501819	\$3,100.00
93	038eul486073	MSCU7109622	\$2,600.00
94	038EUL486387	MSCU8791054	\$1,950.00
95	038EUL475961	DFSU6524950	\$1,800.00
96	038EUL475968	TRLU6974838	\$1,950.00
97	038EUL488509	INKU6735186	\$1,950.00
98	038eul486075	MSCU8270138	\$2,600.00
99	038eul486074	MSCU8620576	\$2,600.00
100	038eul486076	MSCU7217170	\$2,600.00
101	038EUL475963	MSCU9293436	\$1,800.00
102	038EUL475979	GLDU7152752	\$1,430.00
103	038EUL475962	CARU9764060	\$1,800.00
104	038EUL475964	MSCU8874971	\$1,800.00
105	038eul487758	MSCU8105302	\$2,600.00
106	038EUL475965	TCLU5462592	\$1,800.00
107	038EUL475966	MSCU8314663	\$1,800.00
108	038eul487756	MSCU9194726	\$2,600.00
109	038EUL475969	TCKU9289301	\$1,950.00
110	038eul487755	MEDU8699598	\$2,550.00
111	038EUL488510	GLDU0754059	\$1,950.00
112	038EUL475967	MSCU8708590	\$1,800.00
113	038EUL489096	GATU8567068	\$3,100.00
114	038EUL489095	MEDU8917909	\$3,100.00
115	038EUL489105	MSCU8214540	\$2,450.00
116	038EUL489097	TGHU8736000	\$3,100.00
117	038eul487757	MEDU8321000	\$2,600.00

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118	038eul487759	MSCU9260005	\$2,600.00
119	038EUL489199	MSCU8084719	\$2,350.00
120	038EUL488743	MSCU7017341	\$1,950.00
121	038eul486078	MSCU7087570	\$2,600.00
122	038EUL489207	MSCU8000549	\$1,800.00
123	038EUL488744	INKU6564102	\$1,950.00
124	038eul488620	MSCU8032192	\$2,600.00
125	038EUL475970	MSCU7575826	\$1,950.00
126	038eul489243	MEDU8030658	\$2,700.00
127	038eul489128	MEDU8317036	\$2,600.00
128	038EUL475971	MSCU9498740	\$1,950.00
129	038eul489127	MEDU8496435	\$2,600.00
130	038EUL489208	TCLU5763554	\$1,800.00
131	038eul489129	MEDU8079745	\$2,600.00
132	038EUL489210	FSCU6011151	\$1,800.00
133	038EUL489211	CRXU9026724	\$1,800.00
134	038eul489132	MEDU8011299	\$2,600.00
135	038EUL489212	TRLU5707288	\$1,800.00
136	038EUL488745	TGHU8639171	\$1,950.00
137	038eul489131	MSCU9837078	\$2,600.00
138	038EUL489213	MSCU7238255	\$1,800.00
139	038eul489130	MEDU8691323	\$2,600.00
140	038eul489133	MSCU7140612	\$2,600.00
141	038EUL493881	MSCU8871632	\$1,950.00
142	038EUL489214	TGHU7394388	\$1,800.00
143	038EUL495130	MEDU8242702	\$1,950.00
144	038eul495068	MSCU7867371	\$2,700.00
145	038eul495069	MEDU7022452	\$2,700.00
146	038EUL493574	MSCU9207510	\$2,550.00
147	038EUL489100	CLHU9068791	\$3,100.00
148	038EUL489098	CLHU9124977	\$3,100.00
149	038EUL489099	MSCU8151864	\$3,100.00
150	038EUL489101	MEDU8185639	\$3,100.00
151	038EUL489102	GESU4248345	\$3,100.00
152	038EUL493882	MSCU7504519	\$1,950.00
153	038EUL495129	TCLU5495488	\$1,950.00
154	038EUL489215	MSCU8192293	\$1,800.00
155	038EUL489103	MSCU9009197	\$3,100.00
156	038EUL489104	FSCU6922076	\$3,100.00
157	038EUL495065	MSCU7168477	\$3,100.00
158	038EUL489106	MSCU7189891	\$2,450.00
159	038EUL495066	MSCU9685247	\$3,100.00
160	038EUL493962	MSCU7080679	\$2,450.00
161	038eul495173	MSCU9360600	\$2,700.00
162	038EUL493883	MEDU8353250	\$1,950.00

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A.P.

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UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

-----X
GLOBAL AUTO, INC., G AUTO SALES,
INC., and EFFECT AUTO SALES, INC.,

Plaintiffs,

No. 13-CV-2479 (SLT)(RER)

-against t-

MICHAEL HITRINOV, a/k/a MICHAEL
KHITRINOV, EMPIRE UNITED LINES, CO.
INC., MEDITERRANEAN SHIPPING
COMPANY (USA), INC., and JOHN DOES 1
THROUGH 5,

Defendants.

-----X

**DECLARATION OF MICHAEL HITRINOV
IN RESPONSE TO ORDER TO SHOW CAUSE AND IN
OPPOSITION TO REQUEST FOR PRELIMINARY INJUNCTION**

I, Michael Hitrinov, submit this Declaration and the accompanying exhibits in response to the Order to Show Cause signed by this Court on May 8, 2013 and in opposition to the plaintiffs' request for a preliminary injunction concerning certain used vehicles that are the subject of this dispute.

1. I am President of Empire United Lines Co., Inc. ("EUL"), principally a transportation services company that is involved in freight forwarding, warehousing and the shipping of containers and other cargoes on non-owned vessels to various destinations around the world.

2. EUL, a New York corporation formed in 1993, has a principal place of business in Brooklyn, New York. Since 1999, EUL has met all requirements to be licensed as a non-vessel-operating common carrier by the Federal Maritime Commission.

I. Background and Parties' Agreement

3. In early September 2010, I was contacted by Sergey Kapustin whom I had known from

previous business dealings as the owner and individual in control, together with his wife Irina Kapustina, of Global Auto Sales, Effect Auto Sales and G Auto Sales, the plaintiffs in this action. The purpose of Mr. Kapustin's call was to inquire whether EUL wanted to invest in the ownership of some cars that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a car inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital which Mr. Kapustin would then use to buy vehicles in the U.S. for re-sale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the re-sales of these vehicles.

4. In 2010, Kapustin and I initially discussed a profit-sharing arrangement in which EUL would share in profits from the overseas sale of the vehicles acquired by Global with EUL's funds. However, Mr. Kapustin himself proposed as an alternative that EUL instead be paid a fixed return on its investment of 1.5% per month as its share of the anticipated profits from the re-sale of the vehicles acquired through EUL's investment ("the Investment Vehicles").

5. I was still concerned, however, that EUL needed a way to secure its investment in the Investment Vehicles in the event Kapustin/plaintiffs failed or refused to repay EUL. To address these concerns, Mr. Kapustin and I agreed that EUL would be entitled to a right of possession in any Investment Vehicle (i.e. any vehicle acquired by Kapustin/plaintiffs through the EUL investment) until such time as it was released to a third-party buyer with the consent of EUL. In theory, Kapustin/plaintiffs would sell a vehicle, repay EUL its equity interest in the vehicle and then direct EUL to release the vehicle to final buyer. Since the Investment Vehicles were shipped out of EUL's designated facility in Elizabeth, NJ and into the Carcont OY storage facility in Kotka, Finland, I felt reasonably comfortable that EUL could retain possession and

control of the Investment Vehicles in the event Kapustin/plaintiffs breached the agreement or failed or refused to repay EUL.

6. It was further agreed that EUL would be given the documents of title for each vehicle. This assured that no Investment Vehicle could be released without EUL's consent (which would have entailed repayment of EUL's 60% equity stake in the particular vehicle or replenishment, with EUL's consent of the total inventory value). I note that Mr. Kapustin's declaration at paragraph 5 confirms that the title documents for the Investment Vehicles were delivered by plaintiffs to EUL with each vehicle.

II. Transportation and Storage

7. In addition to the financing agreement with EUL, Mr. Kapustin and plaintiffs requested that EUL arrange for the ocean transport to Finland of the Investment Vehicles, and other vehicles not covered by the parties' agreement.

8. Although EUL is a licensed transportation intermediary, it did not issue separate shipping documents (e.g. bills of lading) for shipment of the Investment Vehicles covered by the parties' agreement. Instead, EUL agreed to charge a flat rate of \$750 for all vehicles, including the Investment Vehicles, whenever transportation was arranged by EUL. There is no dispute that this is in fact how the parties operated going forward and performed under their agreement.

9. To my knowledge, Mr. Kapustin has never objected or protested this arrangement and, in fact, I believe he viewed it as advantageous to his companies. Overall, between 2010 and 2012, EUL shipped over 680 vehicles on behalf of Kapustin/plaintiffs without any complaint.

10. In regard to freight, I would like to point out that the documents produced by the plaintiffs in their complaint as "tariffs" are not EUL documents even though they purport to be on EUL letterhead. Please see paragraph 36 of the complaint. It is not clear who created these

“tariffs,” for what purpose they were created or why plaintiffs have suggested to this Court that these “tariffs” are EUL’s documents. I can confirm without any hesitation that they are not EUL documents. Attached to this declaration as Exhibit “1” are EUL’s actual freight invoices to the plaintiffs which at Kapustin’s/plaintiffs’ request, were sent to only one email address: account@globalautousa.com. It is my understanding that this email address is used by Kapustin and all the plaintiffs for accounting and operational purposes.

11. It was also contemplated by the parties that, from time-to-time, the Investment Vehicles released for shipment would have to be stored in an EUL-designated warehouse in Elizabeth, NJ prior to shipping. For Investment Vehicles cleared for transport to Finland, EUL generally did not impose a storage charge. However, where Kapustin/plaintiffs had delivered a car to the warehouse and stored it there without ultimately shipping it, EUL did occasionally impose a nominal charge although the actual amount was largely in EUL’s discretion.

12. This arrangement was less than ideal for EUL, because Kapustin/plaintiffs began to abuse the goodwill that EUL was extending in waiving a storage fee for Investment Vehicles ultimately shipped overseas. For example, the plaintiffs used the Elizabeth, NJ warehouse like a retail showroom in which potential buyers could view/inspect the vehicles stored there. Further, Kapustin appeared to be using the warehouse for long-term storage of vehicles rather than a temporary stopover before the vehicles were shipped overseas. In addition, Kapustin/plaintiffs issued multiple and often burdensome instructions for the handling and release of vehicles stored in the Elizabeth, NJ warehouse, forcing EUL to incur administrative and handling expenses for which it was not being compensated.

13. Therefore, on December 18, 2012, I notified Kapustin/plaintiffs by an email to Svetlana (account@globalautousa.com) that “effectively immediately all the release for cars in a NJ

warehouse is subject to \$300 handling fees and \$10/day storage.” These storage charges make up a portion of EUL’s counterclaim against the plaintiffs, as discussed below. Attached to this declaration as Exhibit “2” is my email to plaintiffs dated December 18, 2012.

III. Initial Transaction Between the Parties

14. Our first transaction under this investment arrangement occurred in mid-September 2010 concerning two cars identified by Mr. Kapustin as: (i) a 2008 Lexus LX 570 and (ii) a black 2005 Hummer H-2 Limo. See the correspondence sent to EUL by Svetlana on behalf of Mr. Kapustin dated September 14, 20 and 28, 2010 attached to this declaration as Exhibit “3”. It is my understanding that Svetlana handled accounting and operational issues for Mr. Kapustin’s various companies, including all the plaintiffs. As can be seen, Svetlana offers the vehicles to EUL for investment and later confirms that EUL may hold certain containers as security pending EUL’s receipt of original certificates of title.

15. EUL did agree to buy 60 % of the ownership in those two vehicles for \$45,000. This was confirmed in my email to Svetlana on September 20, 2010, to which she responds in the previous exhibit. As can be seen, my email confirms in this first transaction that the vehicles acquired with this investment “MUST be currently NOT sold to any customers” and that EUL would “hold the Titles.” Svetlana consented to these terms and agreed that, pending transfer of the funds and EUL’s receipt of the titles, EUL could hold previously shipped containers as a security for the \$45,000 payment by EUL for 60% ownership of the two vehicles. See my correspondence dated September 20, 2010, attached to this declaration as Exhibit “4” and the preceding exhibit.

16. Mr. Kapustin and I also agreed that if and when these two vehicles were sold, EUL would have the option to invest in additional vehicles on the same terms; i.e. that EUL would advance

additional sums to Kapustin/plaintiffs to acquire a 60% interest in the Investment Vehicles and that EUL would receive a fixed return of 1.5% per month, and would retain possession and control of the vehicles and the underlying title documents as security for the funds advanced to Kapustin/plaintiffs.

IV. Additional Investments in Vehicles by EUL

17. Because our initial transaction went well, on fairly short order Mr. Kapustin offered EUL additional Investment Vehicles. For example, in October 2010, Kapustin/plaintiffs had a vehicle inventory valued at approximately \$214,000. Mr. Kapustin proposed selling to EUL 60% ownership. EUL agreed and remitted a total of \$125,000 to an account designated by Mr. Kapustin between October 5 and October 13, 2010.

18. As was the case with the first, two-vehicle transaction, EUL's investment was to be secured by a 60% interest in the Investment Vehicles; i.e. those vehicles in Kapustin's/plaintiffs' vehicle inventory financed by EUL's investment.

19. From the beginning, EUL insisted that at any given time, 60% of the total value of the Investment Vehicles be sufficient to secure the amount of the outstanding principal due EUL. Therefore, if Kapustin/plaintiffs wanted to release a vehicle to a third-party buyer, EUL could refuse to release these vehicles if Kapustin/plaintiffs did not repay to EUL the proportionate amount of principal or if the remaining value of the vehicle inventory fell below the 60% parameter. In lieu of making a principal payment, Kapustin/plaintiffs could add additional vehicles to their overall inventory with EUL's consent to achieve the 60% parameter, and in fact often did so.

20. By December 2011, EUL had wired a total of \$450,120 to accounts designated by Kapustin in the name of Global Auto Inc. as follows:

9/20/10	\$45,000
10/5/10	\$25,000
10/13/10	\$100,000
5/12/11	\$160,000
12/13/11	\$120,000
12/13/11	\$120

Attached to this declaration as Exhibit “5” is documentation of the six payments made to Kapustin/plaintiffs. The first three payments were made by direct deposit and the last three payments were made by wire transfer to Global Auto, Inc., Kapustin’s designated account. As can be seen, my understanding of the purpose of these payments is contained in the transaction descriptions; e.g. “Car Joint Investment With Fixed P” by which I meant my 60% investment in the vehicles and the fixed profit of 1.5% agreed to by the parties.

V. Balance Spreadsheets and Release of Vehicles

21. In practice, the parties’ arrangement operated in the following way. The total value of the Investment Vehicles was estimated and details were maintained in a spreadsheet format by EUL and provided to Kapustin/plaintiffs on a regular basis. The purpose of the spreadsheets was to schedule all the Investment Vehicles with their values so as to assure that 60% of the total value was sufficient to secure the amount of the outstanding principal due EUL.

22. I attach to my declaration as Exhibit “6” a series of emails ranging from January 2011 through October 2012, many with spreadsheet attachments, relating to the Balance Spreadsheets exchanged between the parties. Although the attached emails are not the totality of the correspondence and Balance Spreadsheets exchanged between the parties, Exhibit “6” provides a good overview of these exchanges and the manner in which they operated over the course of several years. Balance Spreadsheets were usually sent to the plaintiffs through Svetlana at account@globalautousa.com.

23. As can be seen from Exhibit “6”, a typical balance spreadsheet lists the estimated total

value of the Investment Vehicles, calculates the 60% parameter and compares that result to the amount of the outstanding principal due EUL. If 60% of the total inventory value exceeded the amount of the outstanding principal, then Kapustin/plaintiffs had a credit in their favor and would be entitled to release vehicles up to the amount of that credit.

24. If, on the other hand, 60% of the value of the total inventory was not sufficient to cover the outstanding principal due EUL, then Kapustin/plaintiffs could not release particular vehicles unless (i) they repaid a proportionate amount of the outstanding principal to EUL with EUL's consent, or (ii) they added additional Investment Vehicles to the total inventory (and thus increased the total inventory value). Details relating to inventory valuation, the 60% parameter and the "balance" available for release are clearly set out in the dozens of Balance Spreadsheets that were exchanged between the parties.

25. I attach to my declaration as Exhibit "7" a series of emails which demonstrate how, in practice, the release of vehicles was arranged between the parties based on the value of the Investment Vehicles and the details set out in the Balance Spreadsheets. As can be seen, Svetlana, on behalf of Kapustin's/plaintiffs makes repeated references to what is "available" for release based on any "balance" in plaintiffs' favor.

26. The sole purpose of this arrangement was to assure that plaintiffs' total vehicle inventory had sufficient value to cover the outstanding principal due EUL. There is no other reason that Kapustin/plaintiffs would have agreed to allow EUL to control the release of Investment Vehicles.

27. Respectfully, I find it very surprising that the plaintiffs have concealed this arrangement from the Court in their application and have failed to mention in any way the parties' reliance on the Balance Spreadsheets and Kapustin/plaintiffs' full acceptance of this arrangement.

28. I am also extremely surprised to see Kapustin/plaintiffs now seeking to hide behind different corporations in order to avoid plaintiffs' own liability for the outstanding principal amount due EUL and for other charges. However, as can be seen from Exhibits "6" and "7", at no time did Svetlana make any distinction between the individual plaintiffs when asking for "our balance" information and releases of cars. All the Investment Vehicles were treated as being under the Kapustin umbrella. At no time has Mr. Kapustin or any of the plaintiffs requested that EUL provide separate Balance Spreadsheets to the individual plaintiffs.

29. I also note that the plaintiffs have not actually produced any documentation in this action or in support of their request for a preliminary injunction to demonstrate that they are the lawful owners of the Investment Vehicles in Finland or Elizabeth, NJ.

30. I wish to point out that not all vehicles in Kapustin's/plaintiffs' inventory were Investment Vehicles. In many instances, Kapustin/plaintiffs delivered vehicles to EUL for shipment which were "not subject to investment." This is a clear and unambiguous admission by Kapustin/plaintiffs of EUL's "investment" in particular vehicles. Incidentally, when vehicles "not subject to investment" were delivered to EUL for shipment, EUL acted only in arranging for ocean transportation and there was no issue of releasing these "non-investment vehicles." Attached to this declaration as Exhibit "8" are several emails from Kapustin/plaintiffs (Svetlana) designating "non-investment" vehicles.

VI. Termination of Agreement

31. By late 2012 (November – December), I became increasingly concerned about Kapustin's/plaintiffs' ability and even willingness to abide by our agreement. There were a number of reasons for my concerns. First, I began receiving inquiries from Kapustin/plaintiffs about adding Investment Vehicles to the balance spreadsheets even though it was unclear

whether Kapustin/plaintiffs actually owned these vehicles. Second, the parties were increasingly disagreeing on vehicle valuations, with Kapustin/plaintiffs arguing for higher valuations to increase the “balance” available for release of cars. Third, Kapustin/plaintiffs were increasingly in arrears on payment of the \$750/vehicle shipping charges. However, my main concern was that Kapustin was trying to sell the Investment Vehicles behind EUL’s back; i.e. without repaying any portion of the principal due EUL and without notice to the buyers of EUL’s equity interest in those vehicles.

32. On December 27, 2012, I notified Kapustin (at the account@globalautousa.com address) that the relationship was becoming untenable because of Kapustin’s/plaintiffs’ actions and demanded that Kapustin/plaintiffs repay all amounts due EUL, including unpaid principal, “in 30 da[y]s from today. We will not extend that date.” I repeated that 30-day demand later that day. Attached to this declaration as Exhibit “9” are my December 27, 2012 notices to Kapustin/plaintiffs.

33. On January 16, 2013, I was informed by the warehouse facility in Kotka, Finland (Carcont OY) that Kapustin was encouraging third parties in Finland to claim the Investment Vehicles without regard to EUL’s remaining security interest in those same vehicles. I also obtained a copy of an email that Kapustin/plaintiffs had distributed to third parties in Finland and elsewhere, directing them to contact Carcont and suggesting that they take legal action to recover their vehicle from the facility. I became extremely concerned over these actions because they were in complete disregard of our agreement (i.e. no releases without payment of proportionate principal or replenishment of inventory value) and appeared to be an effort to coerce EUL to release vehicles under color of local Finnish law. Attached to this declaration as Exhibit “10” is a translation of the email sent out by Kapustin/plaintiffs directing buyers to contact Carcont to

collect their vehicles.

34. I then confronted Kapustin by telephone on or about January 20, 2013. During that telephone conversation, Kapustin confirmed that he no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Mr. Kapustin made no attempt during this conversation to make a distinction between the individual plaintiffs and it was clear to me that he himself made no distinction between the companies and that he spoke on behalf of all three of them.

35. Of equal concern to me was Mr. Kapustin's claim during this telephone call that "he" had actually sold all the Investment Vehicles (again, he did not make any distinction among the individual plaintiffs). If this was true, Kapustin/plaintiffs had presumably been paid in full by buyers of the vehicles and now were seeking to wrest these vehicles from EUL's possession and control without repaying any principal to EUL from the proceeds of sale. In other words, Kapustin/plaintiffs had collected EUL's 60% interest in those vehicles but had no intention of paying that over to EUL as the parties' agreement required.

36. Consequently, on January 28, 2013, I sent an email to Kapustin/plaintiffs (at account@globalautousa.com) and to Kapustin's wife and business partner, Irina Kapustina, expressing my concern that Kapustin/plaintiffs were taking actions "detrimental to our jointly owned assets without my knowledge and consent." I also requested that Kapustin/plaintiffs cease any further actions "which may cause irreparable damages" to the parties and proposed an amicable resolution. Attached to this declaration as Exhibit "11" is a copy of my January 28, 2013 email to Kapustin/plaintiffs.

37. EUL did not receive any payment of principal from Kapustin/plaintiffs after my

December 27th demand for payment in full within 30 days.

VII. Plaintiffs' Admission of EUL's Ownership Interest in the Investment Vehicles

38. On February 6, 2013, Irina Kapustina wrote to me in connection with our dispute and my demand for payment in full of all outstanding principal due EUL. In that correspondence, Ms. Kapustina makes several admissions that appear to directly contradict the declaration she has submitted to the Court in support of plaintiffs' application. In her February 6th email, Ms. Kapustina acknowledges EUL's demand for payment in full. She also acknowledges that EUL "no longer wants to have an ownership in the cars inventory." Finally, she acknowledges EUL's interest ("you have at your disposal") in the vehicle inventory.

39. However, in her declaration Ms. Kapustina makes no reference to EUL's "ownership" or the fact that the vehicle inventory was at EUL's "disposal". She also continues to repeat the fiction that the plaintiffs were separate and distinct corporations when in fact she spoke for all the plaintiffs and did not make any distinction between the plaintiffs in her February 6th correspondence. Attached to this declaration as Exhibit "12" is Ms. Kapustina's email of February 6th with the English translation.

VIII. Foreclosure on Kotka Investment Vehicles

40. Given Kapustin's repudiation of any further performance of our agreement, and fearing that Kapustin/plaintiffs were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that they be removed from that location and ultimately sold to third party buyers to satisfy plaintiffs' indebtedness to EUL. In fact, the sale of all but four units (2 vehicles, a boat, and a boat trailer) has now taken place to buyers in CIS countries, with the proceeds to be applied to the outstanding principal due EUL and any additional amounts due EUL for storage. Contrary to the allegations in paragraph 63 of the

complaint, EUL has not contacted plaintiff's "customers" concerning the purchase of foreclosed cars.

41. The net proceeds that EUL may realize from the sale is unclear at this time. Many of the Kotka Investment Vehicles required extensive repairs, the cost of which the buyers would like EUL to absorb. In addition, EUL ultimately had to pay customs duties associated with the import of vehicles into the destination countries. Therefore, until all the sale-related expenses incurred by EUL can be determined, it will be very difficult to determine what net proceeds EUL will realize. However, in my opinion, the net proceeds will fall far short of the outstanding principal due EUL of \$422,018.00, plus other amounts due and payable to EUL from Kapustin/ plaintiffs.

IX. Elizabeth, NJ Investment Vehicles

42. To the best of my knowledge, there are currently 16 vehicles located at the warehouse facility in Elizabeth, NJ. EUL is not in possession of any title documents for these vehicles and has not been paid for the transportation of these vehicles. However, EUL does claim a possessory interest in these vehicles in the event the net proceeds of the vehicles previously located in Kotka are not sufficient to pay the amounts due EUL (more fully detailed in the discussion on EUL's counterclaim below).

43. Although plaintiffs are seeking this Court's intervention concerning the Elizabeth, NJ vehicles, plaintiffs have not produced any evidence that they are the rightful owners of these vehicles and they have certainly not produced any documents of title for these vehicles. It would be highly inequitable to compel EUL to release the Elizabeth vehicles, in disregard of EUL's possessory and equity interest in those vehicles, based only on plaintiffs' unsupported allegations of ownership.

44. Plaintiffs and the Kapustins have had other legal problems concerning the vehicles in Elizabeth, NJ and their businesses. On or about February 21, 2013, the Elizabeth warehouse was served with a writ of execution to enforce a \$216,340.34 judgment against plaintiffs Global Auto and Effect Auto Sales. A copy of the Writ of Execution is attached to my declaration as Exhibit “13.” In November 2010, plaintiff Global Auto, Inc. signed a Final Consent Judgment with the New Jersey Attorney General in which Global was required to refrain from “unfair or deceptive acts or practices in the conduct of its business” in New Jersey. The Consent Judgment identifies multiple deceptive business practices by Global, including creating “fictitious” co-signers. A copy of the Final Consent Judgment is attached to my declaration as Exhibit “14.”

X. Plaintiffs are Closely Controlled by Mr. Kapustin

45. Plaintiffs have purposely tried to muddy the waters as to which of the three plaintiffs played what particular role in the underlying events, including which, if any, of the three plaintiffs had an interest in the Investment Vehicles. As I have already mentioned, at no time did either Svetlana or Mr. Kapustin or Irina Kapustina make any distinction among the individual plaintiffs in the dozens of emails and Balance Spreadsheets exchanged between the parties. I also received personal assurances from Mr. Kapustin, his wife Irina Kapustina and Svetlana that all involved companies were owned and controlled by Mr. Kapustin and his family and that the companies acted interchangeably.

XI. Plaintiffs’ Allegations Concerning Unrelated Matters

46. Plaintiffs have made reference to a number of unrelated legal matters in which, plaintiffs allege, EUL “attempted to engage in a scheme to defraud.” However, in all of these other matters there were only allegations of fraud none of which were ever proven or admitted by EUL. I have enough experience in the legal system to know that lawyers for plaintiffs are able to

make many different allegations—even of fraud—fairly liberally and that many of these allegations are never actually proven.

47. In any event, all of the actions mentioned in the complaint were either voluntarily dismissed or settled without a finding or admission of liability on the part of EUL or myself. I note that plaintiffs have not produced the underlying settlement documents or otherwise advised the court of the ultimate disposition of the matters mentioned in the complaint.

XII. EUL's Counterclaim

48. As discussed above, EUL's investment with Kapustin/plaintiffs totaled \$450,120. Of this amount, plaintiffs have only re-paid principal of \$28,202, as follows:

\$3,000.00	6/16/12
\$8,500.00	10/29/12
\$10,602.00	12/12/12
\$3500.00	12/13/12
\$1,500.00	10/04/12
\$1,000.00	10/24/12

I wish to point out in this regard that, with the exception of the first payment on June 6, 2012 (which was paid by plaintiff Global Auto, Inc.), all other payments were made by plaintiff G Auto Sales. This demonstrates again that plaintiffs dealt with EUL interchangeably and did not make a distinction among them when dealing with EUL's investment. Attached to my declaration as Exhibit "15" is EUL's bank's confirmation of the above payments. I wish to also note that, with one exception, all payments for transport of the Investment Vehicles were made by plaintiff G Auto Sales. This is also confirmed by Exhibit C-4 of plaintiffs' complaint.

49. Therefore, there is currently due and owing EUL the unpaid principal amount of \$422,018. Moreover, plaintiffs have failed to pay EUL's 1.5% return on investment for several months, which will be included in EUL's counterclaim.

50. In addition, plaintiffs are liable for storage and handling charges for all Investment

Vehicles after December 18, 2012 totaling \$31,360.00. (See paragraphs 11 - 13 above and Exh. "2"). Attached as Exhibit "16" to this declaration is a summary of the handling and storage charges due EUL from the plaintiffs.

51. EUL also claims damages from plaintiffs for storage charges in Kotka, Finland. Normally, the final buyer of the vehicles is required to pay storage charges from the time the vehicles are delivered to Carcont OY until picked up by the final buyer. However, in light of Kapustin's/plaintiffs' repudiation and efforts to wrest control of the vehicles from EUL, EUL was required to be paid Carcont OY's storage fees before removing the vehicles from that facility for eventual sale. Attached to this declaration as Exhibit "17" are invoices totaling €12,480 for storage charges paid by EUL to Carcont OY from the date of unloading the vehicles at that facility until January 31, 2013.

I declare under penalty of perjury that the foregoing is true and correct.

Executed: May 23, 2013

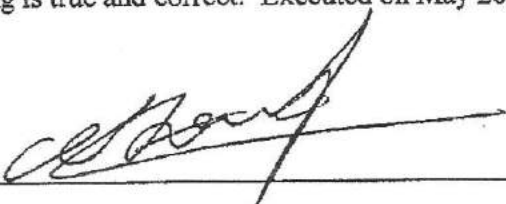

Michael Hitrinov

K1-3

1. I am a Respondent and President of Respondent Empire United Lines Co., Inc. ("EUL"), and I make this Certification in support of Respondents' Motion for Partial Summary Decision Dismissing Complaint for Reparations on the Basis of (1) the Claim is Barred by the Statute of Limitations; and (2) the Claim is Barred by the Settlement Agreement and Release.
2. EUL is a non-vessel-operating common carrier by water for hire regulated by the Federal Maritime Commission under the Shipping Act of 1984, as amended.

3. I write in response to the Affidavit of Andrejus Presniakovas (April 30, 2015) ("Presniakovas Aff."), submitted in connection with Complainant's Brief in Opposition to Respondents' Motion for Partial Summary Decision, and in particular the claims made in ¶¶ 53-56, and the shipments identified in Presniakovas Aff. Ex. U.
4. I have searched the files of Respondent Empire United Lines and found the email exchange attached as Exhibit 1.
5. Please note that on November 25, 2011 (9:04 AM) I advised Complainant, through Ms Laura Supronas, that the five shipments -- the same as are identified in Presniakovas Affidavit Exhibit U - were NOT Complainant's shipments, rather they belonged to a company named ME Baltic.
6. As a result, Complainant sent a revised spreadsheet that the Complainant and Respondent used to settle up freight charges (November 25, 2011; 10:54 AM) with these shipments removed from the spreadsheet. See Exhibit 1, with the attached spreadsheet.
7. As a further result, as they were not Complainant's shipments, they were not included in the Settlement Agreement and Mutual Release.

I certify under penalty of perjury under the laws of the United States of America that the foregoing is true and correct. Executed on May 26, 2015.



Michael Hitrinov

K1-4

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV, ET AL

VERIFIED ANSWER OF RESPONDENTS
EMPIRE UNITED LINE AND MICHAEL HITRINOV

I. Complainant

1. Lack sufficient information to admit or deny.
2. Lack sufficient information to admit or deny.
3. Lack sufficient information to admit or deny.

II. Respondents

4. Admit, except deny that Mr. Hitrinov has a principal place of business -- it is EUL that maintains the business at that location.
5. The Shipping Act as codified does not define the term "person."
6. Admit except as to undefined term "shipping company."
7. Admit except that "closely held" is not a legal entity description and EUL no longer has a place of business at 52 Butler Street in Elizabeth, NJ..
8. Admit
9. Deny except as to CarCont's address.

10. Deny
11. Deny
12. Admit.
13. Admit as to Mr. Hitrinov being President of EUL, otherwise deny.
14. Admit
15. Deny that Mr. Hitrinov exercises day-to-day control.
16. Admit
17. Deny.
18. Deny.
19. Deny
20. Deny
21. Deny (these are Ocean Freight Forwarder activities).
22. Deny

III. Jurisdiction

23. Deny. Also, the FMC has no jurisdiction under COGSA.
24. Admit that Complainants are seeking reparations, but deny that EUL or Hitrinov violated any of the referenced sections or that any such violations caused injury to Complainants.
25. Admit that EUL is a licensed NVOCC; deny that it falls under the jurisdiction of the FMC for purposes of this proceeding.

IV. Statement of Facts and Matters Complained of

26. Deny that EUL or Hitrinov are engaged in the business of exporting. As to sentence two, admit that EUL arranged for transportation by ocean going vessel of vehicles as to which Complainants now assert claims, but denies that they were Complainants' vehicles.
27. Admit that EUL is in the business of providing OTI services, that it is an NVOCC and that it arranges as an NVOCC for ocean transportation of vehicles, but otherwise denies..
28. Deny.
29. Admit that EUL, as an NVOCC, contracts with customers, and that any NVOCC transportation by definition includes an ocean (or Great Lakes) leg. Otherwise deny.
30. Lacks information sufficient to admit or deny what NVOCCs other than EUL may do. It is EUL's understanding that NVOCCs may issue house bills of lading, and that NVOCCs by definition do not operate the ocean vessels on which the cargo moves.
31. Admit that NVOCCs may buy space from ocean common carriers and that they may receive a bill of lading from the ocean common carrier, which may be neither the owner nor the charterer of the vessel. Otherwise deny.
32. Deny. Under the FMC's regulations, NVOCCs may also enter into NSA and NRA contracts with shippers, neither of which involve tariff rates.
33. Admit that there EUL and MSC are parties to a service contract, and that MSC is not currently a party to this proceeding.
34. Admit that EUL was able to obtain container space on MSC vessels pursuant to the service contract and that the automobiles regarding which Complainants raise claims may have been in such containers, but deny that EUL arranges space for vehicles or that they were Complainants' automobiles..

35. Lack sufficient information to admit or deny.
36. Admit that EUL did provide transportation services to Kotka, Finland for vehicles delivered to EUL by members of the Kapustin Global Auto Group where CarCont was the consignee on the MSC bill of lading, but otherwise lacks sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
37. Lack sufficient information to admit or deny.
38. Lack sufficient information to admit or deny.
39. Lack sufficient information to admit or deny.
40. Lack sufficient information to admit or deny.
41. Admit, except deny that Mr. Ovchinnikov was identified on the Title, and note that the titles were provided for reasons in addition to Customs clearance. Deny here and throughout that there was any such entity as G-Auto/Effect
42. Admit that a container containing the car was loaded on board, but deny that the car was loaded on board and that Mr. Hitrinov had any ownership interest in the CarCont facility.
43. Lack sufficient information to admit or deny
44. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
45. Denied insofar as the statement purported to show payment is not an EUL document, but a fabrication.
46. Deny.
47. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.

48. Lack sufficient information to admit or deny.
49. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
50. Lack sufficient information to admit or deny.
51. Lack sufficient information to admit or deny.
52. Lack sufficient information to admit or deny
53. Lack sufficient information to admit or deny
54. Admit, except deny that Ms. Rzaeva was identified on the Title, and note that the titles were provided for reasons in addition to Customs clearance. Deny here and throughout that there was any such entity as G-Auto/Effect, or Effect/G-Auto.
55. Admit that a container containing the car was loaded on board, but deny that the car was loaded on board and that Mr. Hitrinov had any ownership interest in the CarCont facility.
56. Lack sufficient information to admit or deny
57. Lack sufficient information to admit or deny
58. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
59. Deny insofar as the statement purported to show payment is not an EUL document, but a fabrication.
60. Deny
61. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
62. Lack sufficient information to admit or deny.
63. Deny.

64. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
65. Lack sufficient information to admit or deny.
66. Lack sufficient information to admit or deny.
67. Lack sufficient information to admit or deny.
68. Admit, except deny that Mr. Nekipelov was identified on the Title, and note that the titles were provided for reasons in addition to Customs clearance. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
69. Admit that a container containing the car was loaded on board, but deny that the car was loaded on board and that Mr. Hitrinov had any ownership interest in the CarCont facility.
70. Lack sufficient information to admit or deny.
71. Deny insofar as the statement purported to show payment is not an EUL document, but a fabrication.
72. Deny
73. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
74. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
75. Deny that EUL handled any shipments on behalf of Complainants.
76. Deny
77. Deny
78. Deny
79. Deny

80. Deny

V. Violations of Shipping Act

A. Deny

B. Deny

C. Deny

D. Deny

E. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.

VI. Injury to Complainants

A. Deny that Respondents violated the Shipping Act or that Complainants were injured by any such violations.

AFFIRMATIVE DEFENSES

1. The FMC lacks subject matter jurisdiction over the Complaint.
2. The FMC lacks personal jurisdiction over Mr. Hitrinov as he is not a regulated entity
3. The FMC lacks personal jurisdiction over Respondents due to insufficient and improper service of process.
4. Complainants have failed to state a claim upon which relief may be granted.
5. Complainants' claims for reparations are barred by the applicable statute of limitations.

6. Complainants' claims for reparations are barred because they were not proximately caused by any alleged violations of the Shipping Act.
7. Complainants' calculations of damage are incorrect and unsupportable.

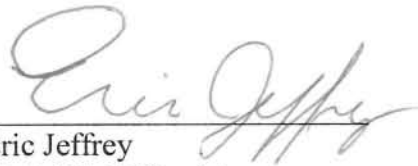
RESPONDENTS' REQUEST FOR RELIEF

1. Complainants take nothing by way of this action;
2. The Complaint be dismissed, with prejudice;
3. Respondents be awarded attorney's fees and such other relief as may be just and proper.

STATEMENT ON HEARING

Respondents believe at this time that no hearing is necessary.

Respectfully submitted,



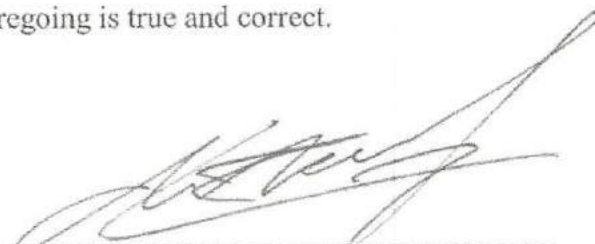
Eric Jeffrey
Harini N. Kidambi
Nixon Peabody LLP
799 9th Street, N.W., Suite 500
Washington, D.C. 20001
202-585-8000

VERIFICATION

Respondent Michael Hitrinov, on behalf of himself and Respondent Empire United Lines, Co., Inc., declares that the foregoing Verified Answer is true to the best of his knowledge, information and belief.

I declare under penalty of perjury that the foregoing is true and correct.

Date: May 19, 2016

A handwritten signature in black ink, appearing to read 'Michael Hitrinov', is written over a horizontal line.

Michael Hitrinov.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing Verified Answer via electronic and first-class mail to the following:

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Marcus.nussbaum@gmail.com

Seth M. Katz, Esq.
P.O. Box 245599
Brooklyn, NY 11224

Dated at Washington, DC, this 23rd day of May, 2016.

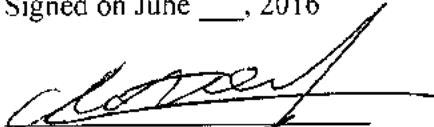

Eric Jeffrey
Counsel for Respondents

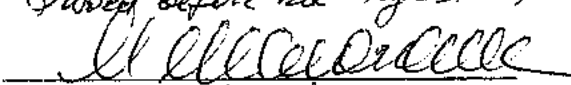
APPENDIX “10”

See pages 7-8 and 65 of the transcript of the October 27, 2014 hearing which can be accessed as Docket Entry No. 135 in the DNJ lawsuit (13 Civ. 7152).

The foregoing is true and correct to the best of my knowledge under penalty of perjury.

Signed on June __, 2016


Michael Hitrinov

Sworn before me August 10, 2016

NOTARY PUBLIC

MARVARID ULMASOVA Commissioner of Deeds, City of New York No. 2-13347 Cert. Filed in Kings County Commission Expires on _____
